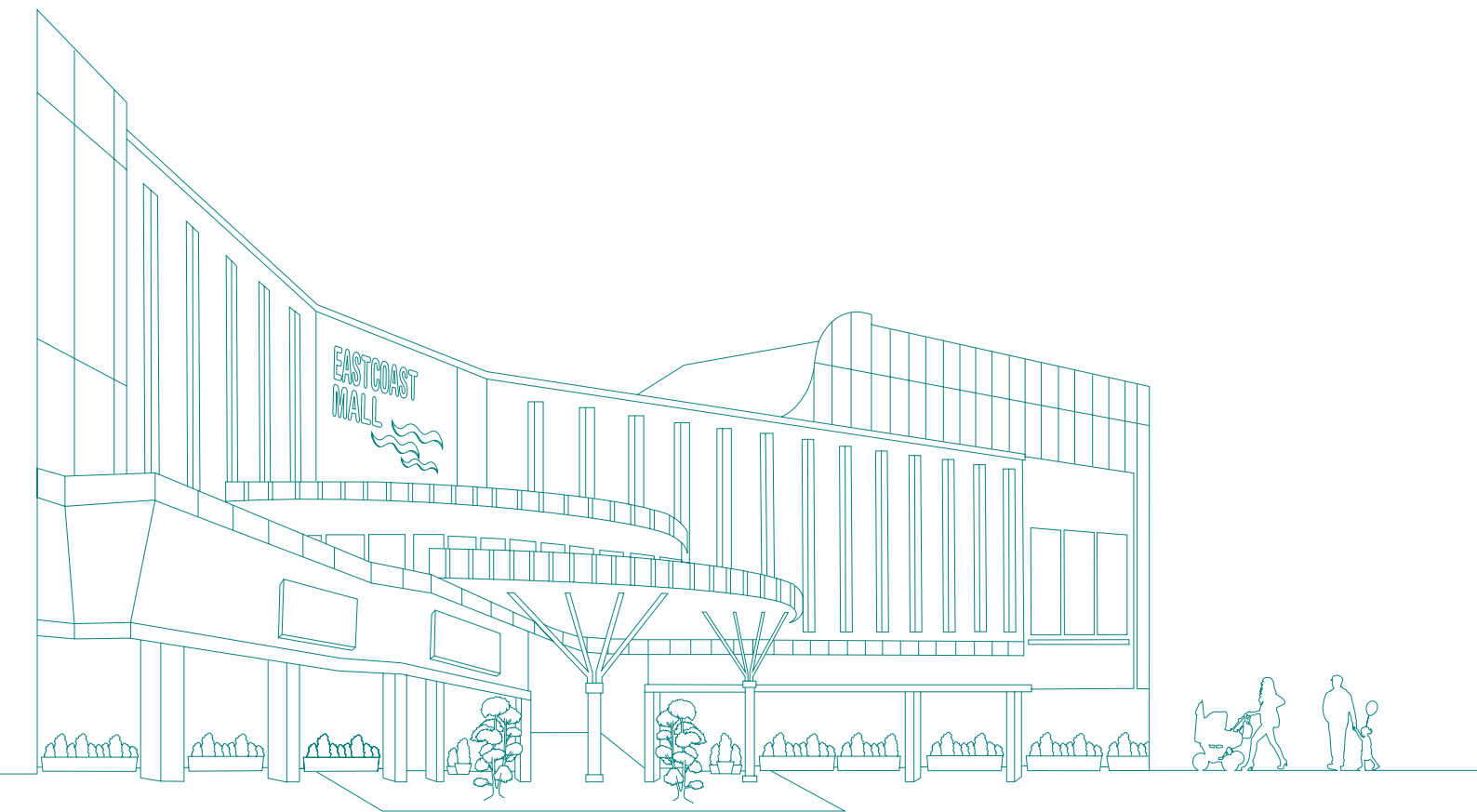




UNWAVERING
FOCUS.
STRENGTHENING
PERFORMANCE.

UNWAVERING FOCUS. STRENGTHENING PERFORMANCE.

Underpinned by an established track record in proactive asset and retail management, **CapitaLand Malaysia Mall Trust (CMMT)** strives to enhance Unitholders' returns by strengthening its earnings base and prudently managing costs. Continual asset enhancement initiatives have lifted the value of its retail properties, adding to the resilience of its mall portfolio. Together with the diversity of its asset profile, CMMT is poised to fortify its prospects in the years ahead.

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Corporate Profile

Listed on the Main Market of Bursa Malaysia Securities Berhad (Bursa Securities) on 16 July 2010, CMMT is a shopping mall-focused real estate investment trust (REIT) in Malaysia with an income- and geographically-diversified portfolio of five shopping malls and a complementary office block. As at 31 December 2015, CMMT had a market capitalisation of approximately RM2.8 billion and its portfolio was independently valued at approximately RM3.9 billion.

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes and these quality assets are strategically located in key urban centres across Malaysia; Gurney Plaza in Penang; three in Klang Valley – a majority interest in Sungei Wang Plaza¹ in Kuala Lumpur, Tropicana City Mall and Tropicana City Office Tower in Petaling Jaya and The Mines in Selangor; and East Coast Mall in Kuantan, Pahang. The portfolio has a total net lettable area of over 3.1 million square feet (sq ft). As at 31 December 2015, the total asset size of CMMT is about RM4.1 billion.

CMMT is managed by CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.) (the Manager) – a joint venture between CapitaLand Limited, one of Asia's largest real estate companies headquartered and listed in Singapore, and Malaysian Industrial Development Finance Berhad (MIDF). AmTrustee Berhad (the Trustee) is the trustee for CMMT.

Vision

To be Malaysia's leading shopping mall real estate investment trust through value creation and continuous innovation.

Mission

To deliver long-term and sustainable distribution of income and potential capital growth to Unitholders.

For Investors

Deliver sustainable total returns

For Tenants

Create profitable opportunities

For Shoppers

Create delightful shopping and lifestyle experiences

For Employees

Provide opportunities to realise personal potential and achieve professional growth

For the Community

Promote social responsibility and environmental sustainability

¹ CMMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall which represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 100.0% of the car park bays in Sungei Wang Plaza.

2015 Highlights

Gross Revenue

RM344.8 million

Net Property Income

RM226.4 million

Property Valuation

RM3.9 billion

Net Lettable Area

3.1 million sq ft

No. of Committed Leases

1,382

Portfolio Occupancy Rate

96.0%

Annual Shopper Traffic

49.8 million

Distribution Per Unit

8.60 sen

Distribution Yield

6.23%

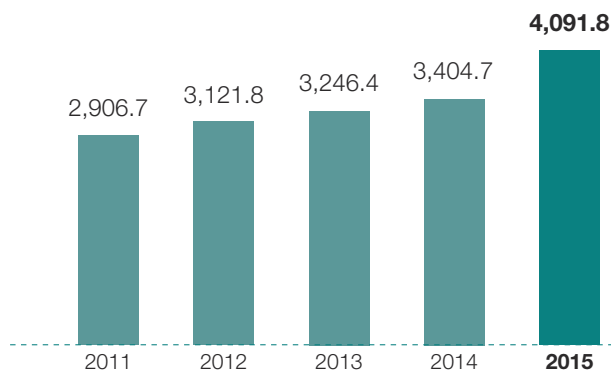
Market Capitalisation

RM2.8 billion

Financial Highlights

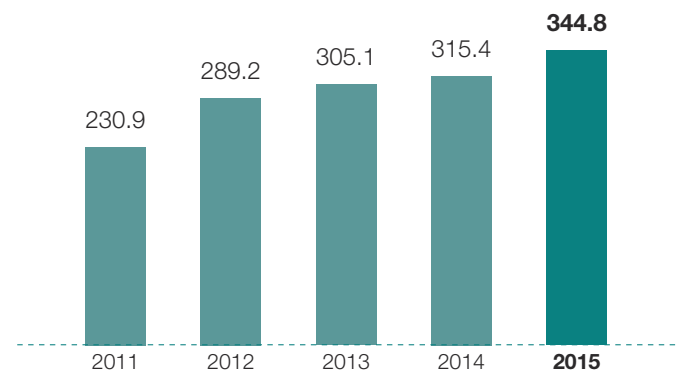
Total Assets

(RM million)



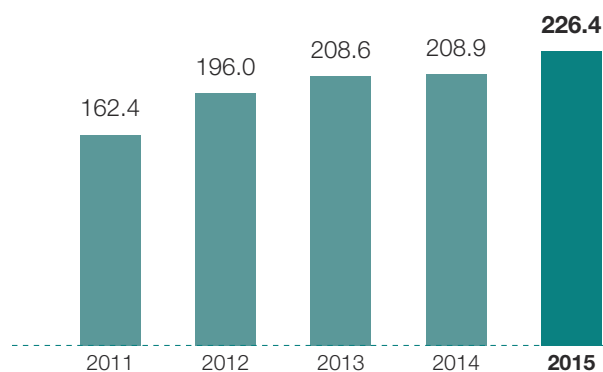
Gross Revenue

(RM million)



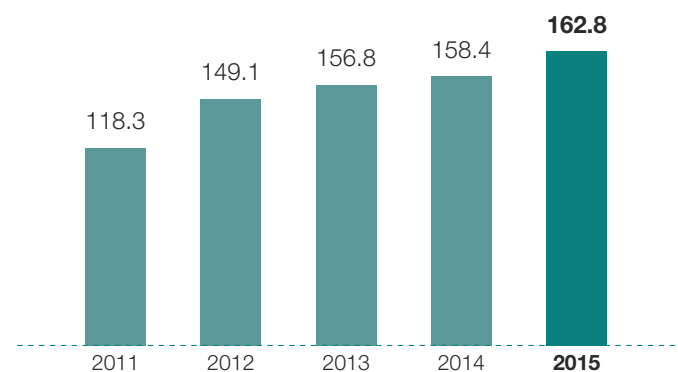
Net Property Income

(RM million)



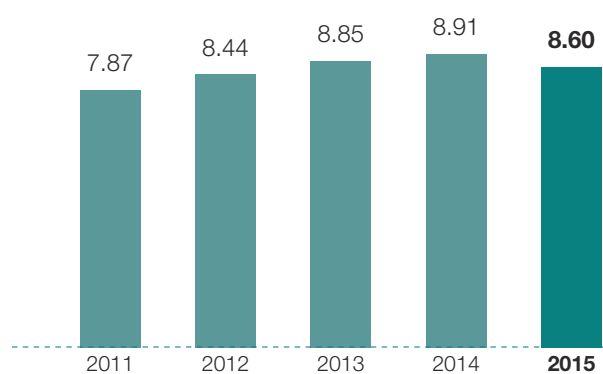
Distributable Income

(RM million)



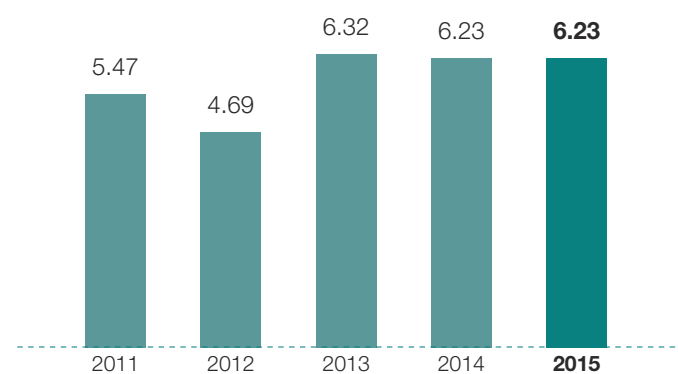
Distribution Per Unit

(sen)



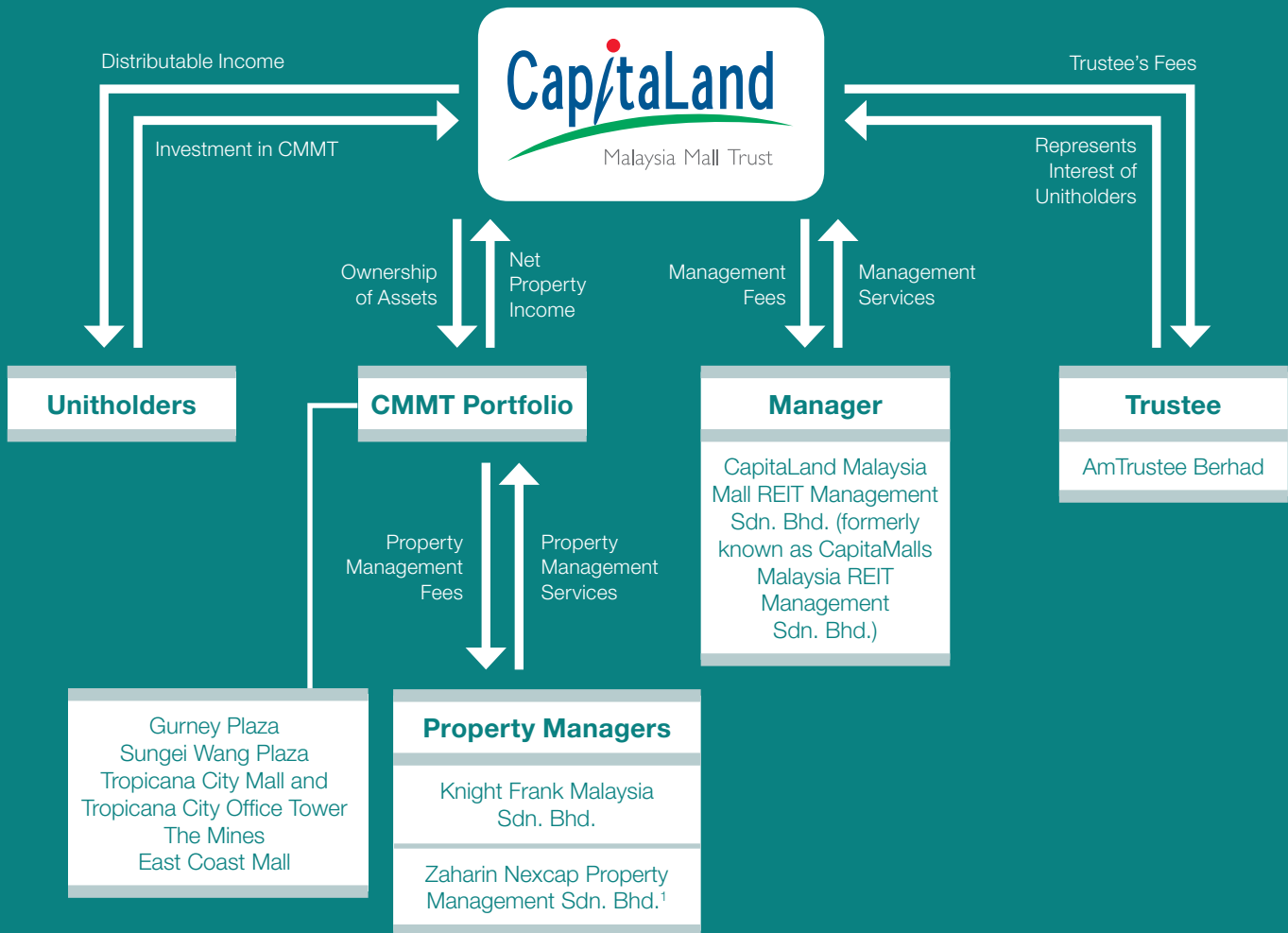
Distribution Yield¹

(%)



¹ Based on the closing unit price of RM1.44 on 30 December 2011, RM1.80 on 31 December 2012, RM1.40 on 31 December 2013, RM1.43 on 31 December 2014 and RM1.38 on 31 December 2015.

Trust Structure



Organisation Structure



¹ Zaharin Nexcap Property Management Sdn. Bhd. only manages Sungei Wang Plaza.

Value Creation

Retail Real Estate Management



Retail Real Estate Capital Management



Integrated Retail and Capital Management Platform

CMMT enjoys access to CapitaLand's integrated shopping mall business model, with in-house capabilities in retail real estate investment, development, mall operations, asset management and fund management.

Investment Strategies

ENHANCING value through proactive asset management and asset enhancement initiatives

LEVERAGING on CapitaLand's extensive retailer network across 104 shopping malls in 54 cities in five countries

Actively **PURSUING** acquisition opportunities

OPTIMISING capital management

Investment Objective and Strategies

Investment Objective

The principal investment objective of CMMT is to invest, on a long-term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines and/or by the Securities Commission Malaysia (SC), with a view to providing Unitholders with long-term and sustainable distribution of income and potential capital growth.

The Manager believes that CMMT has achieved its investment objective for FY 2015.

Investment Strategies

The key financial objective is to provide Unitholders with long-term and sustainable distribution of income and potential capital growth. Specifically, the aim is to seek the increase of cash flow, income and, the value of CMMT's properties and consequently, continued growth through the following strategies:

- enhancing the value of CMMT's portfolio through proactive asset management and asset enhancement initiatives (AEIs);
- actively pursuing acquisition opportunities;
- leveraging on CapitaLand's extensive network of strategic and local partners, including its retailer network across 104 shopping malls in 54 cities spanning five countries as well as its local industry knowledge through its experienced staff in Malaysia; and
- optimising capital management.

Future Prospects of the Market

The Manager views the Malaysian retail sector to be resilient and will continue to pursue the abovementioned investment strategies. For more information on the market in which CMMT invests in, refer to the section 'Independent Retail Market Overview'.

Property Portfolio

CMMT invests, on a long-term basis, in income-producing real estate which is primarily used for retail purposes and located in Malaysia.

1. Gurney Plaza

Penang

No. of committed leases	406
Net lettable area	892,470 sq ft
Independent valuation	RM1,372.0 million

2. Sungei Wang Plaza

Kuala Lumpur

No. of committed leases	235
Net lettable area	456,336 sq ft
Independent valuation	RM780.0 million

3. Tropicana City Mall and Tropicana City Office Tower

Petaling Jaya, Selangor

No. of committed leases	195
Net lettable area	549,529 sq ft
Independent valuation	RM565.0 million

4. The Mines

Selangor

No. of committed leases	350
Net lettable area	723,303 sq ft
Independent valuation	RM700.0 million

5. East Coast Mall

Kuantan, Pahang

No. of committed leases	196
Net lettable area	486,531 sq ft
Independent valuation	RM469.0 million



Upgrading Works



The Mines

The Mines facade was uplifted to portray a contemporary image. The mall underwent a reconfiguration on Level 1 entrance to introduce a F&B cluster and started to rezone Level 5 into a family and edutainment area. This will strengthen its position as a contemporary suburban family mall.



Tropicana City Mall

Since acquiring Tropicana City Mall, we have introduced new tenants such as, TBM, an electrical goods retailer, and new dining options. The mall is also currently undergoing asset enhancement works and tenancy mix changes to improve its offering to shoppers.



Gurney Plaza

As part of ongoing repositioning efforts to further strengthen Gurney Plaza as Penang's premier lifestyle shopping mall, several improvement works were carried out in the existing landscaped garden, where an amphitheatre was created to provide a venue for events and performances. We also built bicycle bays at Gurney Park to support and promote cycling as a healthy activity for the community.

Board of Directors



David Wong Chin Huat

Chairman & Non-Executive
Independent Director



Tuan Haji Rosli bin Abdullah

Non-Executive Independent Director



Foo Wei Hoong

Non-Executive Non-Independent
Director



Jason Leow Juan Thong

Non-Executive Non-Independent
Director



Ng Chih Kaye

Non-Executive Independent Director



Ng Kok Siong

Non-Executive Non-Independent
Director



Tan Siew Bee

Non-Executive Independent Director



Peter Tay Buan Huat

Non-Executive Independent Director



Low Peck Chen

Chief Executive Officer & Executive
Non-Independent Director

Letter to Unitholders

Dear Unitholders,

2015 proved to be a challenging year for the Malaysian economy as it was affected by the decline in oil prices since December 2014 and the implementation of the Goods and Services Tax (GST) in April 2015. The immediate effect of the GST implementation was that both consumer and business sentiments turned cautious, and this has been further exacerbated by the weakening ringgit. In spite of the uncertain global economic climate, Malaysia's Gross Domestic Product (GDP) is believed to have expanded between 4.5% and 5.5%¹ in 2015.

CMMT continued to deliver a steady set of results for the financial year ended 31 December 2015 (FY 2015). Our net property income (NPI) for FY 2015 was RM226.4 million, 8.4% higher than the RM208.9 million for FY 2014. FY 2015 saw a distribution per unit (DPU) drop of 3.5% to 8.60 sen due to lower NPI contribution from Sungei Wang Plaza, which is temporarily impacted by the ongoing Mass Rapid Transit (MRT) works nearby. However, this was mitigated by East Coast Mall, which achieved strong NPI growth of 25.5% year-on-year following the completion of its two-year AEI, and the steady growth of both Gurney Plaza and The Mines. We also added another asset to CMMT's portfolio with the acquisition of Tropicana City Mall and Tropicana City Office Tower in 2015, which have contributed positively to our bottom line.

CMMT's overall business framework remains robust to support our goal of providing steady and sustainable returns to our Unitholders. A clear competitive advantage is our close ties with CapitaLand Mall Asia (CMA), the region's leading shopping mall developer, owner and manager with 104 malls in 54 cities in Singapore, China, Malaysia, Japan and India; and a wholly-owned subsidiary of CapitaLand Limited. CMA is CMMT's largest Unitholder and the majority shareholder of CapitaLand Malaysia Mall REIT Management Sdn. Bhd.² (CMRM), the Manager of CMMT. With this strong relationship, we are able to benefit from CMA's industry-leading tenant network and proven integrated retail and capital management platforms. Malaysian Industrial Development Finance Berhad, which is part of the Permodalan Nasional

Berhad group of companies and a leading financial services provider in Malaysia, is the other shareholder of CMRM.

Despite the headwinds in the global economy in FY 2015, CMMT managed to deliver steady financial performance due to our quality portfolio, proactive asset management and prudent cost controls.

Sustainable Performance

For the year under review, CMMT's gross revenue grew 9.3% to RM344.8 million and NPI increased 8.4% to RM226.4 million. Total comprehensive income was RM226.0 million, of which the (unrealised) fair value gain on investment properties contributed RM70.9 million.

CMMT's distributable income of RM162.8 million for FY 2015 was RM4.4 million, 2.8% higher than FY 2014. Total DPU for FY 2015 was 8.60 sen. Based on CMMT's closing price of RM1.38 on 31 December 2015, this translated to a distribution yield of 6.2%.

Despite the temporary impact on Sungei Wang Plaza due to the ongoing MRT works and closure of BB Plaza, our portfolio of malls was able to attract shopper traffic of about 49.8 million³ last year as it largely comprises necessity shopping malls located in established populated areas.

As at 31 December 2015, our portfolio had a healthy occupancy rate of 96.0% and rental reversions of 1.7%⁴.

CMMT's distribution policy is to pay out at least 90.0% of distributable income in each financial year on a half-yearly basis. Similar to preceding years, we will pay out approximately 100.0% of our distributable income for FY 2015. We made two distributions to Unitholders in 2015 totalling RM159.9 million for the periods 1 July 2014 to 31 December 2014 (4.38 sen per unit) and 1 January 2015 to 8 July 2015 (4.61 sen per unit) – the latter arising from a private placement undertaken to part finance the acquisition of Tropicana City Mall and Tropicana City Office Tower. The distribution of RM80.8 million (3.99 sen per unit) for the period 9 July 2015 to 31 December 2015 will be paid to eligible Unitholders on 29 February 2016.

¹ Source: Ministry of Finance, 3 February 2016.

² Formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.

³ Excluding Tropicana City Mall.

⁴ Rental reversions of CMMT portfolio (excluding Sungei Wang Plaza) is 7.9%.

Letter to Unitholders

Acquisition of Tropicana City Mall and Tropicana City Office Tower

We completed the acquisition on 10 July 2015, bringing the total number of malls in our portfolio to five, as well as a complementary office block. The total acquisition cost was RM565.0 million, of which RM316.3 million was sourced through a well received private placement of 239,635,600 units which were offered to new and CMMT's existing Unitholders, and the balance RM248.7 million was satisfied by bank borrowings.

The property is part of an integrated development strategically located at the intersection of two major highways, making it easily accessible from Kuala Lumpur and various parts of Petaling Jaya. Since its opening in 2008, Tropicana City Mall has established itself as a modern suburban shopping destination offering a good mix of established retailers, food and beverage (F&B) tenants and a hypermarket. Tropicana City Office Tower is a 12-storey office block that is seamlessly connected to the shopping mall via an overhead covered link bridge.

With the addition of this quality asset, the total net lettable area for CMMT's portfolio increased from more than 2.5 million square feet (sq ft) to over 3.1 million sq ft. Our enlarged portfolio now comprises strategically located malls and a complementary office block in the key urban centres of Klang Valley (including Kuala Lumpur and Petaling Jaya), Penang and Kuantan, further strengthening its income and geographical diversification to Unitholders. As at 31 December 2015, CMMT's portfolio was valued at RM3.9 billion, an increase of 20.2% over the RM3.2 billion in 2014.

Growth through Upgrading Works

Against the challenging operating environment, it is important for CMMT to continually seek creative solutions to enhance the value of our assets and deliver steady, sustainable growth. With this in mind, CMMT took on various upgrading works that helped to improve the attractiveness of our shopping malls. For FY 2015, CMMT invested RM34.8 million in AEI and regular capital expenditure works.

As part of ongoing repositioning efforts to further strengthen Gurney Plaza as Penang's premier lifestyle shopping mall, we brought in Bell & Ross,

an international timepiece brand, and more exciting F&B options. Shoppers in Penang as well as the northern region of Malaysia now have a chance to savour delicacies from the popular Din Tai Fung restaurant, which opened its first outlet in Penang in Gurney Plaza last year. We also carried out reconfiguration on the mall's Level 3 to offer shoppers more F&B options, as well as installed energy-efficient lightings within the mall and its rooftop car park. Improvement works were also carried out in the existing landscaped garden, where an amphitheatre was created to provide a venue for events and performances. Bicycle bays were also constructed at Gurney Park to support and promote cycling as a healthy choice for the community.

At The Mines, the building facade was given a fresh coat of paint and the pagoda structures were removed in the year under review. For our shoppers' convenience, digital directories were installed and the car park auto pay system was upgraded. The lifts were also improved to be more energy-efficient. The secondary entrance on Level 1 was reconfigured to create an F&B cluster, where casual dining will soon be introduced. Spotlight, Australia's largest fabric, craft/party and home interiors super-store also opened its largest store in Malaysia at The Mines in April 2015.

After acquiring Tropicana City Mall and Tropicana City Office Tower, we introduced new tenants, such as TBM, an electrical goods retailer, and new dining options. We also introduced new concepts to the shopping mall with Mama Jo Launderette, a laundry service provider using a drop off and pickup locker system, and MFruits, a fruit popsicle vending machine. Two new chillers were installed to enhance the air conditioning for shoppers' and office tenants' comfort. The mall is also currently undergoing tenant mix adjustments, and we expect to grow its income contribution upon the next tenancy renewal cycle.

Fresh from the completion of a RM60.0 million two-year AEI, East Coast Mall now brings an even more attractive array of fashion, lifestyle and F&B options to its shoppers. Shoppers can now shop at two new-to-market brands, Charles and Keith and Akemi Uchi. The unveiling of the revamped East Coast Mall took place in May and over 150 guests including retailers and media representatives attended the rebranding celebration. During the year under review, upgrading works were carried out at East Coast

Mall's car park with the repainting of the pedestrian walkway, directional signages, overhead provisions and ceiling. An existing chiller was replaced to enhance the air conditioning for greater efficiency. Energy-efficient down lights were installed on the ground floor, and prayer rooms are now equipped with air conditioners for greater comfort.

Sungei Wang Plaza also reconfigured units at the concourse to offer more F&B choices such as The Chicken Rice Shop to its shoppers. We also repositioned Level 6 from "Hong Kong Station" to a new concept which comprises a mix of tenants such as a creative arts academy and a self-storage service. Snips College of Creative Arts offers nail spa services, fashion cafe, production studios for modelling classes and deejay training courses on top of regular hair services. Other upgrading initiatives within CMMT's strata parcels include new LED digital advertising panels on Level 6 and the mall concourse.

Optimising Capital Management

As part of ongoing efforts to strengthen CMMT's financial position and liquidity, we continued to diversify our sources of funding and actively sought optimum debt tenures. Part of the short term debts of CMMT was successfully refinanced with longer tenure debts. About 75.2% of the borrowings are on fixed interest rates, which reduces our exposure to interest rate fluctuations in the market.

In February 2015, the credit margins of some of the existing floating rate credit facilities were tightened by up to 10 basis points. In the following month, we re-fixed part of the existing secured term loans for three years and extended the maturity of some of the existing credit facilities which resulted in an increase in the average term to maturity for outstanding debts from about two years to above seven years. In July, we successfully raised RM316.3 million through a private placement and obtained a secured term loan at a competitive interest rate to complete the acquisition of Tropicana City Mall and Tropicana City Office Tower.

As at 31 December 2015, our total borrowings, excluding bank guarantees, stood at RM1,264.1 million. Our gearing remained at a healthy level of 31.5%, providing us with a permissible debt headroom of RM1.5 billion for future acquisitions and/or to carry out AEs, which are critical in enhancing the value

of our assets and delivering future growth. Presently, two of CMMT's five properties are unencumbered, providing us with greater financial flexibility. For FY 2015, CMMT has an average cost of debt of 4.5% per annum and varying loan tenures of up to 12.3 years.

CAPITASTAR

In partnership with CapitaLand, we launched CAPITASTAR, a card-less loyalty programme which enables shoppers to enjoy benefits over in-store rewards when shopping at CapitaLand malls, in Penang. Currently, CAPITASTAR members can earn rewards each time they spend at some 390 participating tenants in Gurney Plaza. We will be rolling out the CAPITASTAR programme to some of our other malls this year.

Looking ahead

Despite the challenging domestic operating landscape and global economic uncertainty, the Malaysian economy is expected to grow by 4.0% to 4.5% this year with domestic demand as the main driver of growth. With our portfolio of predominantly necessity shopping malls, we are confident that CMMT is well positioned to sustain our performance through the different economic cycles. We will continue with our unwavering focus to strengthen CMMT's performance by actively managing lease renewals and exploring opportunities for asset enhancements and acquisitions in order to continually create value for our Unitholders.

Acknowledgements

On behalf of the Board of Directors and Management, we wish to express our appreciation to our shoppers, tenants, business partners and staff for your support in FY 2015. Most importantly, we would like to express our deepest gratitude to our Unitholders. We remain committed to delivering stable returns and look forward to your continued support as we forge ahead to bring CMMT to an even stronger position.

David Wong Chin Huat

Chairman

Low Peck Chen

Chief Executive Officer

5 February 2016

Financial and Trading Highlights

Trading Highlights	FY 2015	FY 2014	FY 2013	FY 2012	FY 2011
Opening Market Price (RM per unit)	1.430	1.400	1.800	1.440	1.120
Closing Market Price (RM per unit)	1.380	1.430	1.400	1.800	1.440
Highest Traded Price (RM per unit)	1.660	1.540	1.960	1.980	1.510
Lowest Traded Price (RM per unit)	1.240	1.320	1.330	1.330	1.060
Average Closing Price (RM per unit)	1.414	1.441	1.684	1.590	1.228
Total Trading Volume (million units)	279.5	279.1	297.8	273.2	191.8
Average Daily Trading Volume (million units)	1.136	1.135	1.206	1.115	0.783
Capital Appreciation¹ (%)	(3.5)	2.1	(22.2)	25.0	28.6
Market Capitalisation² (RM million)	2,794.2	2,543.9	2,481.9	3,182.5	2,538.2
Units in Circulation³ ('000)	2,024,799	1,778,976	1,772,820	1,768,038	1,762,652

Group Performance Highlights (RM Million)	FY 2015	FY 2014	FY 2013	FY 2012	FY 2011
Gross Rental Income	272.8	250.6	246.5	233.4	194.0
Car Park Income	21.5	18.5	18.4	18.4	15.0
Other Revenue	50.5	46.3	40.2	37.4	21.9
Gross Revenue	344.8	315.4	305.1	289.2	230.9
Net Property Income	226.4	208.9	208.6	196.0	162.4
Distributable Income	162.8	158.4	156.8	149.1	118.3
Distribution per Unit (sen)	8.60	8.91	8.85	8.44	7.87
Distribution Yield² (%)	6.23	6.23	6.32	4.69	5.47
Annual Total Return⁴ (%)	2.5	8.5	(17.3)	30.9	35.6
Earnings per Unit (sen)	11.92	13.31	12.98	14.19	12.00
Management Expense Ratio⁵ (%)	1.0	1.0	1.1	1.0	1.1

¹ Based on the opening market price and closing market price of the respective financial year.

² Based on the closing market price of the respective financial year.

³ Units in circulation at the end of the financial year.

⁴ Annual total return is equal to the DPU plus capital appreciation (in sen) during the year divided by the opening unit price at the beginning of the financial year. The annual total return is also equal to the average total return for one year and the average total return for three and five years to the date of the report are (2.1%) and 12.0% respectively.

⁵ Refers to the expenses of CMMT excluding property operating expenses and interest expense but including the Manager's management fees, expressed as a percentage of average net assets.

Group Financial Position Highlights (RM Million)	As at 31 Dec 2015	As at 31 Dec 2014	As at 31 Dec 2013	As at 31 Dec 2012	As at 31 Dec 2011
Portfolio Property Valuation	3,886.0	3,233.0	3,079.0	2,936.0	2,781.0
Total Assets	4,091.8	3,404.7	3,246.4	3,121.8	2,906.7
Total Borrowings^{1,2}	1,264.1	965.2	910.7	873.7	828.7
Unitholders' Funds	2,674.8	2,287.5	2,202.6	2,116.6	1,951.8
Net Asset Value (NAV) (Before Income Distribution)	2,674.8	2,287.5	2,202.6	2,116.6	1,951.8
Net Asset Value (NAV) (After Income Distribution)	2,594.0	2,209.5	2,122.8	2,041.6	1,931.7
NAV per Unit (Before Income Distribution) (RM)	1.3210	1.2858	1.2424	1.1971	1.1073
NAV per Unit (After Income Distribution) (RM)	1.2811	1.2420	1.1974	1.1547	1.0959

	FY 2015	FY 2014	FY 2013	FY 2012	FY 2011
Highest NAV per Unit (After Income Distribution) (RM)	1.2811	1.2420	1.1974	1.1547	1.0959
Lowest NAV per Unit (After Income Distribution) (RM)	1.2410	1.1960	1.1532	1.0946	1.0333

Group Capital Management Highlights	As at 31 Dec 2015	As at 31 Dec 2014	As at 31 Dec 2013	As at 31 Dec 2012	As at 31 Dec 2011
Gearing Ratio (%)	31.5	29.0	28.8	28.7	28.7
Unencumbered Assets as % of Total Assets	34.1	40.4	40.8	42.0	42.5
Average Term to Maturity² (years)	7.3	2.0	3.1	4.1	5.2

	FY 2015	FY 2014	FY 2013	FY 2012	FY 2011
Interest Coverage (times)	4.0	4.6	4.8	4.5	3.8
Net Debt/EBITDA³ (times)	6.2	5.1	4.9	5.0	5.7
Average Cost of Debt (%)	4.5	4.3	4.4	4.7	4.7

The Group refers to the consolidation of the Trust and its wholly-owned subsidiary, CMMT MTN Berhad. Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

¹ Before unamortised transaction costs.

² Excludes bank guarantee facility.

³ Net debt comprises gross debt less temporary cash intended for refinancing, if any, and EBITDA refers to earnings before interest, tax, depreciation and amortisation.

Salient Features of CMMT

Fund Name	CapitaLand Malaysia Mall Trust (CMMT)
Fund Category	Real estate investment trust
Fund Type	Income
Fund Duration	CMMT shall terminate on the earlier of: - the occurrence of any of events listed in Clause 25.2 of the Deed¹; or - the expiration of a period of twenty-one (21) years after the death of the last survivor of the issue now living of His Majesty, the current Yang di-Pertuan Agong of Malaysia or until such further period as the law may permit.
Authorised Investments	Real estate, single-purpose companies, real estate-related assets, non-real estate-related assets, cash, deposits, money market instruments and any investments permitted by SC, the REITs Guidelines ² and the Deed.
Authorised Investments Limits	- At least 50.0% of CMMT's total asset value must be invested in real estate and/or single-purpose companies at all times; - Not more than 25.0% of CMMT's total asset value may be invested in non-real estate related assets and/or cash, deposits and money market instruments; and - Such other investments or limits as may be permitted by SC and/or the REITs Guidelines
Distribution Policy	Payout policy ratio: - At least 90.0% of CMMT's distributable income of each financial year. Distribution payment: - Semi-annual basis for each six-month period ending 30 June and 31 December of each year.
Borrowing Limitations	Up to 50.0% of CMMT's total asset value at the time the borrowings are incurred or such higher amount with the prior approval of CMMT's Unitholders.
Performance Benchmarks	- FTSE Bursa Malaysia Kuala Lumpur Composite Index (KLCI) - FTSE Bursa Malaysia EMAS Index
Revaluation Policy	Investment properties are valued: - Semi-annually based on internal valuation or independent professional valuation; and - At least once every three years based on an independent professional valuation pursuant to the REITs Guidelines.
Management Fee	- Base Fee: up to 1.0% per annum of the value of Deposited Property³ (FY 2015 actual: 0.29%) - Performance Fee: up to 5.0% per annum of NPI (before Management Fee) (FY 2015 actual: 4.75%) - Acquisition Fee: up to 1.0% of the purchase price of any Authorised Investments directly or indirectly acquired by the Trustee on behalf of CMMT (FY 2015 actual: 1.00%) - Divestment Fee: up to 0.5% of the sale price (after deducting the interest of any co-owners or co-participants) of any Authorised Investments directly or indirectly sold or divested by the Trustee on behalf of CMMT.
Financial Year	1 January 2015 – 31 December 2015
Quotation	Main Market of Bursa Malaysia Securities Berhad
Minimum Investment	100 units per board lot
Bursa Securities Stock Number	CMMT 5180

¹ The trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) entered into between the Manager and the Trustee.

² Guidelines on Real Estate Investment Trusts.

³ As defined in the Deed, the value of Deposited Property is equal to all the assets of CMMT (total asset value).

Year in Brief

January

The proposed acquisition of Tropicana City Mall and Tropicana City Office Tower was announced.

February

A distribution of 4.38 sen per unit for the period 1 July 2014 to 31 December 2014 was paid to Unitholders.

Gurney Plaza was awarded 'The BrandLaureate Product Branding Awards 2014/15 (Best Brands in Retail – Shopping Mall)'

CMMT tightened the credit margins of some of the existing floating rate credit facilities by up to 10 basis points.

March

CMMT re-fixed interest rate for part of the existing secured term loans for three years and extended the average term to maturity for outstanding debts to above seven years.

April

During the Annual General Meeting, Unitholders approved the proposed authority to allot and issue up to 355,795,120 new units of CMMT.

May

Following the completion of East Coast Mall's two-year asset enhancement works, a grand rebranding celebration was held and more than 150 guests graced the event.

June

East Coast Mall was awarded the Green Mark Gold award by Singapore's Building and Construction Authority.

July

On 10 July 2015, the acquisition of Tropicana City Mall and Tropicana City Office Tower was completed. CMMT successfully raised RM316.3 million through a private placement exercise and obtained a term loan at a competitive interest rate to finance the acquisition.

August

An advance distribution of 4.61 sen per unit, which pertained to the period from 1 January to 8 July 2015, was paid to Unitholders.

The Biz+ Series is a tenant engagement programme comprising seminars, workshops and networking sessions which are organised with the aim of adding value to our tenants' businesses and as a partner in their growth. In 2015, we conducted a seminar entitled "Letting Social Media Listening, Analytics & Content Drive Footfall".

CapitaLand Malls Grand Draw took place between August and October 2015 where shoppers who spent at CMMT malls and another CapitaLand mall stood a chance of winning prizes totalling RM80,000.

September

Effective 11 September 2015, the name of the Manager was changed from "CapitaMalls Malaysia REIT Management Sdn. Bhd." to "CapitaLand Malaysia Mall REIT Management Sdn. Bhd.".

October

CapitaLand's convenient, card-less CAPITASTAR rewards programme was launched to offer shoppers even more rewards.

Effective 12 October 2015, CapitaMalls Malaysia Trust was known as CapitaLand Malaysia Mall Trust.

November

CMMT carried out the philanthropic initiative "My Schoolbag" – a key annual CapitaLand corporate social responsibility programme.

Board of Directors

David Wong Chin Huat, 67, Singaporean Chairman

Non-Executive Independent Director

Bachelor of Laws, University of Singapore
Master of Laws, University of London

Date of first appointment as a director and deputy chairman:

6 July 2012

Date of appointment as chairman:

1 November 2012

Length of service as a director (as at 31 December 2015):

3 years 5 months

Board committee served on

- Corporate Disclosure Committee (Chairman)

Present directorship of public companies

Nil

Present principal commitments (other than directorship in other listed companies)

- Ramdas and Wong, Singapore (Consultant)
- National Trades Union Congress ("NTUC")
U Care Fund, Singapore (Chairman of the Board of Trustees)
- NTUC Endowment Fund Management Committee (Chairman)

Directorship in other listed companies held over the preceding three years

Nil

Background and working experience

- Director of Singapore Labour Foundation (From 2001 to 2010)
- Chairman of Bedok Citizen's Consultative Committees (From 1989 to 2007)
- Legal Assistant of Shook Lin & Bok, Singapore (From 1973 to 1974)
- Senior Officer of Development Bank of Singapore Ltd (From 1972 to 1973)

Award

- Public Service Star (BBM) in 1991 and BBM(L) in 2005 awarded in conjunction with the Singapore National Day

Tuan Haji Rosli Bin Abdullah, 62, Malaysian Non-Executive Independent Director

Post-Graduate, Diploma in Accounting, Universiti Malaya

Bachelor in Economics (Honours), Universiti Malaya

Master in Business Administration, Universiti Kebangsaan Malaysia

Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants

Date of first appointment as a director:

6 July 2012

Length of service as a director (as at 31 December 2015):

3 years 5 months

Board committee served on

- Audit Committee (Chairman)

Present directorships of public companies

- Keretapi Tanah Melayu Berhad
- Bank Pembangunan Malaysia Berhad
- Dagang NeXchange Berhad
- Malaysia Airports Holdings Berhad
- Global Maritime Ventures Berhad

Present principal commitment (other than directorship in other listed companies)

Nil

Directorship in other listed companies held over the preceding three years

Nil

Background and working experience

- Chief Executive Officer and Registrar of Malaysian Institute of Accountants (From 2009 to 2012)
- Adviser to Economic Planning Unit of Government of Malaysia (2008)
- Senior General Manager of Putrajaya Holdings Sdn. Bhd. (1996 to 2007)
- Financial Controller/General Manager of Finance of Kuala Lumpur International Airport Berhad (From 1994 to 1996)
- Director of Corporate Services at the Accountant General Department of Ministry of Finance (From 1993 to 1994)
- Bursar of Universiti Putra Malaysia (From 1991 to 1993)

**Tuan Haji Rosli Bin Abdullah, 62, Malaysian
Non-Executive Independent Director**
(continued)

- Chief Accountant at the Government Pension Department of Public Service Department, State Treasurer of the State of Kelantan (From 1989 to 1991)
- Chief Accountant in the Ministry of Education of Government of Malaysia (From 1983 to 1987)
- Chief Accountant in the Ministry of Works of Government of Malaysia (From 1981 to 1983)
- State Treasurer of the State of Kelantan (From 1978 to 1980)
- Accountant, Accountant General's office, Federal Treasury in the Ministry of Finance of Government of Malaysia (From 1976 to 1977)

Award

- Johan Setia Mahkota (J.S.M.), awarded by His Majesty Yang DiPertuan Agong on 1 June 2002

**Foo Wei Hoong, 55, Malaysian
Non-Executive Non-Independent Director**

Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
Fellow of the Association of Chartered Certified Accountants, United Kingdom
Certified Financial Planner, Financial Planning Association of Malaysia

Date of first appointment as a director:

1 June 2012

Length of service as a director (as at 31 December 2015):

3 years 7 months

Board committee served on

Nil

Present directorships of public companies

- Oriental 1936 Berhad
- MIDF DFI Berhad

**Present principal commitment (other than
directorship in other listed companies)**

- Malaysian Industrial Development Finance Berhad (Chief Financial Officer/Head, Finance & Information Technology Division)

**Directorship in other listed companies held over
the preceding three years**

Nil

Background and working experience

- Vice President of Financial Services of Malaysian National Insurance Berhad (now known as Etiqa Insurance Berhad) (From 2001 to 2006)
- Financial Controller of PanGlobal Insurance Berhad (From 1996 to 2001)

Board of Directors

Jason Leow Juan Thong, 49, Singaporean Non-Executive Non-Independent Director

Executive Master in Business Administration, Fudan University
Chartered Accountant of Singapore and a member of the Institute of Singapore Chartered Accountants
Advanced Management Program, Harvard Business School

Date of first appointment as an alternate director:

19 September 2014

Date of appointment as a director:

1 December 2014

Length of service as a director (as at 31 December 2015):

1 year 1 month

Board committees served on

- Executive Committee (Chairman)
- Corporate Disclosure Committee (Member)

Present directorship of public companies

Nil

Present principal commitment (other than directorship in other listed companies)

- CapitaLand Mall Asia Limited (CEO)

Directorship in other listed companies held over the preceding three years

Nil

Background and working experience

- CEO of CapitaLand China Holdings Pte. Ltd. (From July 2009 to September 2014)
- Deputy CEO of CapitaLand China Holdings Pte. Ltd. (From July 2005 to June 2009)
- General Manager, Business Development of CapitaLand Residential Limited (From July 2002 to June 2005)

Ng Chih Kaye, 60, Malaysian

Non-Executive Independent Director

Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
Fellow of the Association of Chartered Certified Accountants, United Kingdom

Date of first appointment as a director:

6 July 2012

Length of service as a director (as at 31 December 2015):

3 years 5 months

Board committee served on

- Audit Committee (Member)

Present directorships of public companies

- Agrobank (Bank Pertanian Malaysia Berhad)
- Malaysia Debt Ventures Berhad

Present principal commitment (other than directorship in other listed companies)

Nil

Directorship in other listed companies held over the preceding three years

Nil

Background and working experience

- Various positions, Executive Vice President being the last position of Malayan Banking Berhad (From 1985 to 2010)
- Audit Senior of KPMG Kuala Lumpur (From 1983 to 1984)
- Audit Senior of Blinkhorn, Lyon & Golding, London (From 1978 to 1982)

Ng Kok Siong, 44, Singaporean
Non-Executive Non-Independent Director

Bachelor of Accountancy (Honours), Nanyang Technological University of Singapore

Date of first appointment as a director:

10 June 2010

Length of service as a director (as at 31 December 2015):

5 years 6 months

Board committees served on

- Audit Committee (Member)
- Corporate Disclosure Committee (Member)
- Executive Committee (Member)

Present directorship of public companies

Nil

Present principal commitment (other than directorship in other listed companies)

- CapitaLand Limited (Chief Corporate Development Officer)

Directorship in other listed companies held over the preceding three years

Nil

Background and working experience

- Chief Financial Officer of CapitaMalls Asia Limited (now known as CapitaLand Mall Asia Limited) (From November 2009 to August 2014)
- Senior Vice President, Strategic Finance of CapitaLand Limited (From October 2008 to September 2009)
- Senior Vice President, CapitaLand Eurasia of CapitaLand Limited (From January 2007 to October 2008)
- Vice President, Office of the President of CapitaLand Limited (From September 2005 to January 2007)
- Strategy and Portfolio Manager of Shell Oil Products East (From August 2003 to September 2005)
- Planning and Appraisal Advisor of Shell Oil Products East (From July 2001 to August 2003)
- Regional Advisor of Exxon Mobil Asia Pacific Pte Ltd (From May 2000 to July 2001)
- Global Analyst of Esso Coordination Centre N.V. (From January 1999 to May 2000)
- Senior Planning Analyst of Esso Singapore Private Limited (From July 1998 to January 1999)

Tan Siew Bee, 56, Malaysian
Non-Executive Independent Director

Barrister at Law, Lincoln's Inn
 LL.B (Honours) Degree, University of East Anglia
 LL.M, University College, London

Date of first appointment as a director:

10 June 2010

Length of service as a director (as at 31 December 2015):

5 years 6 months

Board committee served on

- Audit Committee (Member)

Present directorship of public companies

Nil

Present principal commitment (other than directorship in other listed companies)

Nil

Directorship in other listed companies held over the preceding three years

Nil

Background and working experience

- Senior Partner & Head, Finance & Property Department of Messrs Shahrizat Rashid & Lee (From 2003 to 2007)
- Senior Partner & Head, Finance & Property Department of Messrs Shahrizat & Tan (From 1993 to 2003)

Board of Directors

Peter Tay Buan Huat, 67, Singaporean Non-Executive Independent Director

Bachelor of Engineering (Honours), Industrial Engineering,
University of Newcastle, Australia
Bachelor of Arts, Economics, University of Newcastle, Australia
Master of Science in Management (Sloan Fellows Program),
Massachusetts Institute of Technology, US
Doctor of Engineering honoris causa (Hon DEng), University of
Newcastle, Australia
Fellow of the Chartered Institute of Management Accountants (CIMA),
United Kingdom

Date of first appointment as a director:

10 June 2010

Length of service as a director (as at 31 December 2015):

5 years 6 months

Board committee served on

Nil

Present directorship of public companies

Nil

Present principal commitment (other than directorship in other listed companies)

- Koufu Pte. Ltd. (Corporate Advisor on part-time basis)

Directorship in other listed companies held over the preceding three years

Nil

Background and working experience

- Corporate Advisor of Temasek Holdings Pte. Ltd. (From 2007 to 2008)
- President and Chief Executive Officer of Singapore Food Industries (From 1989 to 2006)
- Concurrent Secondary Appointment, Group Director, Strategic Development of Singapore Technologies Group (From 1998 to 2004)
- Concurrent Secondary Appointment, Group Coordinator, Human Resource of Singapore Technologies Group (From 1992 to 1994)
- Director, Planning & Human Resource of Singapore Technologies Group (From 1986 to 1989)

Low Peck Chen, 41, Malaysian Chief Executive Officer

Executive Non-Independent Director

Bachelor of Accounting (First Class Honours), University of Malaya
Member of the Malaysian Institute of Accountants

Date of first appointment as an alternate director and deputy chief executive officer:

19 September 2014

Date of appointment as a director and chief executive officer:

1 November 2014

Length of service as a director (as at 31 December 2015):

1 year 2 months

Board committee served on

- Executive Committee (Member)

Present directorships of public companies

- CMMT MTN Berhad
- Milky Way Properties Berhad

Present principal commitment (other than directorship in other listed companies)

Nil

Directorship in other listed companies held over the preceding three years

Nil

Background and working experience

- Head of Finance of CapitaMalls Malaysia REIT Management Sdn. Bhd. (now known as CapitaLand Malaysia Mall REIT Management Sdn. Bhd.) (From June 2010 to September 2014)
- Finance Manager of CapitaLand Retail Malaysia Sdn. Bhd. (From September 2008 to June 2010)
- Finance Manager/Accountant of Halim Mazmin Berhad (From February 2004 to August 2008)
- Finance Executive of UEM World Berhad (From August 2002 to February 2004)
- Finance Officer of AmFinance Berhad (From May 2000 to July 2002)
- Auditor of Moores Rowland (From August 1999 to May 2000)

Trust Management Team

Low Peck Chen

Chief Executive Officer

Please refer to description under the section on 'Board of Directors'.

Yue Pei San

Head, Finance

Ms Yue has more than 18 years of experience in finance and accounting covering private companies, public listed corporations and real estate fund management. Prior to her current role, she was with CapitaLand Mall Fund Management Private Limited, a wholly owned subsidiary of CMA since June 2011 where she was responsible for the finance and accounting functions of the Private Real Estate Funds investing in retail properties in China. In 2012, she was involved in the establishment of a new Private Fund to invest in the development of shopping malls and properties predominantly used for retail purposes in China. Her responsibilities also include finance-related support for acquisitions and divestments of retail properties in China directly held by CMA. Before joining CMA, she worked with IMC Pan Asia Alliance Group and Singapore Press Holdings Ltd.

Ms Yue holds a Bachelor of Accountancy from Nanyang Technological University, Singapore and is a member of the Institute of Singapore Chartered Accountants.

Tng Wei Chien

Head, Investment & Asset Management

Mr Tng has more than 7 years of real estate investment and asset management experience, and is responsible for acquisitions, fund raising and overall performance of CMMT's assets. He led the acquisition of Tropicana City Property in 2015, Gurney Plaza Extension and East Coast Mall in 2011 and participated actively in the fund raising for these acquisitions. Through major asset enhancement initiatives for Gurney Plaza and East Coast Mall, he has successfully improved the capital value and performance of these assets. He was part of the core team that spearheaded the listing of CMMT on the Main Market of Bursa Securities in 2010. Prior to the listing of CMMT, he was the Manager, Investment & Asset Management for CMA Malaysia, and was responsible for the performance of CMA's properties in Malaysia. Prior to joining CMA, Mr Tng held various appointments in Singapore's civil service at the Ministry of Transport, Ministry of Education and DSO National Laboratories.

Mr Tng holds a Master of Science in Wealth Management from the Singapore Management University and a Bachelor of Science in Electrical and Computer Engineering (Honours) from Carnegie Mellon University.

Fern Tan Feng Ching

General Manager, Retail Management

Ms Tan has more than 20 years of experience in the retail property industry covering leasing, leasing administration, advertising and promotions, human resources and mall operations. Prior to joining the Manager, Ms Tan was with CMA Malaysia and was responsible for the financial and operational performance of The Mines. In such capacity, she formulated and executed the major asset enhancement initiatives in 2008 and 2009, which resulted in significant growth of the asset's income, occupancy and shopper traffic. Before this, she was the Deputy Leasing Head of CapitaRetail China and Group Leasing Manager for CMA in Singapore. Prior to joining CMA, Ms Tan worked for Crimson Berhad and Sungei Wang Plaza Sdn Bhd, which was under Landmark Bhd, and was involved in marketing and leasing activities at Endah Parade and Sungei Wang Plaza.

Ms Tan holds a Bachelor of Science (Travel Industry Management) from Hawaii Pacific University, USA.

Grace Yap Mei Wan

Compliance Officer

Head, Legal, Secretariat & Compliance

Ms Yap has more than 22 years of work experience with seven years as a practicing lawyer and 15 years as an in-house legal counsel in both public listed and private limited companies. Prior to joining the Manager, she was initially a legal practitioner involved in concessions/privatisation, management buy-outs, public listing, due diligence exercises, joint ventures and mergers and acquisitions practices. From the legal profession she pursued her career as an in-house legal counsel whereby she assisted large and diversified corporations with asset acquisitions, corporate finance, property development, conveyancing, project management as well as corporate advisory matters.

Ms Yap holds an LLB (Honours) degree from the University of Nottingham, England and was admitted to the English Bar and Malaysian Bar in 1991 and 1993 respectively.

Trust Management Team

Choo Wee Chyn

Head, Design Management

Mr Choo has more than 15 years of experience in the design and development of housing and commercial projects. Prior to joining the Manager, Mr Choo was the Design Manager of CMA Malaysia and oversaw design management and tenancy design for the CMA malls in Malaysia. Mr Choo was involved in conducting feasibility assessments and due diligence for asset acquisitions and the planning, design and execution of various AEs relating to the malls in the CMA portfolio. He was also responsible for establishing and implementing shop fit-out design standards and guidelines as well as ensuring that shop designs were of a standard befitting the respective mall's positioning. Before relocating to Malaysia, Mr Choo participated in CMA's project bids and AEs in Singapore. Prior to joining the CMA Group, he was a practicing architect and worked for various large architectural companies where he focused on commercial and residential building design and construction.

Mr Choo holds a Master of Architecture and a Bachelor of Arts (Architecture Studies) from the National University of Singapore and is a registered Architect with the Board of Architects (Singapore).

Mah Kok Foon

Head, Human Resources

Mr Mah has over 18 years of experience in human resource management covering manpower planning and recruitment, training and development, compensation and benefit, performance management, talent management as well as industrial and employee relations. Prior to his present position, he led the Human Resources department of CMA Malaysia, which he joined in 2009. In this capacity, he rolled out series of enhanced employees' benefit programmes, implemented human resources-related policies and procedures in Malaysia and also coordinated the rationalisation of salary and benefits packages for new staff during acquisition-related due diligence exercises. Prior to joining CMA, he worked with Prudential Services Asia Sdn. Bhd., GCH Retail Malaysia Sdn. Bhd. and Gurney Plaza Sdn. Bhd.

Mr Mah holds a Master of Business Administration and a Bachelor of Economics (Hons) from Northern University of Malaysia.

Ibrahim Ahmad

Head, Operations

Mr Ibrahim has over 24 years of experience in real estate covering both project and property management. Prior to joining the Manager, he was the

Head of Engineering and Technical Services of CMA Malaysia and was responsible for the implementation of the standard operating procedures and emergency response procedures for the respective shopping malls. He was also involved in the preparation of operations and maintenance budgets, review of equipment performance and procurement of service contracts. In addition to the above, he led the implementation of systems that resulted in the award of ISO9000, ISO14000 and ISO18000, as well as Green Mark certification, for malls within the portfolio.

Mr Ibrahim graduated with a Bachelor of Science (Real Estate Management) from Oxford Brookes University, United Kingdom, and has a Diploma in Building from Singapore Polytechnic. He is a qualified Fire Safety Manager registered with the Fire Safety Bureau of Singapore.

Vivian Kok Cheek Fong

Head, Marketing Communications

Ms Kok has more than 19 years of experience in marketing communications and public relations. Ms Kok was previously the General Manager, Marketing Operations for CMA China. Prior to joining CMA, Ms Kok was the Vice President, Marketing Communications of Perennial (China) Retail Management Pte Ltd. Earlier, she was the Marketing Director of Tesco Property Ltd overseeing the real estate properties in South Region of China. Under her 8-year stint in China, she has opened more than 15 malls spread across China and played an instrumental role in setting up the marketing team and standard operating procedures. Prior to her China posting, Ms Kok has held various marketing communications positions in a number of malls in Singapore.

Ms Kok holds a Bachelor of Arts, majoring in Chinese from National University of Singapore.

Jasmine Loo Pik Kwan

Senior Manager, Investor Relations

Ms Loo gained experience in corporate communications during her tenure as Corporate Communications Manager with one of the listed property developers in Malaysia for more than five years. Prior to that, she worked as writer for several established publishers in the media industry, e.g. The New Straits Times Press and The Edge Communications.

Ms Loo holds a Bachelor of Arts (English Language) from Universiti Putra Malaysia.

Corporate Governance

The Manager

The primary role as the Manager of CMMT is to set the strategic direction of CMMT and make recommendations to the Trustee on the acquisition of new assets and divestment or enhancement of CMMT's assets in accordance with its stated investment strategy. The research, evaluation and analysis required for this purpose are coordinated and carried out by the Manager. The Manager is also responsible for the system of risk management and internal controls for CMMT.

The Manager has general powers of management over the assets of CMMT. The Manager's primary responsibility is to manage the assets and liabilities of CMMT for the benefit of the Unitholders of CMMT. This is done with a focus on generating rental income and enhancing asset values over time so as to maximise the returns from the investments, and ultimately the distributions and total return to Unitholders.

Other functions and responsibilities of the Manager include:

- Using its best endeavours to conduct CMMT's business in a proper and efficient manner and to conduct all transactions on behalf of CMMT at arm's length.
- Preparing annual property plans for review by the Manager's Directors, including forecasts on revenue, net income and capital expenditure, reasons for major variances to previous years' numbers, written commentaries on key issues and underlying assumptions for rental rates, operating expenses and other relevant assumptions. These plans explain the performance of CMMT's assets.
- Ensuring compliance with relevant laws and regulations, including but not limited to the Companies Act, 1965, the Capital Markets and Services Act 2007, the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Listing Requirements), the Securities Commission's Guidelines on Real Estate Investment Trusts (REITs Guidelines) and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its Unitholders.
- Attending to all regular communications with Unitholders.
- Supervising Knight Frank Malaysia Sdn. Bhd. and Zaharin Nexcap Property Management Sdn. Bhd. (Property Managers), which pursuant to the property management agreements, perform the day-to-day property management functions (including leasing, accounting, marketing and promotions, property management and operations) for CMMT's properties namely Gurney Plaza, Sungei Wang Plaza, Tropicana City Mall and Tropicana City Office Tower, The Mines and East Coast Mall.

The Manager also considers sustainability issues (including environmental and social factors) as part of its responsibilities. CMMT's environmental sustainability and community outreach programmes at CMMT's malls are set out on pages 48 to 49.

CMMT, constituted as a trust, is externally managed by the Manager and therefore has no personnel of its own. The Manager appoints experienced and well qualified individuals to run its day-to-day operations. All Directors and employees of the Manager are remunerated by the Manager and not CMMT.

The Manager was appointed in accordance with the terms of the trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) (the Deed). The Deed outlines certain circumstances under which the Manager can be removed; through a special resolution passed by a majority consisting of not less than three-fourths of the Unitholders present and voting at a meeting of Unitholders duly convened and held in accordance with the provisions of the Deed, on grounds of a breach of its obligations under the Deed which the Manager failed to remedy despite the request to remedy from the Trustee.

The Manager is a subsidiary of CapitaLand Limited which holds a significant unitholding interest in CMMT. CapitaLand is a long-term real estate developer and investor and has strong inherent interests in the performance of CMMT. CapitaLand's retention of a significant unitholding interest in CMMT ensures its commitment to CMMT and aligns its interests with other Unitholders. The Manager's association with CapitaLand provides the following benefits, amongst other things, to CMMT:

- (a) stable pipeline of property assets through CapitaLand's development activities;
- (b) wider and better access to banking and capital markets on favourable terms;
- (c) fund raising and treasury support; and
- (d) access to a bench of experienced management talent.

Corporate Governance

Corporate Governance Culture

Strong corporate governance has always been the priority of the Manager. The Manager recognises that an effective corporate governance culture is critical to the performance and, consequently, to the success of CMMT.

The Manager (the Company, and together with CMMT and its subsidiary, the Group) is committed to high standards of corporate governance and transparency in the management of CMMT and operates in the spirit of the Malaysian Code on Corporate Governance 2012 (the Code), wherever applicable, in discharging responsibilities of the Manager in dealings with Unitholders and the other stakeholders. The following paragraphs describe corporate governance policies and practices of the Manager in 2015, with specific references to the Code. They encompass proactive measures adopted by the Manager to best safeguard the Unitholders' interests by avoiding situations of conflict and potential conflicts of interest, including prioritising the interests of Unitholders over the Manager's and ensuring that applicable laws and regulations are complied with. For ease of reference, the same provisions referred to in the Code are identified below in italics.

PRINCIPLE 1: ESTABLISH CLEAR ROLES AND RESPONSIBILITIES

Board's Roles and Responsibilities

The Board of Directors of the Manager (the Board) is responsible for guiding and directing the Manager, in furtherance to the Manager's primary responsibility to manage the assets and liabilities of CMMT for the benefit of Unitholders. Each Director must act honestly, with due care and diligence. Decisions are taken objectively in the interest of CMMT's Unitholders. The Manager has adopted guidelines, details of which are set out on pages 36 to 37 for Related Party Transactions (as defined herein) and dealings with conflicts of interest.

The Board provides leadership to the Manager, sets the strategic directions and oversees the competent management of CMMT in pursuance of meeting its objectives. The Board establishes goals for Management and monitors the achievement of these goals. It ensures that proper and effective controls are in place to assess and manage business risks and compliance with the Listings Requirements, REITs Guidelines as well as any other applicable guidelines prescribed by the SC, Bursa Malaysia or other relevant authorities as well as any other applicable laws. It also sets the disclosure and transparency standards for CMMT and ensures that obligations to Unitholders and other stakeholders are understood and met.

The Board meets regularly to discuss and review the Manager's key activities, including its business strategies and policies for CMMT. Board meetings are scheduled in advance, and are held at least once every quarter to deliberate on matters of strategic significance for CMMT, including any significant acquisitions and disposals, the annual budget, CMMT's and the Manager's business and financial performance reviews and approval for release of the quarterly and full-year results. Additional Board meetings are held, where necessary, to address significant transactions or issues. The Articles of Association of the Manager permit Board meetings to be held by way of tele-conference and video conference.

The Board's duties and responsibilities are guided by a Board Charter and include:

- (a) approving the Group's broad policies, strategies and objectives;
- (b) approving annual budgets, major funding, including capital management proposals, investment and divestment proposals;
- (c) reviewing at least annually the adequacy and effectiveness of the Group's risk management and internal control systems including financial, operational, compliance and information technology controls;
- (d) reviewing and approving succession plans for Directors;
- (e) reviewing and approving the appointment of and succession plans for the Chief Executive Officer (CEO);
- (f) reviewing and approving Board compensation; and
- (g) approving the compensation framework and specific remuneration packages of the CEO and key management personnel.

Specific matters which are reserved for the Board's approval include:

- (a) material acquisitions, investments, disposals, and divestments;
- (b) corporate and financial restructuring;
- (c) share issuance, dividends and other returns to shareholders;
- (d) approving the targets for and assessing the performance of the CEO and reviewing the compensation package for the CEO; and
- (e) matters which involve conflict of interest for a substantial shareholder, major Unitholder or a Director.

In the discharge of its functions, the Board is supported by an Audit Committee (AC) that provides independent oversight of the Manager, and which also serves to ensure that there are appropriate checks and balances. The Board is also supported by a Corporate Disclosure Committee and Executive Committee (EXCO). Each of these Board committees operates under delegated authority from the Board. Other committees may be formed as dictated by business imperatives and/or to promote operational efficiency.

The AC is established by the Board from among the Directors of the Manager and comprises four members, all non-executive, majority of whom (including the Chairman of the AC) are independent.

The AC members have the relevant expertise to discharge the functions of an audit committee. At present, two members of the AC are members of the Malaysian Institute of Accountants. The principal responsibilities of the AC under its terms of reference include the following:

- Monitoring and evaluating the effectiveness of internal control processes (including financial, operational, compliance controls, information technology and risk management policies and systems) by reviewing internal and external audit reports to ensure that where deficiencies in internal controls have been identified, appropriate and prompt remedial action is taken by Management;
- Reviewing the quality and reliability of information prepared for inclusion in the financial reports and approving the financial statements and the audit report before recommending to the Board for approval;
- Reviewing the adequacy and effectiveness of the internal audit function;
- Monitoring the procedures established to regulate Related Party Transactions (as defined herein) including ensuring compliance with applicable provisions of the Listing Requirements and the REITs Guidelines;
- Reviewing the appointment and re-appointment of both internal and external auditors (including remuneration and terms of engagement) before recommending them to the Board for approval and reviewing the adequacy of existing audits in respect of cost, scope and performance;
- Reviewing the scope and results of the audit and its cost effectiveness, the independence and objectivity of the external auditors, non-audit services provided by the external auditors and confirming that they would not, in the AC's opinion, impair the independence of the external auditors; and
- Monitoring the procedures in place to ensure compliance with applicable legislation, the Listing Requirements and the REITs Guidelines.

The AC is authorised to investigate any matters within its terms of reference. The AC has full access to and co-operation of Management and the internal auditors and has full discretion to invite any executive officer and employee to attend its meetings. The internal auditors and CMMT's external auditors have unrestricted access to the AC. Reasonable resources have been made available to the AC to enable it to discharge its duties.

The AC meets CMMT's external auditors, without the presence of Management, at least twice a year. In its review of the audited financial statements for FY 2015, the AC discussed with Management and external auditors the accounting principles that were applied. Based on the review and discussions with Management and the external auditors, the AC is of the view that the financial statements are fairly presented, and conform to generally accepted accounting principles in all material aspects. The AC has also conducted a review of all non-audit services provided by the external auditors during the financial year and is satisfied that the nature and extent of such services will not prejudice the independence and objectivity of the external auditors. The aggregate amount of fees paid and payable to the external auditors for FY 2015 was RM297,500 of which audit fees amounted to RM181,000 and non-audit fees amounted to RM116,500.

Corporate Governance

Management closely monitors changes to accounting standards and other similar issues which may potentially have an impact on financial statements, and provides the AC with relevant briefings and updates during quarterly AC meetings and/or at specially convened sessions conducted by professionals or via circulation of AC papers.

AC meetings are generally held after the end of every quarter in every financial year. During FY 2015, the AC met a total of four times.

The Corporate Disclosure Committee pursues best practices concerning transparency and reviews corporate disclosure matters relating to CMMT including announcements made to Bursa Securities.

The EXCO oversees the day-to-day activities of the Manager on behalf of the Board. The principal responsibilities of the EXCO under its terms of reference include the following:

- Approving or making recommendations to the Board on write-offs of investments;
- Approving or making recommendations to the Board on new investments and acquisitions;
- Approving specific budgets for capital expenditure involving development projects, acquisitions and enhancements/upgrading of properties;
- Reviewing management reports and operating budgets;
- Awarding contracts for development projects;
- Reviewing the adequacy and completeness of the overall risk management framework of CMMT;
- Evaluating and making recommendations for the Board's approval of the risk guidelines and limits for CMMT;
- Reviewing CMMT's risk portfolio mix and risk levels as and when required;
- Reporting to the Board on decisions made by the EXCO; and
- Performing such other functions as delegated by the Board.

During FY 2015, the EXCO met formally for a total of three times. The members of the EXCO also meet informally during the course of the year.

The Board has adopted a set of internal controls which sets out approval limits for, among other things, capital expenditure, new investments and divestments, bank borrowings and minimum signatory requirements for cheques at the Board level. Apart from matters that specifically require the Board's approval such as the issue of new Units and income distribution, the Board, while approving certain transactions exceeding certain threshold limits and delegates authority for transactions below those limits to Board committees and Management. Appropriate delegation of authority and approval of sub-limits are also provided at the management level to facilitate operational efficiency.

Supply and Access to Information

Management provides the Board with complete and adequate information in a timely manner. This is done through regular updates on financial results, market trends and business developments. Changes to regulations, policies and accounting standards are also monitored closely.

To keep pace with regulatory changes, where these changes have an important and significant bearing on CMMT and its disclosure obligations, the Directors are briefed by Management during Board meetings, at specially convened sessions or via circulation of Board papers. Information provided to the Board includes explanatory background information relating to matters to be brought before the Board, budgets, forecasts and management accounts. In relation to budgets, any material variance between projections and actual results are disclosed and explained.

The Board is supported by a suitably qualified and competent Secretary. The Secretary of the Manager works with the Chairman and Management to ensure that Board papers and agendas are provided to each Director in advance of the Board meetings so that they can familiarise themselves with the matters prior to the Board meetings. Senior executives who can provide additional insights into matters to be discussed are requested to also attend the Board meetings so as to be at hand to provide clarifications and/or additional information. Board meetings are usually half-day affairs and include presentations by senior executives, external consultants and experts on strategic issues relating to specific business areas.

The Board is entitled to have separate and independent access to the Manager's senior management and the Secretary, and vice versa. The Secretary provides the Board with necessary assistance and is also responsible for assisting the Chairman in ensuring adherence to Board procedures and compliance with applicable laws and regulations. Under the direction of the Chairman, the Secretary's responsibilities include ensuring good information flow within the Board and its committees and between senior management and Non-Executive Directors, as well as facilitating orientation of new directors and assisting with the professional development of the Directors as and when required. The Secretary attends Board meetings and Board committee meetings to take minutes.

Where necessary, the Manager will, upon request of the Directors (whether as a group or individually), provide them with independent professional advice, at the Manager's expense, to enable them to discharge their duties. The Secretary assists the Directors in obtaining such advice.

PRINCIPLE 2: STRENGTHEN COMPOSITION

Currently, the Board consists of nine Directors of whom five are Non-Executive Independent Directors. The Board determines that Mr David Wong Chin Huat, Tuan Haji Rosli bin Abdullah, Ms Tan Siew Bee, Dr Peter Tay Buan Huat and Mr Ng Chih Kaye are considered to be Independent Directors under the Listing Requirements and REITs Guidelines. The majority of the Board consists of Independent Directors.

Non-Executive Directors actively participate in setting and developing strategies and goals for Management, reviewing and assessing Management's performance. This enables Management to benefit from their external and diverse perspectives on issues that are brought before the Board.

It also enables the Board to interact and work with Management through a healthy exchange of ideas and views to help shape the strategic process. A clear separation of the roles between the Chairman and CEO is further described on page 30.

The composition of the Board is reviewed regularly to ensure that the Board has the appropriate size and mix of expertise and experience. The Board comprises persons who, as a group, provide the necessary core competencies and the current Board size is appropriate, taking into consideration the nature and scope of CMMT's operations. The profiles of the Directors are set out on pages 16 to 20.

Board Membership

The Manager does not have a nominating committee. In view that the Manager is a dedicated manager to only CMMT, and taking into account the activities and scale of business of CMMT and the infrequent independent director appointments on the Board of the Manager, the Board considers that the objectives of a nominating committee may be achieved by the full board, which comprises a majority of independent directors, undertaking the responsibilities of a nominating committee. Therefore, the Board performs the functions that such a committee would otherwise perform, namely, it administers nominations to the Board, reviews the structure, size and composition of the Board, and reviews the independence of Board members. Directors of the Manager are not subject to periodic retirement by rotation.

The composition of the Board, including the selection of candidates for new appointments to the Board as part of the Board's renewal process, is determined using the following principles:

- The Board should comprise Directors with a broad range of commercial experience, including expertise in fund management, the property industry and in the banking and legal fields; and
- At least one third of the Board should comprise Independent Directors. In the event the Chairman of the Board is not an Independent Director, majority of the Board should comprise Independent Directors. The Chairman of the Manager's Board is an Independent Director and the Board comprises a majority of Independent Directors.

Corporate Governance

The selection of candidates is evaluated taking into account various factors including the current and mid-term needs and goals of CMMT, as well as the relevant expertise of the candidates and their potential contributions. Candidates may be put forward or sought through contacts and recommendations. The Manager issues formal letters to newly-appointed Directors setting out various information including their duties and obligations as directors upon their appointment. Newly appointed Directors are briefed on CMMT's business activities, strategic direction and policies, the regulatory environment in which CMMT operates, the Manager's corporate governance practices, and their statutory and other duties and responsibilities as Directors. Directors are also encouraged to participate in industry conferences, seminars and training programmes in connection with their duties.

Board Evaluation

As and when deemed appropriate, reviews of Board performance are informally conducted. The Manager believes that collective Board performance and that of individual Board members are better reflected in and evidenced by its and their proper guidance, diligent oversight and able leadership, and the support that it lends to Management in steering CMMT in the appropriate direction resulting in the long-term performance of CMMT whether under favourable or challenging market conditions whilst safeguarding the interests of CMMT and maximising Unitholders' value. Renewal or replacement of Board members do not necessarily reflect their contributions to date, but may be driven by the need to position and shape the Board in line with the medium term needs of CMMT and its business. The Board was also able to assess the performance of the Board committees through their regular reports to the Board on their activities.

Contributions by an individual Board member can also take other forms, including providing objective perspectives on issues, facilitating business opportunities and strategic relationships and accessibility by Management outside of a formal environment of Board and/or Board committee meetings.

Pursuant to the Listing Requirements, the limit on the number of directorships in listed issuers is five. A Director with multiple directorships is expected to ensure that sufficient attention is given to the affairs of the Manager and CMMT.

Remuneration

The Manager believes that a framework of remuneration for the Board and key executives should not be taken in isolation. It should be linked to the building of management bench strength and the development of key executives. This is to ensure continual development of talent and renewal of strong and sound leadership for a sustainable business and a lasting company in the best interest of CMMT.

The remuneration of the Directors and staff of the Manager is paid by the Manager, and not by CMMT. As the Manager is a subsidiary of CapitaLand, it adheres to the remuneration policies and practices of CapitaLand. The Manager therefore does not have a remuneration committee.

The Manager's tapping on the compensation framework of CapitaLand puts the Manager in a better position to attract better qualified management talent, who may otherwise not be attracted to a standalone REIT manager. The Manager being an indirect subsidiary of CapitaLand also provides an intangible benefit of allowing its employees to be associated with the wider corporate group identity which can offer them the depth and breadth of experience and career horizon and this enables the Manager to attract and retain qualified individuals.

The Board has carefully considered the remuneration policies and practices of CapitaLand and is satisfied that such policies and practices will provide the Manager with a suitable remuneration policy.

Ultimately, the Directors' fees of CMRM is subject to approval of the shareholders of the Manager.

The remuneration of Directors for FY 2015 is shown in the following table. The CEO does not receive Directors' fees. Non-Executive Directors have no service contracts with the Manager. They receive Directors' fees which comprise a basic retainer fee as a Director, an additional fee for serving on any of the Board committees and an attendance fee for participation in meetings of the Board and any of the Board committees. In determining the quantum of such fees, factors such as frequency of meetings, time spent and responsibilities undertaken by directors are considered. The Chairman and members of the AC receive additional fees to take into account the nature of their responsibilities and the increased frequency of these meetings.

Directors' Remuneration for FY 2015

Board Members	FY 2015¹ (RM)	FY 2014¹ (RM)
David Wong Chin Huat	205,000	197,000
Tuan Haji Rosli Bin Abdullah	152,000	142,000
Foo Wei Hoong ²	85,000	77,000
Jason Leow Juan Thong ^{3,4}	139,000	11,250
Ng Chih Kaye	126,000	122,000
Ng Kok Siong ³	182,000	178,000
Tan Siew Bee	130,000	122,000
Peter Tay Buan Huat	97,000	89,000
Low Peck Chen	–	–
Lim Beng Chee (Alternate Director to Simon Ho Chee Hwee and Ng Kok Siong) ^{3,5}	–	2,000
Jason Leow Juan Thong (Alternate Director to Simon Ho Chee Hwee and Ng Kok Siong) ^{3,6}	–	2,000
Simon Ho Chee Hwee ^{3,7}	–	119,750

PRINCIPLE 3: REINFORCE INDEPENDENCE*Annual Assessment of Independence*

The independence of each Director is reviewed by the Board upon appointment, and thereafter annually as and when circumstances require. An Independent Director is one who has no relationship with the Manager, its related parties, its shareholders who hold 10% or more of the voting shares in the Manager or Unitholders who hold 10% or more units in issue of CMMT or its officers that could interfere, or be reasonably perceived to interfere with the exercise of independent judgement or the ability to act in the best interest of CMMT.

The Manager applies the Listing Requirements, the REITs Guidelines and the Code in determining if a Director is independent. In making the determination, a questionnaire (that contains, amongst others, disclosures of interest by the Director) completed by the director before his/her appointment is taken into consideration. Each year all Directors are asked to reaffirm their status as an Independent Director.

Tenure of Independent Directors

Recommendation 3.2 of the Code states that the tenure of an independent director should not exceed a cumulative term of nine years. None of the Independent Directors has served on the Board beyond nine years.

¹ Inclusive of attendance fees of (a) RM4,000 (local director) and RM6,000 (foreign director) per meeting attendance in person, (b) RM2,000 per meeting attendance via tele-conference or video conference, and (c) RM2,000 per project or verification meeting subject to a maximum of RM20,000 per Director per annum. Directors' fees are subject to the approval of the Manager's shareholders.

² The Director's fees (excluding attendance fees) to Foo Wei Hoong are payable to Malaysian Industrial Development Finance Berhad (MIDF).

³ In respect of Directors who are nominees of CapitaLand or CapitaLand Mall Asia Limited (CMA), the Directors' fees are payable to CapitaLand and CMA.

⁴ Jason Leow Juan Thong was appointed as a Non-Executive Non-Independent Director of the Board, Chairman of the Executive Committee and a member of the Corporate Disclosure Committee with effect from 1 December 2014.

⁵ Lim Beng Chee ceased as an Alternate Director to Simon Ho Chee Hwee and Ng Kok Siong with effect from 19 September 2014.

⁶ Jason Leow Juan Thong was appointed as an Alternate Director to Simon Ho Chee Hwee and Ng Kok Siong with effect from 19 September 2014 and later ceased as an Alternate Director with effect from 1 December 2014.

⁷ Simon Ho Chee Hwee resigned as a Non-Executive Non-Independent Director and ceased to be Chairman of the EXCO and a member of the Corporate Disclosure Committee with effect from 1 December 2014.

Corporate Governance

Chairman and CEO

To maintain an appropriate balance of power, increased accountability and greater capacity of the Board for independent decision making, the roles and responsibilities of Chairman and CEO are held by separate individuals. The division of responsibilities between the Chairman and the CEO facilitates effective oversight and a clear segregation of duties. The Chairman and the CEO are not related to each other and the Chairman is a Non-Executive Independent Director.

The Chairman plays a significant leadership role by providing clear oversight, advice and guidance to the CEO and Management on strategies and business operations.

The Chairman leads the Board to ensure the effectiveness on all aspects of its role and sets its agenda. He ensures that members of the Board receive accurate, clear and timely information, facilitates the contribution of Non-Executive Directors, encourages constructive relationships between Executive Directors, Non-Executive Directors and Management, ensures effective communication with Unitholders and promotes a high standard of corporate governance.

The Chairman also ensures that the Board works together with Management with integrity, competency and moral authority, and that the Board constructively engages Management in deliberations on strategy, business operations and enterprise risks.

The CEO is a Board member and has full executive responsibilities over the business direction and operational decisions in managing CMMT.

PRINCIPLE 4: FOSTER COMMITMENT

Time Commitment

Currently, the directorships held by each Board member are disclosed to the Secretary in accordance with the law and regulations. All Directors are aware that they should devote sufficient time to carry out their responsibilities to the Manager and CMMT. Policies and procedures are in place and strictly complied by the Board before acceptance of any new directorships by any member of the Board.

Board and Board Committee Attendance

The matrix of Board members' participation and attendance records at meetings of the Board and the specialty Board committees during the year are provided below. The participation and attendance records also reflect each Board member's additional responsibilities and special focus on the respective Board committees.

Six Board meetings were held during FY 2015. The table contains the attendance record of Directors at Board and Board committee meetings during the year, and details of their memberships in the Board and Board committees.

Composition and Meeting Attendance

Board Members	Composition			Meeting Attendance		
	Audit Committee	Executive Committee	Corporate Disclosure Committee	Board Number of Meetings Held: 6	Audit Committee Number of Meetings Held: 4	Executive Committee Number of Meetings Held: 3
David Wong Chin Huat	–	–	Chairman	6	N.A.	N.A.
Tuan Haji Rosli Bin Abdullah	Chairman	–	–	6	4	N.A.
Foo Wei Hoong	–	–	–	5	N.A.	N.A.
Jason Leow Juan Thong	–	Chairman	Member	5	N.A.	3
Ng Chih Kaye	Member	–	–	6	3	N.A.
Ng Kok Siong	Member	Member	Member	6	4	3
Tan Siew Bee	Member	–	–	6	4	N.A.
Peter Tay Buan Huat	–	–	–	6	N.A.	N.A.
Low Peck Chen	–	Member	–	6	N.A.	3

N.A. – Not applicable

Directors' Training

All Directors attended the Mandatory Accreditation Programme (MAP) and as prescribed by Bursa Securities, within four months of their appointments.

The Manager provides suitable training for Directors. Upon appointment each Director is provided with a formal letter of appointment and is also given a copy of the Directors' Manual (which includes information on a broad range of matters relating to the role of a director). All Directors on appointment are required to undertake an induction programme to familiarise themselves with matters relating to the business activities of CMMT, its strategic directions and policies, the regulatory environment in which CMMT operates and the Manager's corporate governance practices. The Manager also provides appropriate training for first time Directors including industry-specific knowledge.

Following their appointment, Directors are provided with opportunities for continuing education in areas such as directors' duties and responsibilities, changes to regulations and accounting standards and industry-related matters, so as to be updated on matters that affect or may enhance their performance as Directors or Board committee members.

During the year under review, the Directors attended various conferences/programmes to enhance their knowledge and expertise and to keep abreast with the relevant changes in law, regulations and the business environment. In this regard, the Board will continue to evaluate and determine the training needs of its Directors on an ongoing basis.

The training programmes, conference and seminars attended by the Directors during FY 2015 related to, *inter alia*, corporate governance, audit committee, strategy and risk, and Directors' duties and responsibilities, the details of which are listed in the table on the following page.

Corporate Governance

Directors' Training Programmes

Date	Course Title / Organiser
20 Jan 15	In-house training on "Qualified Risk Director : Corporate Culture & Enterprise Risk Management" by Institute of Enterprise Risk Practitioners
21 Jan 15	Islamic Finance Conference by Malaysian Institute of Accountants/Islamic Banking and Finance Institute Malaysia
23 & 24 Mar 15	Directors Forum 8/2015 on "Talent and Human Capital : The Drivers of Growth and Creativity" by Malaysian Directors Academy
24 Mar 15	Conference on Audit Committee by Malaysian Institute of Accountants and Institute of Internal Auditors
25 Mar 15	In-house training on Media Handling Workshop by MediaCorp Singapore
1 Apr 15	8 th World Halal Conference by Halal Industry Development Corporation Sdn. Bhd.
27 Apr 15	12 th Asean Leadership Forum by Asian Strategy and Leadership Institute
11 May 15	Forum on Corporate Governance – "Balancing Rules & Practices" by Association of Chartered Certified Accountants, KPMG and Minority Shareholder Watchdog Group
18 May 15	In-house training on Strategic Business Leadership & Coaching for Performance by ODE Consulting
19 May 15	ACCA Conference by ACCA
22 May 15	Seminar on Asia Real Estate Investment – Capital Market Valuations & Private Equity by AB Maximus Training
28 May 15	Seminar on Basel 2 and 3 by PricewaterhouseCoopers
16 Jun 15	MINDA PowerTalk Series: Growth Through Innovation, Sustainability And Talent Development by Malaysian Directors Academy
5 Aug 15	Investors' Roundtable (Integrated Reporting : Why Is It Relevant To Investors?) by Malaysian Institute of Accountants
18 Aug 15	Forum on Board Leading Change - Organisational Transformation Strategy as a key to Sustainable Growth by Financial Institutions Directors Education
7 Sep 15	2015 National Conference on Governance, Risk & Control : Gearing for Innovation by The Institute of Internal Auditor Malaysia
14 Sep 15	MFRS/FRS Update 2015/2016 Seminar by KPMG
16 Sep 15	SID Directors' Conference 2015 on "Boards and Innovation" by Singapore Institute of Directors
21 Sep 15	Corporate Governance Breakfast Series with Directors – "Future of Auditor Reporting – The Game Changer for Boardroom" by Bursa Malaysia, and The Malaysian Institute of Certified Public Accountants
29 & 30 Sep 15	Risk Management Bootcamp, Malaysia by Incisive Media, Hong Kong
16 Oct 15	In-house training on "Innovation Strategy" by Malaysian Directors Academy
19 & 20 Oct 15	Seminar on "The 2nd Annual Mixed Use Developments - Great Things Are Done By A Series of Small Things Brought Together" by Marcus Evans
28 Oct 15	Forum on Beyond Compliance to Growth by Financial Institutions Directors Education and Bank Negara Malaysia
30 Oct 15	Forum on Directors' Register – Competencies for Board Talent by Financial Institutions Directors Education and Bank Negara Malaysia
4 Nov 15	Forum on Role of Boards in Maximising Potential – Digital Transformation and Its Impact on Financial Sectors by Financial Institutions Directors Education and Bank Negara Malaysia
17 Nov 15	In-house training on Rights and Duties of Purchasers or Proprietors under the Strata Management Act 2013 (Act 757) and Regulations Made Thereunder by Andrew Wong and Co (Advocates and Solicitors)
19 Nov 15	Capital Market Director Programme for Fund Management (Module 1, 2B, 3 & 4) by Securities Industry Development Corporation
26 Nov 15	In-house training on Anti-Money Laundering and Anti-Terrorist Financing and Proceeds of Unlawful Activities (AMLATFPUAA 2001) for Directors by Securities Industry Development Corporation

PRINCIPLE 5: UPHOLD INTEGRITY IN FINANCIAL REPORTING*Financial Reporting*

The Manager has implemented quarterly financial reporting for CMMT since inception. Financial results and other price sensitive public announcements are presented in a balanced and understandable format for the assessment of CMMT's performance, position and prospects.

As reported on page 25, the AC has ensured that the financial statements comply with applicable financial reporting standards and assessed the suitability and independence of the external auditors.

Suitability and Independence of External Auditors

The Manager adopted the External Auditor Independence Guide to enable the AC to assess the suitability and independence of the external auditor.

The AC meets CMMT's external auditors, without the presence of Management at least twice annually in order to have unfettered access to any information it may require.

PRINCIPLE 6: RECOGNISE AND MANAGE RISKS

The Manager has put in place an adequate and effective system of internal controls addressing material financial, operational, compliance and environmental risks to safeguard the assets of CMMT and the interest of Unitholders.

The Board has overall responsibility for the governance of risk and exercises oversight of the risk management strategy and framework. The EXCO and AC assist the Board in strengthening the Manager's risk management capabilities for CMMT and its subsidiary (CMMT Group).

The Manager adopts an Enterprise Risk Management (ERM) Framework which sets out the required environmental and organisational components for managing risk in an integrated, systematic and consistent manner. The ERM Framework and related policies are reviewed annually.

The Manager consistently seeks to improve and strengthen the ERM Framework. As part of the ERM Framework, Management, amongst other things, undertakes and performs a Risk and Control Self-Assessment (RCSA) process. As a result of the RCSA process, the Manager produces and maintains a risk register which identifies the material risks CMMT Group faces and the corresponding internal controls it has in place to manage or mitigate those risks. The material risks are reviewed annually by EXCO, AC and the Board. The EXCO and AC also review the approach of identifying and assessing risks and internal controls in the risk register. The system of risk management and internal controls is reviewed and where appropriate refined regularly by Management, EXCO, AC and the Board.

More information on CMMT's ERM Framework can be found in the Enterprise Risk Management section on pages 43 to 45.

Internal auditors and external auditors conduct audits that involve testing the effectiveness of the material internal controls for CMMT Group addressing *inter alia* financial, operational, compliance and environmental risks. This includes testing, where practical, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with corrective measures recommended by the internal auditors and external auditors are reported to and reviewed by the AC. The adequacy and effectiveness of the measures taken by the Manager in response to the recommendations made by the internal auditors and external auditors are also reviewed by the AC.

Corporate Governance

The Board has received assurance from the CEO and Head of Finance of the Manager that the system of risk management and internal controls in place for CMMT Group is adequate, complete and effective in addressing the material risks faced by CMMT Group in its current business environment including material financial, operational, compliance and environmental risks. The CEO and Head of Finance of the Manager have obtained similar assurance from the respective risk and control owners.

Based on the ERM Framework established and the reviews conducted by the Management and both the internal auditors and external auditors, as well as the assurance from the CEO and Head of Finance of the Manager, the Board concurs with the recommendation of the EXCO and AC and is of the opinion, that the system of risk management and internal controls addressing material financial, operational, compliance and environmental risks established by the Manager is adequate and effective to meet the needs of the CMMT Group in its current business environment as at 31 December 2015.

The Board notes that the system of risk management and internal controls established by the Manager provides reasonable assurance, that CMMT Group, as it strives to achieve its business objectives, will not be significantly affected by any event that can be reasonably foreseen or anticipated. However the Board also notes that no system of risk management and internal controls can provide absolute assurance in this regard or absolute assurance against poor judgement in decision making, human error, losses, fraud or other irregularities.

PRINCIPLE 7: ENSURE TIMELY AND HIGH QUALITY DISCLOSURE

The Listing Requirements require that a listed entity discloses to the market matters that could, or might be expected to have a material impact on the price of the entity's securities. In line with CMMT's disclosure obligations, the Board's policy is to inform Unitholders, on a timely manner, of all major developments that impact CMMT. During the year, a continuous disclosure process was in place to ensure that compliance with such obligations was constantly adhered to.

The Board observes and performs its disclosure and reporting obligations by making timely announcements to the relevant authorities as and when required by the Listing Requirements.

Unitholders and potential stakeholders have 24-hour access to CMMT's website for information on CMMT's major developments, property descriptions, announcements and other corporate information.

CMMT's unit price information (15 minutes lag-time) is also made available on the website. In addition, the public can pose questions via a dedicated 'Ask Us' email address, and have their queries addressed accordingly. Also available on the website is an archive of CMMT's announcements, press releases, annual reports and operational details. The latest information is posted on the website as soon as it is released to Bursa Securities and the media.

PRINCIPLE 8: STRENGTHEN RELATIONSHIP BETWEEN COMPANY AND SHAREHOLDERS

The Manager is committed to treating all Unitholders fairly and equitably and keeping all Unitholders, other stakeholders and analysts informed of the performance and changes in CMMT or its business which would be likely to materially affect the price or value of Units, on a timely and consistent basis so as to assist Unitholders and investors in their investment decisions.

CMMT believes in regular, effective, unbiased and transparent communication with Unitholders. The Manager communicates information on CMMT to Unitholders and the investing community through announcements that are released to Bursa Securities via Bursa LINK. Such announcements include the quarterly and full-year results, material transactions, and other developments relating to CMMT Group requiring disclosure under the corporate disclosure policy of Bursa Securities.

The Investor Relations and Communications teams actively engage Unitholders, analysts, fund managers and the media via:

- Media and analysts' briefings;
- One-on-one/group meetings or conference calls, investor luncheons, local/overseas road shows and conferences;
- Annual reports;
- Press releases on major developments of CMMT;
- Notices of, and explanatory memoranda for, annual general meetings (AGMs) and extraordinary general meetings (EGMs); and
- CMMT's website at www.cmmt.com.my (an email alerts option is available to subscribers who wish to be notified of newly posted announcements, presentations, publications and press releases).

With a majority of units in CMMT held by institutional investors, the Manager considers meetings with local and foreign fund managers an integral part of investor relations. CMMT also participates in various local and overseas conferences as part of its efforts to build interest in Malaysia REIT market. During the year under review, the Manager met with institutional investors from Malaysia, Singapore, Hong Kong, Japan, USA and various European countries. These meetings and road shows with investors enabled the Manager to update potential and current Unitholders on CMMT's significant developments and its medium to long term strategies. The Manager will continue to pursue opportunities to educate and keep retail investors informed of the latest developments in the Malaysia REIT industry, through relevant seminars and conferences.

CMMT's AGM was held on 2 April 2015 and an EGM was called on 24 June 2015 to deliberate on the acquisition of Tropicana City Mall and Tropicana City Office Tower which allowed Unitholders a forum to communicate their views and interact with members of the Board and the Manager's senior management.

As part of the Manager's proactive corporate governance approach, the Manager has adopted a formal investor relations policy to ensure that Unitholders and the investment community are provided with pertinent and timely information about the CMMT Group, to enable Unitholders to exercise their rights in an informed manner and to allow Unitholders and the investment community to engage actively with CMMT and the Manager.

The Manager supports the principle of encouraging effective Unitholder participation and voting at general meetings. All Unitholders are entitled to attend general meetings and are accorded the opportunity to participate effectively and vote at general meetings. All Unitholders are also informed of the rules including voting procedures, governing such meetings. All Unitholders are sent a copy of CMMT's annual report prior to the AGM. As and when an EGM is to be held, each Unitholder will be sent a copy of a circular which contains details of the matters to be proposed for Unitholders' consideration and approval. Notices for the general meetings of Unitholders setting out all items of business to be transacted at the general meeting are served within the minimum notice period, are announced on Bursa LINK and advertised in the newspapers. Members of the Board, the Manager's senior management and the external auditors of CMMT are in attendance at such general meetings, and Unitholders are given the opportunity to air their views and ask questions regarding the matters to be tabled at the general meetings. Resolutions put to the general meeting are separate unless they are interdependent and linked, and the reasons and material implications are explained. Voting at general meetings is conducted by way of a poll. The chairman of the meeting, with assistance of the Manager's staff and service providers, will brief Unitholders to familiarise them with the detailed procedures involved in conducting a poll, and the result of the poll will be announced after the general meeting via Bursa LINK. Minutes of general meeting will be made available to Unitholders at their request. A Unitholder is entitled to appoint one proxy, and for certain categories of Unitholders, two proxies, to attend and vote at the general meetings in his/her stead.

Corporate Governance

OTHERS

Dealings with Related Parties

Review Procedures for Related Party Transactions

In general, the Manager has established internal control procedures to ensure that all future transactions involving the Trustee and a related party of CMMT (Related Party Transactions) are undertaken on an arm's length basis and on normal commercial terms, which are generally no more favourable than those extended to unrelated third parties. In respect of such transactions, the Manager would have to demonstrate to the AC that the transactions are undertaken on normal commercial terms which may include obtaining (where applicable) quotations from parties unrelated to the Manager, or obtaining valuations from independent valuers (in accordance with the REITs Guidelines).

In addition, the following procedures are generally followed:

- Save and except for transactions for appointment or renewal of service providers related to the Manager, all non-real estate transactions less than RM250,000 shall be approved by the CEO followed by the advice of internal auditor and review by the AC.
- Save and except for transactions for appointment or renewal of service providers related to the Manager, all non-real estate transactions greater than or equal to RM250,000 shall be approved by the Board upon the advice of internal auditor and review/recommendation by the AC. The same principles apply to real estate transactions less than 5% of the total asset value (TAV) of CMMT and are additionally subject to the Trustee's written confirmation based on the Board's approval.
- Real estate transactions greater than or equal to 5% of TAV shall be approved by the Unitholders based on the Board's approval after internal auditor's advice and the AC's review/recommendation.
- Save and except for transactions which fall within the ambit of Paragraph 10.08(11)(e) and (g)¹ of the Listing Requirements and such transactions highlighted to the SC and confirmed in their letter dated 19 September 2012 (Exempted Related Party Transaction), the appointment or renewal of service providers related to the Manager shall be approved by the Independent Directors upon the advice of internal auditor and review/recommendation by the AC.
- Exempted Related Party Transactions shall be approved by the CEO followed by approval/ratification of the Independent Directors.

In dealing with any Related Party Transactions, it is the Manager's policy that all related party transactions carried out by or on behalf of CMMT should be:

- Carried out on an arm's length basis and on normal commercial terms.
- In the best interest of Unitholders of CMMT.
- Adequately disclosed to the Unitholders of CMMT.
- In relation to a real estate transaction:
 - o Consented by the Trustee;
 - o Consistent with the investment objective and strategy of CMMT; and
 - o Transacted at a price that is equivalent to the value stated in the valuation report.

¹ Paragraph 10.08(11)(e) of the Listing Requirements refers to the provision or receipt of financial assistance or services, upon normal commercial terms and in the ordinary course of business, from a corporation whose activities are regulated by any written law relating to banking, finance corporations or insurance and are subject to supervision by Bank Negara Malaysia.

Paragraph 10.08(11)(g) of the Listing Requirements refers to a transaction between a listed issuer or any of its subsidiaries and another person for the provision or receipt of goods or services which are Exempted Transactions where (i) the goods or services are purchased, sold or rendered based on a non-negotiable fixed price or rate which is published or publicly quoted; and (ii) all material terms including the prices or charges are applied consistently to all customers or classes of customers. Exempted Transactions are further defined to mean (aa) provision or usage of public utility services such as water, electricity, telecommunications, postal or courier services, insurance, unit trusts, stockbroking services, public transport, education, medical services, provision or usage of tolled highways, hotel facilities and recreational services, provision or consumption of fuel on retail or food and beverage at eateries, provision or purchase of goods at retail outlets such as supermarkets, hypermarkets or departmental stores; and (bb) such other types of transactions that may be prescribed by Bursa Securities from time to time.

The acquisition/disposal may be transacted at a price other than as per the valuation report PROVIDED THAT (a) the acquisition price is not more than 110% of the value assessed in the valuation report; (b) the disposal price is not less than 90% of the value assessed in the valuation report; and (c) the Trustee provides written confirmation that the transaction is based on normal commercial terms, at arm's length, and not prejudicial to Unitholders' interest.

Role of the Audit Committee for Related Party Transactions

The Manager's internal control procedures are intended to ensure that Related Party Transactions are conducted at arm's length and on normal commercial terms, and are not prejudicial to Unitholders' interests. The Manager maintains a register to record all Related Parties of CMMT and Related Party Transactions which are entered into by CMMT (and the basis, including the quotations obtained to support such basis upon which they are entered into). All Related Party Transactions are subject to regular periodic reviews by the AC, which seeks advice from the internal auditor to ascertain that the guidelines and procedures established to monitor Related Party Transactions, including the relevant provisions of the Listing Requirements and the REITs Guidelines, as well as any other guidelines which may from time to time be prescribed by Bursa Securities, the SC or other relevant authority, have been complied with. The review includes an examination of the nature of the transaction and its supporting documents or such other information deemed necessary by the AC. If a member of the AC has an interest in a transaction, he is to abstain from participating in the review and approval process in relation to that transaction.

Details of all Related Party Transactions entered into by CMMT during the financial year are disclosed on pages 129 to 132 of this Report.

Dealings with Conflicts of Interest

The following principles and procedures have been established to deal with potential conflicts of interest which the Manager (including its Directors, executive officers and employees) may encounter in managing CMMT:

- The Manager will be a dedicated manager to CMMT and will not manage any other REITs or be involved in any other real property business;
- All executive officers of the Manager will be employed by the Manager;
- All resolutions at meetings of the Board of the Manager in relation to matters concerning CMMT must be decided by a majority vote of the Directors, including at least one Independent Director;
- In respect of matters in which CapitaLand and/or its subsidiaries (including CMA) have an interest, whether direct or indirect, any nominees appointed by CapitaLand and/or its subsidiaries (including CMA) to the Board will abstain from voting;
- If the Manager is required to decide whether or not to take any action against any person in relation to any breach of any agreement entered into by the Trustee for and on behalf of CMMT with an affiliate of the Manager, the Manager shall be obliged to consult with a reputable law firm (acceptable to the Trustee) which shall provide legal advice on the matter. If the said law firm is of the opinion that the Trustee, on behalf of CMMT, has a *prima facie* case against the party allegedly in breach under such agreements, the Manager is obliged to pursue the appropriate remedies under such agreements. The Directors of the Manager have a duty to ensure that the Manager complies with the aforesaid. Notwithstanding the foregoing, the Manager shall inform the Trustee as soon as it becomes aware of any breach of any agreement entered into by the Trustee with an affiliate of the Manager, and the Trustee may take such action as it deems necessary to protect the rights of Unitholders and/or which is in the interests of Unitholders. Any decision by the Manager not to take action against an affiliate of the Manager shall not constitute a waiver of the Trustee's right to take such action as it deems fit against such affiliate.
- The Board shall comprise at least one-third of Independent Directors. Currently the Board comprises majority Independent Directors.

Corporate Governance

In addition, the Directors and executive officers of the Manager are expected to act with integrity and honesty at all times.

In addition, the Manager and the Trustee have been granted a right of first refusal (ROFR) by CMA where:

- For so long as the Manager shall remain the manager of CMMT and a subsidiary of CMA, neither CMA nor any subsidiary of CMA, will (a) purchase any relevant retail property which CMA and/or its subsidiaries may identify and target for acquisition in the future without granting the ROFR to CMMT to purchase such relevant retail property at the offer price and based on the terms and conditions as proposed to the relevant member of CMA and its subsidiaries, subject to various procedural requirements, including notice provisions, as set out in the letters of undertakings; or (b) sponsor or act as the manager of another REIT or any listed company in Malaysia that competes or will compete for the acquisition of relevant retail property, save that (a) and (b) shall not be applicable to any relevant retail property which is the subject matter of any of the following:
 - o Joint venture or proposed joint venture with CMA and/or its subsidiaries and any third party or parties; or
 - o A proposal made exclusively available to CMA and/or its subsidiaries; or
 - o A fund or proposed fund managed by CMA and/or its subsidiaries.
- In the event CMA should sponsor a Malaysian retail property fund for the acquisition and/or development of relevant retail property, CMA shall endeavour to procure that such fund shall grant to CMMT a ROFR in relation to any relevant retail properties of which the fund wishes to dispose.

This undertaking has the effect of limiting the ability of CMA from undertaking or participating in certain business opportunities, as described above.

Dealings in Securities

The Manager has issued guidelines to its Directors and employees which prohibit them from dealing in CMMT's units while in possession of material unpublished price-sensitive information and during the periods commencing 30 calendar days before the release of CMMT's quarterly results to one full market day after the release of the relevant results to Bursa Securities via Bursa LINK pursuant to the Listing Requirements. In addition, if any of such affected persons deal in CMMT's units during the closed periods or outside closed periods under the Listing Requirements, they are required to comply with the conditions as set out in Paragraphs 14.08 and 14.09 of the Listing Requirements respectively. They are also made aware of the applicability of the insider trading laws at all times.

Code of Business Conduct

The Manager adheres to an ethics and code of business conduct policy which deals with issues such as confidentiality, conduct and work discipline, corporate gifts and concessionary offers. Clear policies and guidelines on how to handle work place harassment and grievances are also in place.

All employees of the Manager have each been given a printed employee handbook which sets out these policies clearly.

The Manager believes that the policies it has implemented help to detect and prevent occupational fraud mainly in three ways.

First, the Manager offers fair compensation packages to its employees, based on practices of pay-for-performance and promotion based on merit.

Secondly, clearly documented policies and work procedures incorporate internal controls which ensure that adequate checks and balances are in place. Periodic audits are also conducted to evaluate the efficacy of these internal controls.

Finally, the Manager seeks to build and maintain the right organisational culture through its core values, educating its employees on good business conduct and ethical values. The Manager's zero tolerance stance against all types of fraud is also regularly communicated at staff communication sessions.

Bribery and Corruption Prevention Policy

The Manager adopts a strong stance against corruption and bribery. In addition to clear guidelines and procedures for the giving and receipt of corporate gifts and concessionary offers, all employees of the Manager are required to make a declaration on an annual basis where they pledge to uphold CapitalLand's core values and not to indulge in any corrupt or unethical practices.

The Manager's zero tolerance policy towards corruption and bribery extends to its dealings with third party service providers and vendors. Pursuant to such policy, the Manager requires that all agreements with third party service providers and vendors incorporate a robust anti-corruption clause.

Whistle-Blowing Policy

A whistle-blowing policy and other procedures are put in place to provide employees of the Manager and parties having official dealings with CMMT with well defined, accessible and trusted channels to report suspected fraud, corruption, dishonest practices or other impropriety at the workplace, for the independent investigation of any reported incidents and appropriate follow up action.

The aim of the whistle-blowing policy is to encourage the reporting of such matters that employees or external parties making any reports in good faith will be able to do so with the confidence that they will be treated fairly, and to the extent possible, be protected from reprisal. On an ongoing basis, the whistle-blowing policy is covered during periodic communications to employees to promote fraud awareness.

Statement on Risk Management and Internal Control

Introduction

Paragraph 15.26(b) of the Listing Requirements requires the board of directors of any given publicly listed company to include in its annual report a 'statement about the state of internal control of the listed issuer as a group'. Although CMMT is a REIT, and it is not required to comply with Paragraph 15.26(b) of the Listing Requirements, the Board has voluntarily adopted the relevant corporate governance disclosure under this section of the Listing Requirements and is guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers.

Board's Responsibility

In discharging the Board's stewardship responsibilities, the Board assumes the responsibility for the system of internal controls and risk management as set up for CMMT. The Board is responsible for the adequacy and integrity of the system of risk management and internal controls. It is an essential part of the Board's responsibilities to identify principal risks, ensure that appropriate systems and policies are in place to manage these risks and to review the adequacy and integrity of such internal controls system and policies. However, the Board acknowledges that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgement in decision making, human error, losses, fraud or other irregularities. A sound system of risk management and internal controls therefore provides a reasonable but not absolute assurance that CMMT Group will not be significantly affected by any event that can be reasonably foreseen as it strives to achieve its business objectives.

Risk Management

Effective risk management is a fundamental part of CMMT's business strategy. The key risks and control measures are described on pages 44 and 45. Recognising and managing risk is central to CMMT's businesses and in protecting Unitholders' interests and value. CMMT operates within guidelines and parameters set by the Board for the Manager and CMMT. Based on a RCSA, transactions are analysed to understand the risks involved. Responsibility for managing risk lies initially with the business unit concerned, working within the overall strategy endorsed by the Board.

The Manager's focus on risk management recognises that risk management is, *prima facie*, an issue for Management. The risk management framework supports this focus but provides a structured context for Management to undertake a review of the past performance of, and to profile the current and future risks it faces within its areas of responsibility. This risk information is consolidated and used as key input into the risk management review sessions which are held at least once a year to review CMMT's strategic direction in detail, and include specific focus on the identification of key businesses and financial risks which could prevent CMMT from achieving its objectives. Management is then required to ensure that appropriate controls are in place to effectively manage those risks, and such risks and controls are monitored by the EXCO and AC respectively on a quarterly basis and by the Board annually. The internal audit plan is developed in conjunction with the risk management programme and is focused on ensuring that the operation of internal controls and assessment of the effectiveness and efficiency of the control environment.

The Manager has determined that significant risks for CMMT will likely arise when making property investment decisions and have identified these in the RCSA. Accordingly, the Manager has established procedures to be followed when making such decisions. In accordance with these procedures, the Board requires comprehensive due diligence to be carried out in relation to any proposed investment and a suitable determination is made as to whether the anticipated return on the proposed investment is appropriate, having regard to the level of risk.

The Board usually meets quarterly, or more often if necessary, to review and approve the financial performance of the Manager and of CMMT Group against a previously approved budget. The Board also reviews the risks to the assets of CMMT Group and acts upon any comments by the auditors of CMMT. In assessing business risk, the Board considers the economic environment and property industry risks. The Board and its EXCO review and approve all investment decisions and key treasury matters. Management meets monthly to review the operations of the Manager and CMMT and discuss continuous disclosure issues.

The Manager has a risk identification and management framework for CMMT Group. The Manager proactively identifies and addresses risks in CMMT Group. The ownership of these risks lies with the CEO and function heads of the Manager with stewardship residing with the Board. The EXCO and AC assist the Board to oversee Management in the formulation, updating and maintenance of an adequate and effective risk management framework while the Board reviews the adequacy and effectiveness of the system of risk management and internal controls.

Key Internal Control Processes

The Manager has put in place systems of internal control and a set of procedures and processes for the year under review and up to the date of approval of this statement to safeguard the assets of CMMT and interest of Unitholders as well as to manage risk. These are described in the following paragraphs.

The Manager maintains a RCSA which identifies the material risks facing CMMT Group and the internal controls in place to manage or mitigate those risks. The RCSA is reviewed and updated at least once a year by the CEO and function heads of the Manager and is also reviewed quarterly by the EXCO and AC and annually by the Board. The EXCO is tasked to review and it is reported to the AC the approach taken in identifying and assessing risks and internal controls in the RCSA. Internal and external auditors conduct audits that involve testing the effectiveness of the material internal control systems for CMMT Group including testing, where practical, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with proposed corrective measures by internal and external auditors are reported to the AC. The system of risk management and internal controls is continually being refined by the Manager and reported quarterly to the EXCO and AC, and annually, to the Board for their approval.

The Board has also received assurance from the CEO and Head of Finance of the Manager that the risk management and internal control systems in place within the CMMT Group are adequate and effective in addressing the material risks in the CMMT Group in its current business environment including material financial, operational, compliance and environmental risks.

The CEO and Head of Finance of the Manager have obtained similar assurances from the function heads of the Manager.

The Board has adopted a set of internal controls which sets out the authority limits for investments and divestments, acceptance of banking facilities or treasury products, budgetary approval, capital and operating expenditure, lease renewals, marketing, professional services expenditure and other operational matters. The Board approves transactions exceeding certain threshold limits, while delegating authority for transactions within those limits to authorised personnel in order to facilitate operational efficiency. Only authorised personnel are empowered to approve a transaction (including payments) on behalf of the Board.

Internal control procedures are established to ensure that related party transactions are undertaken in compliance with the REITs Guidelines, the Listing Requirements and the Deed and are carried out on an arm's length basis and on normal commercial terms, which are in the best interest of the Unitholders. The Manager incorporates into its annual internal audit plan a review of all related party transactions. These established procedures are further explained on pages 36 to 37.

Policies, guidelines and processes are established for dealing with any potential conflicts of interest. This is explained in further detail on pages 37 to 38. In order to deal with any potential conflict of interest situations that may arise, the Manager's policy is that any such transactions carried out for and on behalf of CMMT are to be executed on terms that are the best available to CMMT and which are no less favourable to CMMT than transactions between independent parties. The Manager has outsourced its internal audit function to CMA (CMA IA) which reports directly to the AC.

CMA IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by the Institute of Internal Auditors and has incorporated these Standards into its audit practices. To ensure that internal audits are performed by competent professionals, CMA IA recruits and employs suitably qualified professional employees with the requisite skill set and experience. For instance, CMA IA employees who are involved in Information Technology (IT)

Statement on Risk Management and Internal Control

audits are Certified Information System Auditors and members of the Information System Audit and Control Association (ISACA) in the United States of America. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CMA IA identifies and provides training and development opportunities for its employees to ensure that their technical knowledge and skill set remain current and relevant.

The AC reviews the internal audit reports and activities on an on-going basis. The AC also reviews and approves the annual internal audit plan with respect to CMMT. The AC is of the view that the internal audit department is adequately resourced to perform its functions and has, to the best of its ability, maintained its independence from the activities that it audits.

The scope of the internal audit function for FY 2015 entailed the following:

- Carried out scheduled audit assignments in accordance with the 2015 annual internal audit plan approved by the AC;
- Reported to the AC on key findings and agreed Management's actions;
- Updated the AC on the implementation status of agreed Management's actions on a quarterly basis;
- Reviewed related party transactions and presented the findings of the review to the AC on a quarterly basis;
- Investigated various matters when required and as directed by the AC; and
- Prepared the 2016 annual internal audit plan for submission to the AC for approval.

The AC has put in place a whistle blowing policy to provide employees of the Manager and CMMT with procedures and accessible channels to report suspected fraud, corruption, dishonest practices or other similar matters relating to CMMT and the Manager and for independent investigation of any reports by employees and appropriate follow up action. This whistle blowing policy has been

established to promote fraud awareness and to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly and, to the extent possible, be protected from reprisals. The whistle blowing policy adopted is further explained on page 39.

The AC reviews, monitors and evaluates the effectiveness and adequacy of CMMT's internal controls and financial and risk management issues raised by the external and internal auditors, regulatory authorities and Management. The AC also reviews written reports issued by the internal and external auditors, and ensures that appropriate and prompt remedial actions are taken by Management where deficiencies in internal controls have been identified. The AC also convenes meetings with both external and internal auditors without the presence of Management.

In addition, the AC has undertaken an assessment of the scope, functions and competency of the internal audit function. The AC also reviews and evaluates the procedures established to ensure compliance with applicable legislation, the Listing Requirements and the REITs Guidelines.

The Board reviews and approves, *inter alia*, the following reports from Management, upon recommendation of the AC and EXCO, on a periodic basis:

- CMMT Group's quarterly financial results and major variance explanation against the approved budget for the relevant period;
- Status update of major asset enhancement works carried out on the properties as planned;
- Status update of treasury matters including debt profile, maturity and interest rate management; and
- Status update of other operational matters.

Based on these reviews, the Board opined, with the concurrence of the AC, that there are adequate internal controls in place within CMMT Group addressing financial, operational, compliance and environmental risks.

Enterprise Risk Management

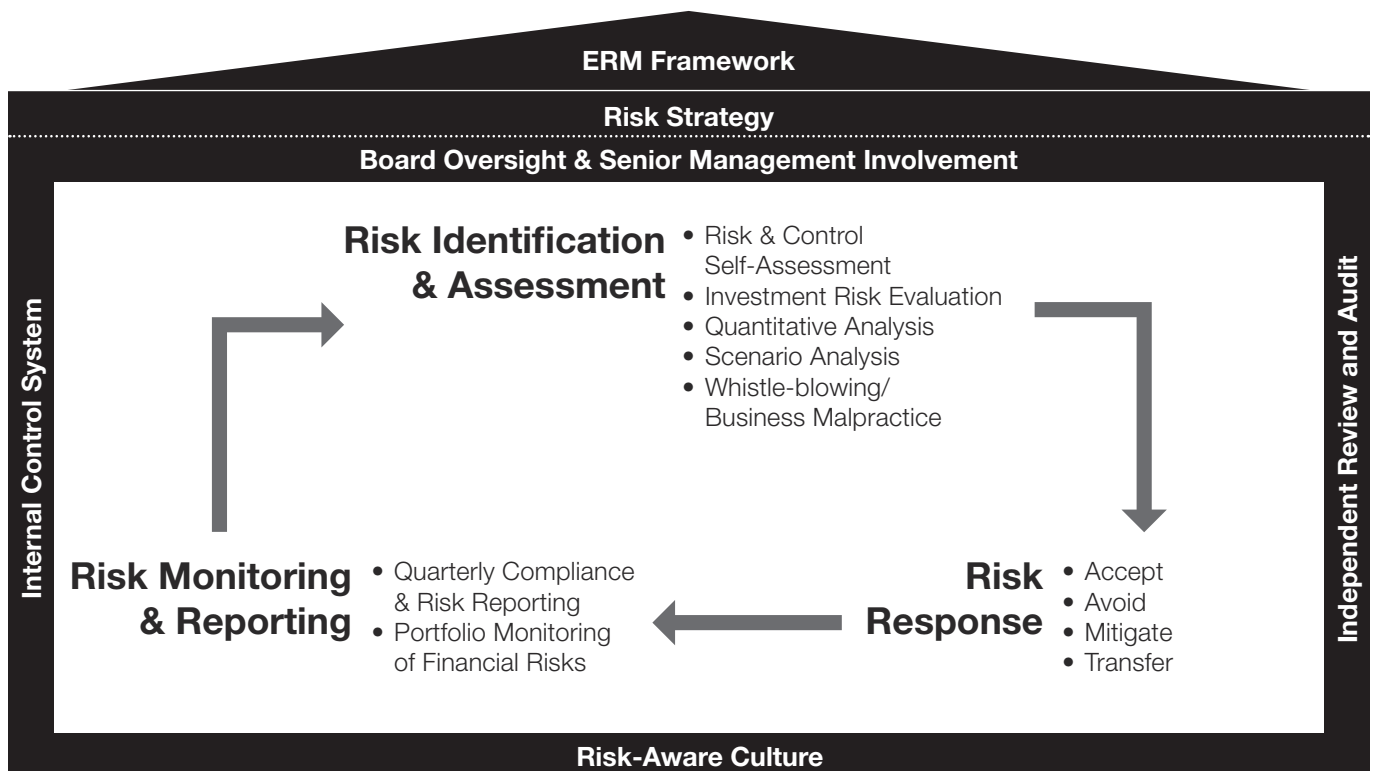
Risk management is an integral part of CMMT Group's business at both the strategic and operational levels. A proactive approach towards risk management supports the attainment of CMMT Group's business objective and corporate strategy, thereby creating and preserving value.

The Manager recognises that risk management is just as much about opportunities as it is about threats. To capitalise on opportunities, the Manager has to take measured risks. Therefore, risk management is not about pursuing risk minimisation as a goal, but rather optimising the risk-reward relationship within known and agreed risk appetite levels. The Manager therefore takes risks in a prudent manner for justifiable business reasons.

The Board is responsible for the governance of risk across CMMT Group. The responsibilities include determining CMMT Group's risk appetite, overseeing the Manager's ERM Framework, regularly reviewing CMMT Group's risk profile, material risks and mitigation strategies, and ensuring the effectiveness of risk management policies and procedures. For these purposes, it is assisted by the EXCO and AC which provide oversight of risk management.

The EXCO currently comprises three non-independent Board members while the AC comprises three independent Board members and one non-independent Board member. Both the EXCO and AC meet on a quarterly basis. The EXCO and AC meetings are regularly attended by the CEO as well as other key Management staff of the Manager.

Enterprise Risk Management Framework



Enterprise Risk Management

The Manager's ERM Framework sets out the required environmental and organisational components which enable it to manage risks in an integrated, systematic and consistent manner. The ERM Framework and related risk management policies are reviewed annually and periodically validated by external ERM consultants.

A robust internal control system and an effective, independent review and audit process are the twin pillars that underpin the Manager's ERM Framework. The line management is responsible for the design and implementation of effective internal controls using a risk-based approach while the outsourced Internal Audit function from CMA reviews such design and implementation to provide reasonable assurance to the AC on the adequacy and effectiveness of the internal control system.

Annually, the Manager facilitates and coordinates CMMT Group's RCSA exercise that requires the respective risk owners to proactively identify, assess and document material risks as well as the corresponding key controls and mitigating measures needed to address them. Material risks and their associated controls are consolidated and reviewed by the Manager before they are presented to the EXCO, AC and the Board.

Awareness of and preparedness for potential risks affecting CMMT Group's business continuity help the Manager minimise the impact of disruption to business operations. The Manager has in place a business continuity plan. In addition, the outsourced IT team from CapitaLand has also put in place a disaster recovery strategy, which is reviewed and tested annually.

The Manager believes that having the right risk culture and people with the right attitude, values and knowledge are fundamental to CMMT Group's success. Therefore, the Manager works closely with CapitaLand's Risk Assessment Group to proactively enhance risk management knowledge and promote a culture of risk awareness.

Managing Material Risks

The Manager undertakes an iterative and comprehensive approach in identifying, managing, monitoring and reporting material risks across CMMT Group. Such material risks include:

Business Interruption Risk

CMMT Group is exposed to business interruption risk arising from sudden and major disaster events such as fire, prolonged power outages or other major infrastructure failures that may significantly disrupt operations at our malls or data centres. The Manager manages such risks through proactive facilities management (e.g. routine inspection and scheduled maintenance) and established crisis management standard operating procedures at each property. In addition, the outsourced IT Team from CapitaLand has a defined 'Disaster Recovery Plan' which is reviewed and tested annually.

Competition Risk

CMMT Group faces keen competition from online business and new retail space supply in Malaysia which are likely to affect shopper traffic and tenants' sales. The Manager adopts a relentless approach towards strengthening CMMT Group's competitiveness through optimising tenant mix, asset enhancement initiatives and refreshing mall concepts. The Manager also promotes tenant and customer loyalty through customer-centric initiatives and shopper loyalty programmes to generate sustainable demand for our retail space.

Credit Risk

Credit risk is the potential earnings volatility caused by tenants' inability and/or unwillingness to fulfill their contractual lease obligations, as and when they fall due. There is a stringent collection policy in place to ensure that credit risk is minimised. In addition to the requirement for upfront payment of security deposit of an amount typically equivalent to three months' rent, the Manager also establishes vigilant monitoring and debt collection procedures.

Economic Risk

CMMT Group is exposed to economic, financial and property market developments in Malaysia. These developments may reduce revenue, increase costs and result in downward revaluation of CMMT Group's assets. The Manager manages this by adopting a disciplined approach towards financial management and having a balanced portfolio with its malls being established as necessity shopping malls.

IT Risk

IT comprises cyber risk, information security risk and technology infrastructure risk. IT is an integral part of CMMT Group's business and security of sensitive information (e.g. shopper/tenant details and financial information) is crucial. Increasing threats to information security like hacking, website defacement, etc may pose risk of data leakage and damage to CMMT Group's reputation. The outsourced IT team from CapitaLand has put in place policies and procedures to manage IT risks. The policies and procedures govern IT security, access controls and data security. Disaster recovery testing is conducted regularly to validate the system continuity plan. In addition, network penetration testing is also conducted regularly to check for potential security gaps.

Interest Rate Risk

Some of CMMT Group's existing debts carry floating interest rates, and consequently, the interest cost for such loans will be subject to fluctuations in interest rates. As part of the Manager's active capital management strategies, interest rate risk is managed through fixed rate borrowings and regular reviews on the optimal mix of fixed and floating rate borrowings. If required, the Manager will enter into hedging transactions to mitigate the risk of such interest rate fluctuations through the use of interest rate swaps.

Investment Risk

The main sources of growth for CMMT Group are AEI and acquisition of properties. The risks involved in such investment activities are managed through a rigorous set of investment criteria which includes potential for growth in yield, rental sustainability and potential for value creation. Also, key financial projection assumptions are reviewed and sensitivity analysis is performed on key variables. The potential risks associated with proposed projects and the issues that may prevent their smooth implementation or attainment of projected outcomes are identified at the evaluation stage. This is to enable the Manager to devise action plans to mitigate such risks as early as possible.

Leasing Risk

Strong competition, poor economic and market conditions are some of the key factors that could result in master lessees/key tenants not renewing their leases and adversely affect sales and leasing performance of our properties. To deal with such challenges, the Manager establishes a diversified tenant base and sustainable trade mix and has in place proactive tenant management strategies which are in line with the assets' positioning. It is also the Manager's priority to closely monitor tenants' sales performance and actively engage them to find operational synergies and collaborative opportunities. AEIs and reconfiguration of tenant spaces are also planned and executed to maintain attractiveness of the shopping malls and improve tenants' offerings.

Liquidity Risk

The Manager actively monitors CMMT Group's debt maturity profile, operating cash flows and the availability of funding so as to ensure sufficient funds are available to meet CMMT Group's capital, refinancing and operating needs. Notably, the Manager diligently monitors financing covenants to ensure compliance. Moreover, CMMT Group has access to the debt market through its Medium Term Notes (MTN) Programme to raise funds for (a) investment activities which include acquisitions and capital expenditures (including AEIs) and/or (b) refinance existing and/or future debts. CMMT Group's ability to raise funds from both banks and capital markets has enabled it to diversify its sources of funding to avoid over-reliance on any single source of funding.

Regulatory & Compliance Risk

Due to the nature of CMMT's business, CMMT is required to comply with the relevant legislation and regulations that include Capital Markets and Services Act 2007, the Main Market Listing Requirements of Bursa Malaysia, SC's REITs Guidelines and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CMMT and its Unitholders. The Manager has in place a Framework that proactively identifies applicable laws and regulatory obligations, and embeds compliance into day-to-day operations.

Investor and Media Relations

The Manager engages the investment community and media on a regular basis as well as provides stakeholders with timely, material and accurate information pertaining to CMMT so that they can gain a greater understanding about CMMT's business, governance, financial performance and prospects, and thus facilitate the fair valuation of CMMT's units.

CMMT's investment proposition and performance is communicated through various mechanisms, such as news releases, media and analyst briefings, one-on-one meetings, conference calls, local and overseas road shows, site visits, its corporate website and e-mail alerts. Announcements, press releases, presentations, circulars and annual reports are uploaded to the website of Bursa Securities. These are also available on CMMT's website together with 15 minutes lag-time information relating to CMMT's unit price performance.

Briefing sessions are conducted for analysts and the media on a semi-annual basis for CMMT's first half and full year results and on an ad hoc basis for material transactions and developments relating to CMMT.

Throughout the year, one-on-one meetings with investors and analysts are arranged to facilitate their understanding of CMMT. Individual and group tours of CMMT's properties are conducted upon request for investors and analysts to further enhance their understanding of the market positioning, trade mix and operations, as well as of any past or planned AELs, of CMMT's malls.

The general public can also post CMMT-specific questions via an 'Ask Us' e-mail address.

Investor and Media Relations Calendar 2015

1st Quarter	• Full year 2014 Results Press Release and Media & Analysts' Results Briefing/Conference Call • Proposed Acquisition of Tropicana City Mall and Tropicana City Office Tower Press Release
2nd Quarter	• Annual General Meeting • 1Q 2015 Results Press Release and Media & Analysts' Results Briefing/Conference Call • East Coast Mall Rebranding Event and Press Release • Engagement with institutional investors (Deal Roadshow in Kuala Lumpur, Singapore and Hong Kong) • Extraordinary General Meeting
3rd Quarter	• 1H 2015 Results Press Release • Launch of CapitaLand Malls Grand Draw 2015 Press Release • Launch of CAPITASTAR Rewards Programme Event and Press Release
4th Quarter	• 3Q 2015 Results Press Release • My Schoolbag Events and Press Release

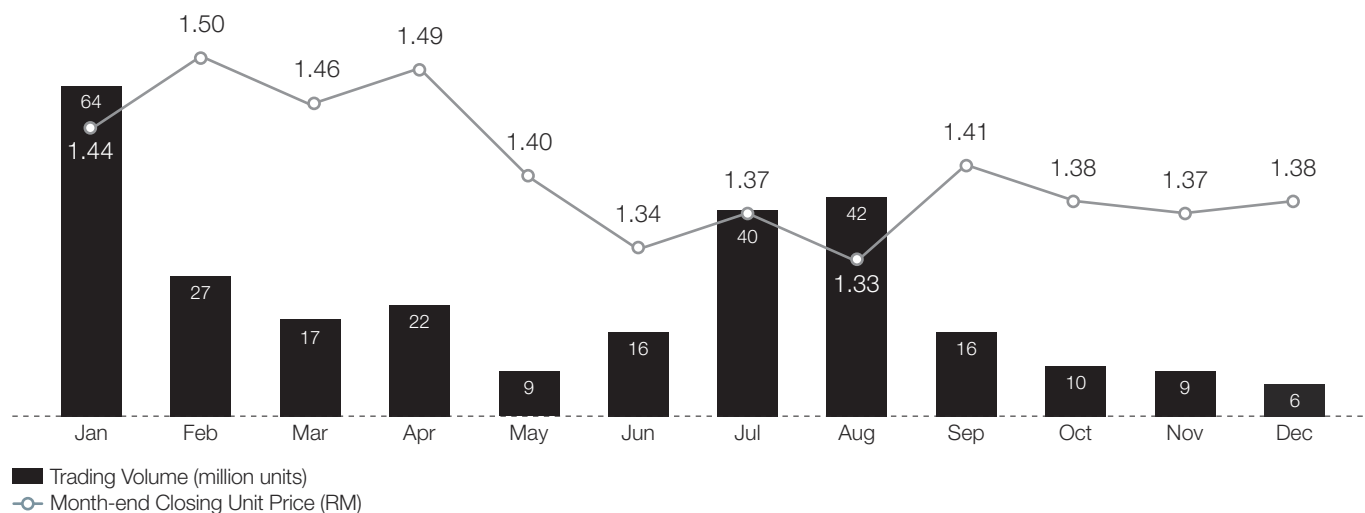
Unitholders' Enquiries

If you have any enquiries or would like to find out more about CMMT, please contact:

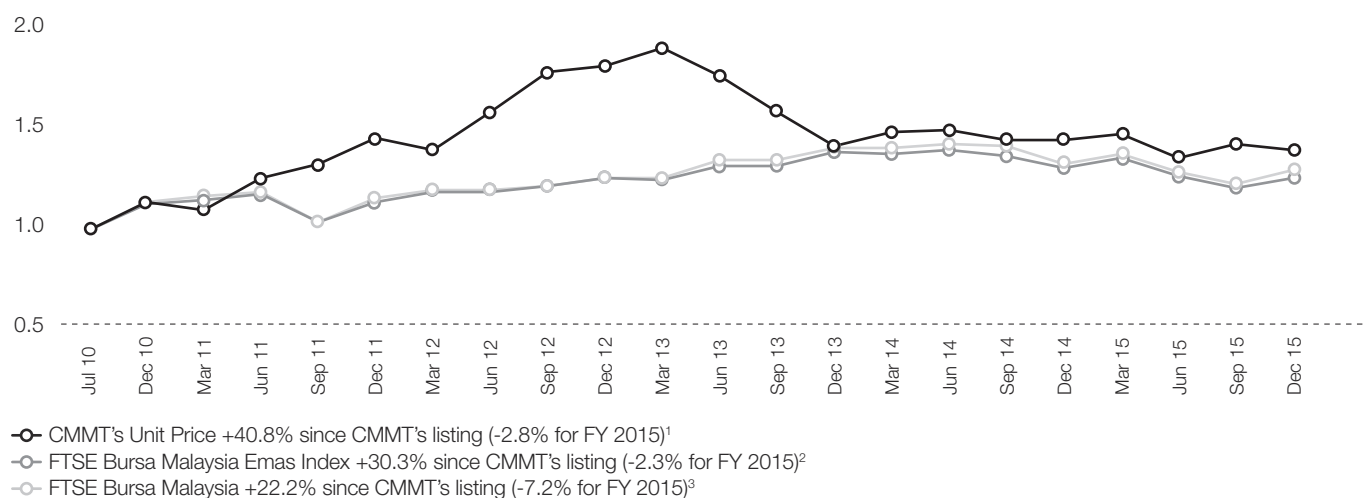
Jasmine Loo, Investor Relations
 Telephone No.: +60 3 2279 9888
 Facsimile No.: +60 3 2279 9889
 E-mail: ask-us@cmmmt.com.my
 Website: www.cmmmt.com.my

Unit Price Performance

CMMT's Monthly Trading Performance for 2015



CMMT's Unit Price versus Performance Benchmarks

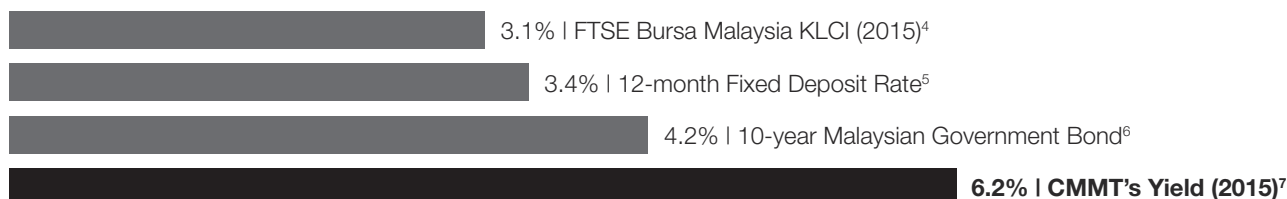


¹ Based on the opening unit prices of RM0.98 on 16 July 2010 and RM1.42 on 2 January 2015 and the closing unit price of RM1.38 on 31 December 2015.

² Based on the opening index values of 9,020 on 16 July 2010 and 12,066 on 2 January 2015 and the closing index value of 11,794 on 31 December 2015.

³ Based on the opening index values of 1,334 on 16 July 2010 and 1,753 on 2 January 2015 and the closing index value of 1,693 on 31 December 2015.

Comparative Yields



⁴ Dividend Yield of FTSE Bursa Malaysia KLCI as at 31 December 2015 (Source: Bloomberg).

⁵ Average 12-month Fixed Deposit Rate (RM) as at 31 December 2015 (Source: Bloomberg).

⁶ 10-year Malaysian Government Bond as at 31 December 2015 (Source: Bloomberg).

⁷ Based on the DPU of 8.60 sen for FY 2015 and the closing price of RM1.38 on 31 December 2015.

Sustainability Management

As a responsible corporate citizen, CMMT is committed to operate in an economically, socially and environmentally sustainable manner. CMMT's goal is long-term sustainability which requires safeguarding the welfare and mutual growth of its stakeholders, giving to the community and existing in harmony with the environment it operates in.

Sustainability Commitment

CMMT is part of CapitaLand Group (the Group) and its sustainability strategy is aligned with the Group's. Details can be found in the CapitaLand Sustainability Report, which will be available in June 2016.

The Group's 2015 Global Sustainability Report will be based on GRI Global 4 Sustainability Reporting Guidelines and externally assessed to the AA1000 Assurance Standard. It will cover CapitaLand's global portfolio including CMMT. CapitaLand is a signatory to the United Nations Global Compact and its Global Sustainability Report will serve as its Communication on Progress (COP), which will be made available at www.unglobalcompact.org when published.

Corporate Governance

The Manager upholds high standards of corporate governance and transparency in its policies and processes to safeguard Unitholders' interests. It has in place an adequate and effective risk management system to enhance its business resilience. For more details of CMMT's corporate governance performance and practices in FY 2015, please refer to pages 23 to 39.

Enterprise Risk Management

Risk management is an integral part of CMMT Group's business at both the strategic and operational levels. A proactive approach towards risk management supports the attainment of CMMT Group's business objective and strategy, thereby creating and preserving value. CMMT has in place a thorough and comprehensive ERM Framework to identify, communicate and manage its risks and exposures in an integrated, systematic and consistent manner. For detailed disclosure on ERM, please refer to pages 43 to 45.

Environment, health and safety

The Manager recognises that the environment and the economy are interdependent and is thus committed to adopting environmentally sustainable practices and policies. Emphasis is placed on reducing the consumption of electricity and water through utilities conservation, equipment and system efficiencies, pollution minimisation and green technology initiatives, as well as promoting environmental consciousness among shoppers, tenants and staff. The health and safety of shoppers, tenants, staff and vendors are also a priority, and safety is continually assessed using a hazard identification risk assessment approach.

Environment, health and safety (EHS) management systems have been established in CMMT's malls and the Manager's office, and ISO14001 certification and OHSAS 18001 certification have been attained since 2010. Emphasis was placed on staff education in order to instill EHS consciousness within the Manager's corporate culture.

Ongoing environmental improvement efforts within CMMT's malls include utilities conservation, pollution minimisation and the embracing of green technology, such as Energy Star rated equipment and light-emitting diode (LED) lighting.

At Gurney Plaza, The Mines and East Coast Mall, the rainwater harvesting system, which provides the cooling towers and the restroom/urinal flushing system with an alternative water source, has been operational since 2013. Water efficient fittings (endorsed by the Water Efficiency Labelling Scheme) are installed in the restrooms. These initiatives have resulted in a reduction in potable water consumption, thus promoting more efficient use of water.

Since 2010, activated carbon filters and ultra violet bacteria eradication lights have been progressively installed in exhaust systems across all the malls as and when new tenants renovated their shops, in order to minimise air pollution inside and outside the malls.

An Environmental Tracking System (ETS), developed in-house by CapitaLand, is used to track the monthly energy and water usage, waste generation and carbon emissions of CMMT's malls.

CMMT is using 2009 as its base year as its portfolio properties' energy and water consumption stabilised that year, so this allows for a more representative comparison. Compared to the base year, CMMT's portfolio – excluding the recently acquired Tropicana City Mall and Tropicana City Office Tower – registered a 10.7% reduction in energy usage in KWh/sq m and a 22.2% reduction in water usage in cubic metre/sq m.

The refuse recycling programme is continuing in Gurney Plaza, The Mines and East Coast Mall. Under this programme, refuse such as paper, plastic, glass and metal are collected, sorted and weighed, in order to monitor the amount of refuse being recycled, before being sent to recycling centres. Tenants are also encouraged to participate in the refuse recycling programme and are educated through briefings and circulars.

In 2015, CMMT malls took part once again in Earth Hour, the world's largest grassroots movement for the environment, and switched off facade and non-essential lights throughout the night from 8.30 pm on 28 March 2015 to raise awareness of climate change. In conjunction with Earth Hour, Gurney Plaza in Penang organised a mass cycling event for charity and encouraged people to minimise their carbon footprint.

Green Building Awards

As at 31 December 2015, three CMMT malls – Gurney Plaza, The Mines and East Coast Mall – have achieved Green Mark Gold Certification awarded by the Building and Construction Authority (BCA) of Singapore. BCA Green Mark is a green building rating system assessing the overall environmental performance of new and existing buildings to promote sustainable design, construction and operations practices in buildings. Achieving the Green Mark Gold certification essentially means that the mall has achieved a high level of efficiency for its major equipment, which usually translates to substantial energy and water savings. Gurney Plaza was the first shopping mall in Malaysia to achieve this distinction on 23 December 2011.

Community Involvement

CMMT's shopping malls are not simply places to shop. With their wide array of offerings which include food and beverage, lifestyle and entertainment options, they serve as de facto community centres or town squares - destinations for families and friends to spend significant amounts of their leisure time. Given the integral role that CMMT malls play in Malaysians' lives, the Manager actively partners with various organisations on community events to give back to society. The Manager also promotes staff volunteerism by organising charity events, and provides three days of volunteer service leave per year to each employee.

CMMT malls held several community events in 2015. In conjunction with the movie release of 'Snoopy and Charlie Brown: The Peanuts Movie', Gurney Plaza took Snoopy to surprise the young patients at Penang Adventist Hospital. In addition, The Mines held a book donation drive while East Coast Mall organised a donation drive for used books, toys and clothes benefitting the underprivileged.

My Schoolbag Programme

In November and December 2015, CMMT partnered CMA for the fifth consecutive year on My Schoolbag – CapitaLand's key annual corporate social responsibility (CSR) programme whereby schoolbags containing school and daily necessities are given to underprivileged children. Funded by CapitaLand Hope Foundation, the philanthropic arm of CapitaLand, approximately RM183,600 was donated to 720 underprivileged children from 27 charity homes in Kulim, Kedah; Penang, Klang Valley and Kuantan, Pahang. Each child received a school bag filled with stationery, school shoes and daily necessities. Over 160 staff volunteers took part in My Schoolbag 2015 in Malaysia.

People and Talent Management

In CMMT, we see the infinite value in people. They are vital in our pursuit of our business growth today and in the future. We see their passion, professionalism, talent and commitment that provide us with the competitive advantage contributing to the business success and growth. We adopt an integrated human capital strategy to attract, reward, develop, motivate and engage employees.

Talent Management

The Manager actively seeks innovative, dynamic and talented employees both internally and externally to strengthen the Management's bench strength in order to optimise the performance of the assets in CMMT's portfolio and facilitate CMMT's future expansion within Malaysia. High potential individuals are recruited at different points in their careers, from fresh graduates to young, mid-career professionals and industry veterans. Robust succession planning and talent management strategies are in place to ensure that CMMT's current and future human capital requirements are met.

Developing People

The Manager is committed to continuous development of its staff and life-long learning. Employees are provided with learning and development opportunities to expand their capabilities and realise their potential. Leveraging on the Asia-wide human resource platform of CapitaLand, employees are given opportunities to gain exposure by rotating to different malls, functions, cities and countries as part of their career development.

At the core of the employees development programme is a systematic programme for all new hires to gain insights of the Manager's business operations, strategies, core values and management philosophy. As part of their orientation, new hires can gain easy access to company information, policies and processes during their initial first few days of familiarisation through one-on-one sharing sessions and iCampus.

The Manager offers comprehensive training and development programmes to enable employees to acquire the relevant knowledge, skill-sets and competencies to achieve business excellence. This includes sponsorship of diplomas, degrees and masters programmes, management and leadership development programmes as well as retail management core competency programmes. Staff members are also sent on overseas study visits to gain exposure to new retail trends, mall management concepts and network with industry players in different parts of the world.

In addition, training is organised and conducted by internal and external specialists to equip employees with the know-how specific to CMMT's business, as well as communication, presentation, finance, management and leadership skills. Apart from class room training, staff can learn at their convenience via online learning platform iCampus, which carries more than 300 courses in various languages.

Compensation and Benefits

The Manager's remuneration policy and process reiterates its corporate philosophy to attract and retain the best talent as well as to reward high achievers. The total rewards scheme includes both short-term incentives, in the form of cash bonuses, and long-term incentives, in the form of restricted shares. The total rewards scheme ensures organisation-employee alignment as employees are rewarded based on business performance and also encourages talent retention.

A flexible benefits plan is provided to cater for the diverse needs of employees and to enable them to complement their personal medical and insurance needs. Employees can thus customise their benefits for themselves and their families.

The Manager conducts regular benchmarking exercises across markets and seeks to be innovative with regard to compensation strategies to ensure that the Manager remains competitive and continues to attract and retain talent.

Engaging People

The Manager endeavours to foster an open work culture with a focus on communication, teamwork and open exchange of ideas. In line with this staff engagement strategy, senior management conducts regular staff communication sessions to keep staff abreast of strategies, new developments and financials with a view to encourage the sharing of ideas, views and suggestions for business improvements. As such, at company level, there is the 'Company-wide Staff Communication Session' and at the centre management office level, there is the 'CMO-Connect'.

The HR shared folder is a valuable platform for employees to find out the details of employment terms, benefits, human resource policies and practices including the whistle-blowing policy, as well as ethics and code of business conduct policies. The Manager also publishes a newsletter to provide quarterly updates to employees on the latest development within the Company including highlights of the staff activities and events. In addition, recreational and teambuilding events are regularly organised to foster cohesiveness and team spirit.

Caring for People

The Manager organised various welfare and health-related activities to encourage a well-balanced and healthy lifestyle among employees. Activities included thematic dinner and dance, family movie screenings, offsite staff gatherings, health talks, weekly yoga classes, eat healthy month and work-out month. The Manager is committed to preserving a culture that embraces diversity and fosters inclusion. To promote mutual respect and a harmonious working environment among the different ethnic groups within the organisation, a series of cultural festive celebrations were organised, including Raya get-together, Deepavali gathering, Chinese New Year yee sang (prosperity) tossing ceremonies and Christmas get-together and gift exchange.

The Manager values and cares for people as the success of an organisation will be shaped by the people. The Manager will continue to develop the human capital to achieve optimal performance.

Operations Review

Property Portfolio Summary

(as at 31 December 2015)

Property Valuation	RM3,886 million
Net Lettable Area	3,108,169 sq ft
Committed Occupancy Rate	96.0%
Number of Committed Leases	1.382
Total Annual Shopper Traffic ¹	49.8 million

Portfolio at a Glance

CMMT's portfolio consists of five quality properties that are strategically located in key urban centres across Malaysia. The assets are located in Penang, Kuala Lumpur, Selangor and Pahang, thus providing investors with geographical diversification within Malaysia. The properties are as follows:

- Gurney Plaza is located along Gurney Drive in Penang and is a popular destination for both tourists and locals alike. It is the premier lifestyle shopping mall in Penang which is connected to G Hotel Gurney and G Hotel Kelawai, which are modern concept designer hotels.
- Sungei Wang Plaza, which is positioned as a one-stop shopping mall 'for all kinds of everything', is a well-known shopping mall located in Kuala Lumpur's Bukit Bintang shopping precinct, offering shoppers a wide range of eclectic products and services.
- Tropicana City Mall and Tropicana City Office Tower are part of an integrated commercial development which is strategically located at the intersection of two major highways – the SPRINT and Lebuhraya Damansara Puchong in Petaling Jaya. Tropicana City Mall is an established neighbourhood mall catering to the day-to-day shopping needs of its matured residential catchment.
- The Mines, which is located in Selangor's Mines Resort City, is a suburban family-focused shopping mall. It provides shoppers with a complete offering of retail, entertainment and dining options.

- East Coast Mall, which is located in Kuantan, Pahang, is a modern lifestyle shopping mall with established domestic and international retailers. It is a popular destination among the people in Kuantan and eastern Peninsular Malaysia, and regarded as the market leader in Kuantan.

The Manager continues to strive to ensure that each mall under CMMT's portfolio optimises its financial performance, strengthens its market position as the leading mall serving its respective target market, as well as provides the ideal shopping experience for its shoppers. This is achieved through a combination of active tenant remixing, stringent mall maintenance standards and unique mall-centric marketing and promotional activities.

Knight Frank Malaysia Sdn. Bhd. is the property manager for Gurney Plaza, Tropicana City Mall and Tropicana City Office Tower, The Mines and East Coast Mall. Meanwhile, Zaharin Nexcap Property Management Sdn. Bhd. manages CMMT's interest in Sungei Wang Plaza.

Acquisitions

To partly fund the acquisition of Tropicana City Mall and Tropicana City Office Tower, on 9 July 2015, RM316.3 million was raised from the issuance and private placement of 239,635,600 new units in CMMT and at a price of RM1.32 per unit. The acquisition from Tropicana City Sdn. Bhd. was completed on 10 July 2015. The status of the utilisation of gross proceeds as at 31 December 2015 is shown in the table below.

Purpose	Proposed Utilisation	Actual Utilisation	Intended Timeframe for Utilisation	Deviation	
	RM'000	RM'000		RM'000	%
Part funding for the acquisition of Tropicana City Mall and Tropicana City Office Tower	291,320	291,320	–	–	–
Placement expenses	7,683	4,016	–	(3,667)	(47.7)
Transaction costs on borrowings	2,658	3,329	–	671	25.2
Incidental costs on acquisition	8,313	7,311	–	(1,002)	(12.1)
Initial capital expenditure and working capital	6,345	3,286	–	(3,059)	(48.2)
Total	316,319	309,262		(7,057)²	(2.2)

¹ For the year ended 31 December 2015, excluding Tropicana City Mall.

² As at the reporting date, the balance of unutilised proceeds raised from the private placement will be utilised for future working capital of existing portfolio.

Upgrading Works

During the year in review, CMMT invested approximately RM34.8 million in capital expenditure works.

At Gurney Plaza, improvement works were carried out to take advantage of the cross traffic between nearby G Hotel Gurney, G Hotel Kelawai and Gurney Paragon. The children's playground has also been improved while an amphitheatre has been created to provide an avenue for events and performances at Gurney Park. Bicycle bays were also constructed at the Gurney Park to support and promote cycling as a healthy choice for the community.

Sungei Wang Plaza has reconfigured units at the concourse to offer more F&B choices such as The Chicken Rice Shop to its shoppers. In addition, Sungei Wang Plaza has repositioned its Level 6 from 'Hong Kong Station' to a new concept which comprises a creative arts academy and a self-storage service. The offerings include Snips College of Creative Arts, which is the only outlet that offers nail spa services, fashion cafe, production studios of modelling classes and DJ training course on top of the regular hair services, and StorHub, the first self-service storage outlet in Klang Valley housed within a shopping mall.

Through the reconfiguration of the secondary entrance at Level 1, The Mines aimed to create a food and beverage cluster to offer fresh dining options for its family-focused market. The Mines has also refurbished its building facade which include repainting, upgrading the light boxes and removal of pagodas which projected a modern and fresh image.

As part of the ongoing repositioning efforts, CMMT malls continue to introduce new brands to stay relevant such as new to market offerings like Din Tai Fung at Gurney Plaza, Charles and Keith and Akemi Uchi at East Coast Mall. At Tropicana City Mall, we introduced new concepts to the shopping mall with Mama Jo Launderette and MFruits. Spotlight, Australia's largest fabric, craft/party and home interiors super-store has also opened its largest store in Malaysia at The Mines.

To enhance the shopping experience, The Mines and Gurney Plaza have installed new digital directories while Sungei Wang Plaza and East Coast Mall installed new digital advertising panels. Upgrading of the facilities at prayer rooms at East Coast Mall also received positive feedback from shoppers. Both The Mines and East Coast Mall have improved the CCTV coverage areas in the malls for better security.

Gurney Plaza, Tropicana City Mall, The Mines and East Coast Mall have upgraded their chillers for better temperature control which include but not limited to the replacement of chillers, cooling towers and AHU cooling coils; installation of new fan coil unit and refrigerant leak detection system; and upgrading of chiller water pump and condenser water pump. Car park upgrading works such as repainting, installation of new directional signages and upgrading of auto pay machines were also carried out at Gurney Plaza, The Mines and East Coast Mall for shoppers' convenience.

As part of the energy saving measures, Gurney Plaza upgraded the lights on the Ground Floor and rooftop car park to LED lights while East Coast Mall also installed energy-efficient down lights on the Ground Floor. The lifts at The Mines and Gurney Plaza have also been upgraded which contributed to more energy savings.

Occupancy

As a result of active mall management, proactive leasing and access to CapitaLand's extensive network of local and international tenants, CMMT's occupancy rate remained stable at 96.0% as at 31 December 2015.

Shopper and Vehicular Traffic¹

Shopper traffic for the portfolio registered at 49.8 million while vehicular traffic recorded at 7.0 million for FY 2015.

¹ For the year ended 31 December 2015, excluding Tropicana City Mall and Tropicana City Office Tower.

Operations Review

Portfolio - Key Information

	Gurney Plaza	Sungei Wang Plaza	Tropicana City Property		The Mines	East Coast Mall
			Tropicana City Mall	Tropicana City Office Tower		
Gross Floor Area (sq ft)	1,229,239	511,103 ¹	639,477	129,630	1,257,086	1,034,617 ²
Net Lettable Area (sq ft) (as at 31 Dec 2015)	892,470	456,336	448,283	101,246	723,303	486,531
Number of Committed Leases (as at 31 Dec 2015)	406	235	190	5	350	196
Committed Occupancy (%) (as at 31 Dec 2015)	98.3	90.4	91.5	100.0	96.3	99.7
Car Park Lots	1,836	1,298		1,759	1,282	1,101
Year of Completion	2001 ³	1977	2008	2009	1997	2008
Acquisition Price (RM mil)	1,015 ⁴	724		540	530	310
Market Value / Net Book Value⁵ (RM mil) (as at 31 Dec 2015)	1,372	780		565	700	469
Gross Revenue (RM mil) (for FY 2015)	128.1	55.0	21.7 ⁶	3.4 ⁶	81.5	55.1
Net Property Income (RM mil) (for FY 2015)	88.1	37.2	12.1 ⁶	2.4 ⁶	51.6	35.0
Shopper Traffic (mil) (for FY 2015)	16.7	15.4	2.1 ⁷	–	10.8	6.9
Key Tenants	Parkson, Golden Screen Cinemas, Marks & Spencer, Omega, Rolex, AIX Armani Exchange, Montblanc, Bell & Ross, Swarovski, Topshop Topman, British India, Cold Storage, Uniqlo, MPH, Padini Concept Store, Jatomi Fitness and Din Tai Fung	Parkson, Giant, StorHub, MR.DIY, F.O.S., SUB, Daiso, Food Emporium, KFC and McDonald's	AEON Big, Golden Screen Cinemas, Jatomi Fitness, Uniqlo, TBM, Toys "R" Us, Grand Kingdom Chinese Restaurant, Borders, Akemi Uchi, S.Wine and Vonza	Tropicana Golf and Country Resort Berhad, Star Media Radio Group Sdn. Bhd. and CIMB Investment Bank Berhad	Giant, Spotlight, TGV Cinemas, Celebrity Fitness, SenQ, ACE Hardware, Uniqlo, Voir Gallery, F.O.S., Daiso and Mines Cruise	Parkson, AEON Big, Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, L'Occitane, Daiso, The Coffee Bean & Tea Leaf and Starbucks Coffee

¹ Equal to 47,483 square metres, representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza.

² Includes the car park area as gross floor area is defined by the requisite authorities in Kuantan to be inclusive of the car park area.

³ Gurney Plaza was completed in 2001 and Gurney Plaza Extension in 2008.

⁴ Equal to RM800.0 million for Gurney Plaza and RM215.0 million for Gurney Plaza Extension.

⁵ Equal to carrying value.

⁶ For the period between 10 July 2015 and 31 December 2015.

⁷ From 1 October 2015 to 31 December 2015.

Rental Reversions for 2015 Lease Expiries

For leases that expired in 2015, the rental of the first year of the renewed/new lease term increased by 1.7% on a portfolio basis compared to the preceding rate, i.e. the last year's rental of the preceding term.

Lease Expiry Profile

Tenants are typically on a three-year tenancy term. The portfolio lease expiry spread out as at 31 December 2015 with 32.8% and 42.4% of tenancies by gross rental income due for renewal in 2016 and 2017 respectively, with the balance expiring from 2018 onwards. 510 leases are due to expire in 2016.

Lease Structure

Rental income is the total amount payable by all tenants/licensees pursuant to a lease/license, which includes rents/fees payable under a lease or license agreement. Rents paid under CMMT's lease agreements are generally fixed for a period of three years which is the usual market practice in Malaysia.

Most of CMMT's leases include step-up provisions, whereby the rental rate increases by a predetermined amount at various points in the future (typically annually). The vast majority of tenants have a provision in their leases for the payment of a turnover rent in addition to the base (fixed) rent.

Portfolio - Renewals / New Leases (excluding newly created and reconfigured units)

(as at 31 December 2015)

Property	Number of Renewals/ New Leases	Net Lettable Area (sq ft)	Percentage of Mall (%)	Change in Rental Rates ¹
Gurney Plaza	91	892,470	10.8	7.4
Sungei Wang Plaza	70	456,336	16.9	-31.5
Tropicana City Mall & Tropicana City Office Tower	51	549,529	22.9	6.4
The Mines	142	723,303	43.6	9.0
East Coast Mall	32	486,531	10.9	6.7
Total	386	3,108,169	21.5	1.7

Portfolio - Lease Expiry Profile

(as at 31 December 2015)

Year	Number of Leases	By Gross Rental Income (%)	By Net Lettable Area (%)
2016	510	32.8	33.9
2017	541	42.4	39.1
2018 and beyond	323	24.8	27.0

Portfolio - Lease Expiry Profile for 2016

(as at 31 December 2015)

Property	Number of Leases	By Gross Rental Income (%)	By Net Lettable Area (%)
Gurney Plaza	121	12.1	14.4
Sungei Wang Plaza	123	5.9	3.1
Tropicana City Mall & Tropicana City Office Tower	57	2.7	2.7
The Mines	110	6.1	7.0
East Coast Mall	99	6.0	6.7
Total	510	32.8	33.9

¹ Change in the current rental rates versus the preceding rental rates.

Operations Review

Top 10 Tenants

CMMT's gross rental income is well distributed within its portfolio of 1,382 leases. Collectively, the 10 largest tenants accounted for about 16.5% of the portfolio gross rental income.

Trade Sector Analysis

CMMT's portfolio is well diversified and relies on many different trade sectors for rental income. As at 31 December 2015, fashion/accessories remained the largest contributor to gross rental income at 32.5% of the total portfolio. The food and beverage trade was the second largest contributor in terms of gross rental income at 17.3% and occupied 12.5% of the total net lettable area.

Portfolio - 10 Largest Tenants by Total Gross Rental

(as at 31 December 2015)

Tenant	Trade Sector	By Gross Rental Income (%)	Expiry Date ¹
Parkson	Departmental Store	6.2	2 Aug 2016 to 15 Oct 2017
AEON Big	Supermarket/Hypermarket	1.9	31 Oct 2016 to 23 May 2017
Giant	Supermarket/Hypermarket	1.5	15 Oct 2017 to 2 Jan 2018
F.O.S.	Fashion/Accessories	1.3	30 June 2016 to 31 Dec 2017
Golden Screen Cinemas	Leisure & Entertainment/Sports & Fitness	1.1	14 Jan 2016 to 22 June 2018
Padini Concept Store	Fashion/Accessories	1.0	30 Apr 2017 to 31 Dec 2017
Voir Gallery	Fashion/Accessories	1.0	31 May 2017 to 14 Jan 2018
Uniqlo	Fashion/Accessories	0.9	14 Nov 2016 to 18 Dec 2017
Tropicana Golf and Country Resort Berhad	Others	0.8	30 Sep 2018
Star Media Radio Group Sdn. Bhd.	Others	0.8	28 Feb 2017

Portfolio - Trade Sector Analysis

(as at 31 December 2015)

Trade Sector	By Gross Rental Income (%)	By Net Lettable Area (%)
Fashion/Accessories	32.5	22.5
Food & Beverages	17.3	12.5
Beauty/Health	11.5	7.7
Services	9.6	6.3
Departmental Store	6.5	13.3
Leisure & Entertainment/Sports & Fitness	6.1	10.5
Electronics/I.T.	2.7	2.9
Supermarket/Hypermarket	3.9	10.3
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	3.2	3.9
Houseware/Furnishings	2.7	3.7
Others	4.0	6.4

¹ In cases where leases have more than one expiry date (i.e. the tenants have several leases in more than one mall), lease expiry dates are shown as a range.

Financial Review

Gross Revenue

Gross revenue for FY 2015 of RM344.8 million was RM29.4 million or 9.3% higher than FY 2014. The increase was mainly driven by the strong performance from the revamped East Coast Mall and contribution from the newly acquired Tropicana City

Mall and Tropicana City Office Tower. CMMT also benefited from higher gross rental income on the back of higher rental rates achieved from new and renewed leases, except for Sungei Wang Plaza which continues to be affected by the ongoing MRT works.

Gross Revenue by Property	FY 2015 RM'000	FY 2014 RM'000
Gurney Plaza	128,064	122,586
Tropicana City Mall and Tropicana City Office Tower ¹	25,112	–
The Mines	81,550	79,736
East Coast Mall	55,078	45,846
Sungei Wang Plaza	55,007	67,227
Total	344,811	315,395

Net Property Income

NPI for FY 2015 of RM226.4 million was RM17.5 million or 8.4% higher than FY 2014. The increase was a result of the abovementioned increase in gross revenue as well as property operating expenses, which increased by 11.2% to RM118.4 million. The overall increase in property operating expenses was largely attributed to the operating expenses of the newly acquired

Tropicana City Mall and Tropicana City Office Tower. In addition, the rest of the portfolio experienced higher property maintenance expenses, reimbursable staff costs as well as marketing expenses following the rebranding event at East Coast Mall. Despite the higher operating expenses, NPI grew on the back of higher gross revenue.

Net Property Income by Property	FY 2015 RM'000	FY 2014 RM'000
Gurney Plaza	88,095	83,277
Tropicana City Mall and Tropicana City Office Tower ¹	14,492	–
The Mines	51,599	48,558
East Coast Mall	34,998	27,892
Sungei Wang Plaza	37,201	49,175
Total	226,385	208,902

Distributions

For FY 2015, CMMT declared a DPU of 8.60 sen. During the financial year, CMMT made two income distributions to Unitholders, totaling RM159.9 million or 8.99 sen per unit, which comprised (i) a final income distribution for FY 2014 of 4.38 sen per unit for the period from 1 July 2014 to 31 December 2014, which was paid on 27 February 2015 and (ii) the advance income distribution for FY 2015 of 4.61 sen per unit for the period from 1 January 2015 to 8 July 2015, which was paid on 7 August 2015. CMMT's final income distribution for FY 2015 for the period from

9 July 2015 to 31 December 2015 will be distributed to its Unitholders on 29 February 2016. This represents a payout of approximately 100.0% of CMMT's FY 2015 distributable income of RM162.8 million.

CMMT's DPU fell 3.5% year-on-year, from 8.91 sen in FY 2014 to 8.60 sen in FY 2015. The drop in DPU was mainly due to the lower net property income contribution from Sungei Wang Plaza and higher finance costs. The impact was mitigated by the steady growth in Gurney Plaza and The Mines, along with contribution from the revamped East Coast Mall.

¹ For the period from 10 July 2015 to 31 December 2015.

Financial Review

Distribution History

Period Start	Period End	DPU sen	Distributions RM'000
FY 2011			
01-Jan-11	24-Mar-11	1.74	23,490
25-Mar-11	30-Jun-11	2.16	32,289
01-Jul-11	10-Nov-11	2.83	42,384
11-Nov-11	31-Dec-11	1.14	20,095
Total		7.87	118,258
FY 2012			
01-Jan-12	30-Jun-12	4.20	74,151
01-Jul-12	31-Dec-12	4.24	74,964
Total		8.44	149,115
FY 2013			
01-Jan-13	30-Jun-13	4.35	77,012
01-Jul-13	31-Dec-13	4.50	79,777
Total		8.85	156,789
FY 2014			
01-Jan-14	30-Jun-14	4.53	80,456
01-Jul-14	31-Dec-14	4.38	77,919
Total		8.91	158,375
FY 2015			
01-Jan-15	8-Jul-15	4.61	82,011
09-Jul-15	31-Dec-15	3.99	80,789
Total		8.60	162,800

Financial Position

Unitholders' funds for CMMT Group at 31 December 2015 was RM2,674.8 million, an increase of RM387.3 million from 31 December 2014. The increase in Unitholders' funds was mainly a result of the issue of new CMMT units in July 2015 for the acquisition of Tropicana City Mall and Tropicana City Office Tower and the issue of CMMT units to the Manager as part payment of management fee as well as the FY 2015 profit contribution.

The total assets for CMMT Group were RM4,091.8 million at 31 December 2015 compared to RM3,404.7 million at 31 December 2014. The growth of RM687.1 million was primarily derived from the acquisition of Tropicana City Mall and Tropicana City Office Tower of RM547.3 million, a fair value gain of investment properties of RM70.9 million and the capitalisation of capital expenditure of RM34.8 million. The capital expenditure incurred across the portfolio during the year includes AELs.

Unitholders are advised that past performance is not necessarily indicative of future performance and unit prices and investment returns may fluctuate.

Valuations and Property Yields

CMMT Portfolio	Valuation ¹ RM million (RM psf NLA) ²			Property Yield (%) ³		Capitalisation Rate (%) ⁴	
	31 Dec 2015	31 Dec 2014	Increase/ (Decrease)	FY 2015	FY 2014	31 Dec 2015	31 Dec 2014
Gurney Plaza	1,372.0 1,537 psf	1,295.0 1,459 psf	77.0	6.4	6.4	7.00	7.00
Tropicana City Mall and Tropicana City Office Tower	565.0 1,028 psf	–	565.0	5.3	–	6.50	–
The Mines	700.0 968 psf	680.0 946 psf	20.0	7.4	7.1	7.00	7.00
East Coast Mall	469.0 964 psf	434.0 894 psf	35.0	7.5	6.4	7.25	7.25
Sungei Wang Plaza	780.0 1,709 psf	824.0 1,838 psf	(44.0)	4.8	6.0	7.00	7.00
CMMT Portfolio	3,886.0 1,250 psf	3,233.0 1,273 psf	653.0	6.2	6.5	–	–
Less: acquisition ⁵			(547.3)				
Less: additions ⁶			(34.8)				
FY 2015 Fair Value Gain			70.9				

¹ Based on the independent valuations of Gurney Plaza, an interest in Sungei Wang Plaza, Tropicana City Mall and Tropicana City Office Tower, The Mines and East Coast Mall as at 31 December 2015 and 31 December 2014, commissioned by the Trustee.

² RM per square foot of net lettable area.

³ Property yield is calculated by dividing the NPI or annualised NPI for the year by the independent valuation of the property.

⁴ Capitalisation rate refers to the reversionary capitalisation rate adopted by the independent valuers to derive the market values of each property.

⁵ This refers to the acquisition of Tropicana City Mall and Tropicana City Office Tower on 10 July 2015.

⁶ Additions refer to capital expenditure incurred across the portfolio during the financial year.

Capital Management

The Manager continues to rigorously monitor the cash position and borrowings level of CMMT Group with the view of strengthening its capital structure and competitive position.

Borrowings

The Manager's capital management strategy involves adopting and maintaining an appropriate aggregate leverage level to ensure optimal returns to Unitholders, while maintaining flexibility in respect of future capital expenditure or acquisitions.

In February 2015, the credit margins of some of the existing floating rate credit facilities of CMMT Group were tightened by up to 10 basis points. In the following month, CMMT Group re-fixed part of the existing secured term loans for three years. The proactive interest rate risk management paved the way for CMMT to limit the adverse impact on the cost of debt due to increase in market interest rate and banks' cost of funds.

In March 2015, CMMT Group had also extended the maturity of some of the existing credit facilities which resulted in an increase in the average term to maturity for outstanding debts from about two years to above seven years. In addition, the Group obtained an additional secured term loan facility of RM50.0 million to repay part of the existing revolving credit facilities. Both initiatives have improved the debt maturity profile of the Group.

In July 2015, CMMT successfully raised RM316.3 million through a private placement exercise and obtained a secured term loan of RM248.7 million at a competitive interest rate to finance the acquisition of Tropicana City Mall and Tropicana City Office Tower. Furthermore, an additional secured term loan of RM100.0 million was also drawn down to repay part of the existing revolving credit facilities.

The proactive capital management efforts during the year have improved the liquidity position of CMMT Group to support future growth.

As at 31 December 2015, CMMT Group had available banking credit facilities of RM1,209.4 million and an unutilised interest rate swap line of up to RM90.0 million. CMMT Group had utilised RM972.6 million, of which RM918.4 million pertained to secured term loan facilities and RM45.7 million pertained to secured and unsecured revolving credit facilities used for the funding of acquisition of properties and capital expenditure. The balance of RM8.5 million pertained to bank guarantee facilities for utilities, leaving unutilised banking credit facilities of RM236.8 million.

Of the approved 20-year secured MTN programme of RM3.0 billion, a four-year unrated and secured MTN of RM300.0 million was issued by CMMT MTN Berhad (CMMT's financing vehicle) and was on-lent to CMMT to refinance an existing secured term loan in December 2012. The unrated and secured MTN remains outstanding as of the reporting date.

The total borrowings of CMMT Group as at 31 December 2015 were RM1,264.1 million, which equates to a healthy gearing level at 31.5% and provides the Group with a permissible debt headroom of RM1.5 billion for future acquisitions of shopping malls and/or asset enhancements. The average cost of debt for CMMT Group for FY 2015 was at approximately 4.5% per annum (FY 2014: 4.3% per annum) and the average term to maturity for outstanding debts was 7.3 years. Of the five properties in the portfolio, Sungei Wang Plaza and East Coast Mall remain unencumbered, providing CMMT with further financial flexibility.

Debt Maturity Profile

The debt maturity profile for CMMT Group as at 31 December 2015 was as follows:

Year	Debt Maturity (RM million)
2016 (exclude MTN)	7.5
Dec-2016 (MTN)	300.0
2022	386.9
2026	269.7
2028	300.0

Cash Flows and Liquidity

The Manager proactively monitors its cash and liquid reserves to ensure that adequate funding is available for distribution to the Unitholders as well as to meet any short-term liabilities.

Cash and Cash Equivalents

As at 31 December 2015, the cash and cash equivalents of CMMT Group stood at RM187.0 million, an increase of RM30.5 million compared to FY 2014. The increment was mainly the result of cash inflows of RM231.1 million and RM397.7 million from operating and financing activities respectively and offset by the cash outflow of RM598.3 million from investing activities.

Operating Activities

CMMT Group's operating net cash flow for FY 2015 was RM231.1 million, an increase of RM31.0 million over the preceding year. The increase was mainly due to contribution from the newly acquired Tropicana City Mall and Tropicana City Office Tower and the revamped East Coast Mall. CMMT also benefited from higher gross rental income on the back of higher rental rates achieved from new and renewed leases, except for Sungei Wang Plaza which continues to be affected by the ongoing MRT works.

Investing Activities

In 2015, CMMT paid RM547.3 million for the acquisition of Tropicana City Mall and Tropicana City Office Tower. In addition, CMMT Group spent RM1.7 million on plant and equipment and invested RM34.8 million in capital expenditure, which resulted in a cash outflow of RM54.0 million, including payments for previous years capital expenditure. The impact of this cash outflow was partly mitigated by interest income of RM4.7 million as a result of active cash management.

Financing Activities

During the year, RM316.3 million was raised through a private placement exercise to part finance the acquisition of Tropicana City Mall and Tropicana City Office Tower and the balance was funded with a new secured term loan of RM248.7 million. In addition, RM50.3 million was drawn down from revolving credit facilities for the funding of capital expenditure. CMMT Group also paid RM49.7 million in interest expenses and distributed RM160.0 million to its Unitholders.

Accounting Policies

The financial statements have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards and International Financial Reporting Standards. These financial statements also comply with the applicable disclosure provisions of the Listing Requirements.

Independent Retail Market Overview

Prepared by: Savills (Malaysia) Sdn Bhd

Date: 31 December 2015



Macroeconomic and Demographic Overview

The Malaysian economy continued to expand at a moderate pace in the first three quarters of 2015 with diverging growth momentum across all economic sectors. In the third quarter of 2015, Gross Domestic Product (GDP) growth of 4.7% was registered, supported by the continued expansion of domestic demand. On a quarter-on-quarter seasonally adjusted basis, the economy grew by 0.7%. The private sector is the key driver of the economy, mainly driven by capital investment in the manufacturing and services sectors as well as private consumption. On the supply side, growth was led by the construction and manufacturing sectors, supported in particular by the growth in the export of goods and services. The services sector registered lower growth due to a moderation in household spending which resulted from the implementation of the Goods and Services Tax (GST). Meanwhile, Malaysia's Ministry of Finance (MOF) has forecasted 2015's GDP to range between 4.5% and 5.5%.

Malaysia's GDP per capita (at current prices) is estimated at RM37,463 in 2015, up 3.6% from RM36,165 in 2014. The national mean gross monthly household income increased from RM5,000 in 2012 to RM6,141 in 2014 based on the most recent Household Income Survey. Kuala Lumpur still topped the list, which registered RM10,629 per month.

Private consumption and investments are expected to hit RM579,908 million and RM183,902 million respectively in 2015, hence increasing by 15.1% and 14.6% over 2014. Public consumption and investments are expected to reach RM147,646 million and RM103,595 million respectively in 2015, which translates into a 10.4% increase and -0.9% decrease from the 2014 figures.

Despite the increased volatility in international financial markets and domestic uncertainties, interest rates in the domestic money market remained broadly stable during the quarter. The Overnight Policy Rate (OPR) was maintained at 3.25% during the third quarter of 2015. Effective on 2 January 2015, the Base Rate (BR) replaced the Base Lending Rate (BLR) as the main reference of lending rates. As at December 2015, the average BR of banks was at 3.86%.

Inflation, as measured by the annual change in the Consumer Price Index (CPI), increased to 3.0% in the third quarter of 2015, and is projected to remain between 2.0% and 3.0% in 2015. 2015's CPI is 20 basis points lower when compared with 2014's 3.2%. The IMF recent projection shows the CPI to average 2.4% in 2015. This is largely affected by the higher costs in the food and non-alcoholic beverages category and domestic fuel prices.

Malaysia's unemployment rate registered 3.2% in the third quarter of 2015. The IMF projects the unemployment rate to average 3.0% in 2015, which is 10 basis points higher when compared with 2014's 2.9%.

As reported by the United Nations World Tourism Organization, Malaysia was ranked the eleventh most-visited country in the world in 2014, after having been ranked tenth most-visited country in 2012. In 2014, tourist arrivals reached 27.4 million, a year-over-year increase of 6.8% from 2013's 25.7 million tourist arrivals. However, tourist arrivals decreased by 7.3% for the first three quarter of 2015 (19.1 million) compared with the previous year (20.6 million). The ASEAN region continued to be the largest contributor of tourist arrivals with a 74.3% share of the total arrivals. Singapore topped the list followed by Indonesia, China, Thailand and Brunei Darussalam. Tourist receipts have increased by 10.0% year-on-year, from 65.4 billion in 2013 to 72.0 billion in 2014.

In general, retail sales growth decreased when compared with the previous years due to the weak consumer sentiment as a result of the rising costs of living (subsidy rationalizations, electricity tariff hikes, GST implementation and Ringgit depreciation), a decline in the crude oil prices and political uncertainty. Sales were mainly supported by the domestic market, Visit Malaysia campaign and festive seasons. The general feedback and outlook is cautiously positive for 2016 once Malaysian consumers get used to GST, and retail spending is expected to return to normal.

Main Economic Indicators, Malaysia

	2010	2011	2012	2013	2014	2015 ^f
GDP at Constant 2010 Prices (RM million)¹						
Malaysia	821,434	864,920	912,261	955,260	1,012,506	1,063,481
Kuala Lumpur ²	113,095	122,890	131,514	140,625	152,439	—
Selangor	177,718	187,434	200,906	212,760	227,085	—
Penang	52,946	55,827	58,353	61,288	66,187	—
Pahang	35,871	38,148	40,047	42,158	43,810	—
Real GDP Growth (%)³						
Malaysia	7.4%	5.3%	5.5%	4.7%	6.0%	4.5-5.5%
Kuala Lumpur ²	10.6%	8.7%	7.0%	6.9%	8.4%	—
Selangor	11.9%	5.5%	7.2%	5.9%	6.7%	—
Penang	10.4%	5.4%	4.5%	5.0%	8.0%	—
Pahang	4.9%	6.3%	5.0%	5.3%	3.9%	—
GDP at Current Prices (RM billion)¹						
GDP per Capita at Current Prices (RM)¹	821.43	911.73	971.25	1018.82	1,069.25	1,161.34
Malaysia	28,733	31,372	32,913	33,721	36,165	37,463
Kuala Lumpur ²	64,693	70,675	77,073	82,262	91,097	—
Selangor	32,300	34,478	36,799	38,082	40,701	—
Penang	33,597	35,527	37,053	38,472	42,186	—
Pahang	23,883	27,069	27,413	27,912	29,575	—
Mean Monthly Household Income⁴						
Malaysia	4,327	4,651	5,000	5,375	6,141	—
Kuala Lumpur	6,371	7,396	8,586	9,967	10,629	—
Selangor	6,297	6,650	7,023	7,417	8,252	—
Penang	4,613	4,829	5,055	5,292	5,993	—
Pahang	3,428	3,583	3,745	3,915	4,343	—
Domestic Aggregate Demand in Current Prices (RM million)¹						
Private Consumption	367,991	418,767	461,295	504,045	579,908	631,278
Private Investment	78,730	111,626	140,177	160,461	183,902	200,879
Public Consumption	97,513	115,515	127,473	133,704	147,646	151,231
Public Investment	76,864	85,789	101,385	104,552	103,595	107,407

f: forecast

¹ Department of Statistics Malaysia; projection 2015 from Ministry of Finance Malaysia.

² Includes WP Putrajaya.

³ Department of Statistics Malaysia.

⁴ Department of Statistics Malaysia: years 2012 and 2014; other years are calculated by Savills Research based on the compound annual growth rates.

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	2010	2011	2012	2013	2014	2015 ^f
Consumer Price Index (Average Prices)¹ (2010=100)						
Malaysia	100.0	103.2	104.9	107.1	110.5	112.2
Peninsular Malaysia	100.0	103.3	105	107.1	110.7	-
Inflation¹	1.7%	3.2%	1.6%	2.1%	3.2%	2.0-3.0%
Consumer Sentiment Index²	114.4	107.8	116.6	104.3	94.5	70.2
Growth Rate	14.5%	-5.8%	8.1%	-10.6%	-9.4	-
Population ('000)³						
Malaysia	28,589	29,062	29,510	29,915	30,261	31,000
Kuala Lumpur	1,675	1,693	1,702	1,717	1,732	1,732
Selangor	5,502	5,600	5,702	5,796	6,020	6,140
Penang	1,576	1,601	1,623	1,645	1,680	1,690
Pahang	1,502	1,527	1,547	1,564	1,584	1,600
Urbanisation Rate⁴						
Malaysia	71.0%	-	-	-	-	-
Kuala Lumpur	100.0%	-	-	-	-	-
Selangor	91.4%	-	-	-	-	-
Penang	90.8%	-	-	-	-	-
Pahang	50.5%	-	-	-	-	-
Unemployment Rate⁴	3.3%	3.1%	3.0%	3.1%	2.9%	3.2%
Overnight Policy Rate⁵	2.7%	3.0%	3.0%	3.0%	3.2%	3.2%
Base Lending Rate⁵	6.0%	6.5%	6.5%	6.5%	6.7%	6.8%
Tourist Arrivals⁶ (million persons)	24.6	24.7	25.0	25.7	27.4	29.4
Tourist Receipts⁶ (RM billion)	56.5	58.3	60.6	65.4	72.0	89.0

Retail Market Overview

The overall retail scene in the region was challenging in 2014 and 2015. 2015 was a consolidation and rationalization year for retailers. The fashion industry in Malaysia was affected by the volatile economy, implementation of Good and Services Tax (GST), weak consumer sentiment and low discretionary spending. Retail margins, especially in the fashion industry, were squeezed and profit levels fell by double digits.

According to the Malaysian Institute of Economic Research (MIER), the Consumer Sentiment Index has been trending downwards since 2013 to the third quarter of 2015, and was constantly below 80 index points for the first three quarters of 2015 (new low of 70.2 points in Q3 2015). This is the worst period since the Global Financial Crisis (GFC) of 2008. Consumer confidence level is expected to improve in the mid to

long term as consumers get used to GST and backed by stable economic and political conditions.

With the influx of retail space scheduled to be completed in 2016 and 2017, competition should intensify. The best shopping centres will continue to perform whereas centres in secondary locations which do not benefit from good catchment areas will most likely struggle.

Despite the stiff and competitive retail market, international retailers, such as the FJ Benjamin Group, H&M and Uniqlo continued to expand within Malaysia although the focus remains within Greater Kuala Lumpur. Greater Kuala Lumpur includes Wilayah Persekutuan Kuala Lumpur and parts of Selangor such as Petaling, Gombak, Hulu Langat, Klang and Sepang districts.

^f: forecast

¹ Bank Negara Malaysia, Department of Statistics Malaysia for 2015's figures.

² Malaysian Institute of Economic Research: 2015's figure is as at Q3/2015.

³ Department of Statistics Malaysia.

⁴ Ministry of Finance Malaysia: 2015's figure is as at Q3/2015.

⁵ Bank Negara Malaysia.

⁶ Tourism Malaysia.

Retail Supply and Demand

According to the Valuation and Property Services Department, Ministry of Finance, Malaysia (JPPH), the total retail stock, which includes shopping centres, arcades, and hypermarkets, in Malaysia stands at 145.0 million sq ft as of Q3 2015. Collectively, contributions from Kuala Lumpur, Selangor, Penang, and Pahang account for 58.1% of the total shopping centre stock in the country.

Of the total stock, 72.3% is located within shopping centres. Within Kuala Lumpur, 79.5% of all retail space is derived from shopping centres, compared

with 70.7% in Selangor, 64.9% in Penang, and 93.8% in Pahang.

Additionally, as at Q3/2015, JPPH estimates that the total future retail stock totaling approximately 29.1 million sq ft of throughout the country. Upon completion, the total retail stock will increase by 20.0%.

Based on the Q3/2015 stock data, the retail stock per capita for the entire country is currently about 4.8 sq ft per capita, which increased from 4.4 sq ft per capita in 2014, while shopping centre stock per capita is about 3.5 sq ft per capita, slightly higher than 2014's 3.2 sq ft per capita.

Shopping Centre Stock in Malaysia as at Q3/2015

State	No. of Properties	Total Space (sq ft)	% of Total Space in Malaysia
WP Kuala Lumpur	59	22,419,223	21.4%
WP Putrajaya	1	621,981	0.6%
WP Labuan	1	280,540	0.3%
Selangor	70	23,966,975	22.9%
Johor	58	11,536,091	11.0%
Penang	39	11,730,993	11.2%
Parek	37	5,846,143	5.6%
Negeri Sembilan	27	2,783,609	2.7%
Melaka	19	2,827,375	2.7%
Kedah	35	4,744,027	4.5%
Pahang	20	2,752,857	2.6%
Terengganu	9	723,894	0.7%
Kelantan	7	1,143,912	1.1%
Perlis	4	237,990	0.2%
Sabah	35	5,984,513	5.7%
Sarawak	53	7,144,496	6.8%
Malaysia	474	104,744,620	100.00%

Source: Valuation and Property Services Department (JPPH), Ministry of Finance.

Per Capita Retail Stock and Shopping Centre Stock in Malaysia and Selected States

	Malaysia	Kuala Lumpur	Selangor	Penang	Pahang
Retail Stock (sq ft) ¹	144,984,846	28,182,646	33,920,170	18,070,769	2,936,489
Shopping Centre Stock (sq ft) ¹	104,744,620	22,419,223	23,966,975	11,730,993	2,752,857
Shopping Centre Stock as % of Retail Stock	72.3%	79.6%	70.7%	64.9%	93.8%
Retail Stock per capita (sq ft)	4.8	16.3	5.6	10.8	1.9
Shopping Centre Stock per capita (sq ft)	3.5	12.9	4.0	7.0	1.7

¹ Data as at Q3/2015.

Source: Valuation and Property Services Department (JPPH), Ministry of Finance.

Savills Research's findings show that prime shopping complexes in Greater Kuala Lumpur enjoy close to full occupancy. A number of international retailers were seen expanding their retail space in Kuala Lumpur and Selangor in 2015.

In 2015, six new shopping malls, two newly refurbished malls and the second IKEA opened in the Greater Kuala Lumpur, of which seven are located in Selangor and two in suburban Kuala Lumpur. The new completions are CentreStage @ Section 13, The Place @ One City,

Independent Retail Market Overview

Star Avenue Lifestyle Mall, Evolve Concept, M3 Mall and the Mitsui Outlet Park. The long-awaited IKEA Cheras – 20% larger than the IKEA Damansara which is located within suburban Kuala Lumpur was officially opened in November 2015. Atria Shopping Gallery in Damansara Jaya and Sunway Putra Mall (formerly known as The Mall) in Kuala Lumpur have undergone rejuvenation and re-opened in May 2015. IOI City Mall, Putrajaya, the largest shopping mall in the southern part of Kuala Lumpur opened in December 2014 and is performing above expectations with a 92% occupancy rate.

It is expected that approximately 7.9 million sq ft and 10.8 million sq ft of new retail space will be added to the respective existing stocks of Kuala Lumpur and Selangor by 2018.

Major shopping malls in Greater Kuala Lumpur that are in the pipeline for 2016 include the Empire City Mall (1,800,000 sq ft), Sunway Velocity Lifestyle Shopping Mall (1,000,000 sq ft), MyTOWN Shopping Centre (1,100,000 sq ft), Melawati Mall (620,000 sq ft), da:men (420,920 sq ft), The Starling (400,000 sq ft) and KL Eco City Retail Podium (300,000 sq ft). Notable major shopping centres that are scheduled for completion by 2017 in Greater Kuala Lumpur are the TRX Lifestyle Quarter Mall (1,200,000 sq ft), Tropicana Gardens Mall

(1,000,000 sq ft), Central Plaza Mall (1,000,000 sq ft), EkoCheras (680,000 sq ft), Elite Pavilion (429,000 sq ft) and Bangsar Trade Centre (230,000 sq ft). Paradigm OUG by WCT Group (1,500,000 sq ft) and Empire Remix by Mammoth Empire Group (600,000 sq ft) is scheduled for completion in 2018.

The most recently completed malls in Penang is the Mydin Mall Bukit Mertajam (536,507 sq ft) and M Mall O2O (350,000 sq ft) which opened in November 2015 and December 2015 respectively. Perda City Mall (formerly known as AEON Seberang Perai City) was opened just in time to welcome the 2015 Chinese New Year. There are seven shopping malls expected to be added to Penang's existing retail market. To date, Design Village at Bandar Cassia and the Southbay Plaza are scheduled for completion by 2016 and 2017 respectively, whilst City Mall Bayan City, Suiwah Corporations' Megamall, IKEA and The Light Waterfront are in the planning stages.

In Pahang, no new retail complexes were reported in 2014 and 2015. The retail complexes in Kuantan which are expected to be completed in the next two years include the Genting Premium Outlets (334,763 sq ft) by end 2016, and KIP Mart Indera Mahkota (117,000 sq ft), Family Mall (471,286 sq ft), and Complex KWRC Phase 1 (232,370 sq ft) in 2017.

Future Supply of Retail Space in Shopping Centres in Selected States

Location	Future Shopping Centre Stock ('000 sq ft) ¹ 2016-2018	Future Shopping Centre Supply
Kuala Lumpur	7,959	2016: Damansara City Mall, Sunway Velocity Lifestyle Shopping Mall, KL Gateway Retail Podium, MyTOWN Shopping Centre, KL Eco City Retail Podium 2017: Giant Setapak, Elite Pavilion, Four Seasons Place Retail Podium, Suria KLCC Extension (Lot 185,167,K), TRX Lifestyle Quarter Mall, EkoCheras, Kiara 163 Lifestyle Mall, Bangsar Trade Centre 2018: GM Robertson, Paradigm OUG
Selangor	10,862	2016: Sunway Pyramid Phase 3, Utropolis Marketplace, da:men, AEON Mall Shah Alam, Empire City Mall, The Starling @ Damansara Uptown, EVO Shopping Centre, M Square Shopping Centre, Melawati Mall, Retail @ Pacific Star, GLO Damansara, Selayang Star City, Amerin Mall, Bangi Mall, Centrus Mall, Galerie @ De Centrum 2017: Tropicana Gardens Mall, Central Plaza Mall, The Wharf Puchong, Klang Gateway 2018: Kuala Lumpur International Outlet, Empire Remix
Penang	1,400	2016: Design Village 2017: Southbay Plaza
Pahang	1,155	2016: Genting Premium Outlets 2017: KIP Mart Indera Mahkota, Complex KWRC (Phase 1), Family Mall

Note:

¹ Shopping centre stock indicates the net lettable area (NLA) of malls.

Source: Savills Research.

The overall occupancy for retail stock in Malaysia increased from 81.1% in 1H/2014 to 81.7% in 1H/2015. Savills Research's findings show that prime shopping centres in Greater Kuala Lumpur enjoy close to full

occupancy. Numerous international brands have entered Malaysia and a number of them were seen expanding their retail spaces in Kuala Lumpur and Selangor.

Occupancy Rates of Retail Stock in Malaysia (1H/2015)

State	Retail Stock ¹ (sq ft)	Occupied Space (sq ft)	Occupancy Rate
WP Kuala Lumpur	28,020,757	24,248,311	86.5%
WP Putrajaya	657,567	552,070	84.0%
WP Labuan	309,290	297,977	96.3%
Selangor	32,505,439	28,099,118	86.4%
Johor	17,876,287	13,708,731	76.7%
Penang	18,070,769	11,966,960	66.2%
Perak	8,754,689	7,932,811	90.6%
Negeri Sembilan	4,734,588	3,641,449	76.9%
Melaka	4,303,967	3,583,539	83.3%
Kedah	5,237,789	4,428,312	84.5%
Pahang	2,936,489	2,338,328	79.6%
Terengganu	1,242,133	888,937	71.6%
Kelantan	2,420,693	2,160,681	89.3%
Perlis	512,921	512,921	100.0%
Sabah	7,049,472	5,724,027	81.2%
Sarawak	7,331,981	5,894,333	80.4%
Malaysia	141,964,830	115,978,504	81.7%

Note:

¹ Retail stock includes shopping centres, arcades and hypermarkets.

Source: Valuation and Property Services Department (JPPH), Ministry of Finance.

Capital Values

In recent years, investment funds (including REITs) have been on acquisition trails. The capital values and yields/capitalisation rates have varied widely based on shopping centre transactions in the past five years. In general, capitalisation rates for shopping malls in Malaysia have been compressed to around 6.0%.

Shopping Centre Ownership

In terms of ownership, the retail market in Malaysia is extremely fragmented. The vast majority of retail assets are independently owned (either the developer or funds), with only a few larger national players having portfolios of multiple assets.

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Capital Values from Selected Shopping Centre Transactions from 2010 to 2015

Property	Year	NLA (sq ft)	Transaction Price (RM mil)	Capital Value (RM psf)	Purchaser
Aeon Bandaraya Melaka	2010	615,608	377.0	612	ARA Asia Dragon Fund
SACC Mall	2010	185,178	90.0	486	ARREIT
1 Mont'Kiara ¹	2010	410,000	333.0	812	ARA Asia Dragon Fund
Gurney Plaza	2010	707,503	800.0	1,131	CMMT
Sungei Wang Plaza ²	2010	450,470	724.0	1,607	CMMT
The Mines	2010	719,563	530.0	737	CMMT
Sunway Pyramid Shopping Mall	2010	1,685,568	2,300.0	1,365	Sunway REIT
Sunway Carnival Shopping Mall	2010	484,364	250.0	516	Sunway REIT
Selayang Mall	2010	379,685	128.0	337	Amanahraya REIT
Gurney Plaza (Extension)	2011	139,964	215.0	1,536	CMMT
Queensbay Mall ³	2011	892,361	651.8	730	CapitaLand Mall Asia
Putra Place (The Mall) ⁴	2011	507,193	223.0	440	Sunway REIT
East Coast Mall	2011	441,342	310.0	702	CMMT
Landmark Central Shopping Centre	2011	289,462	98.0	339	Hektar REIT
Central Square Shopping Centre ⁵	2011	300,782	83.0	276	Hektar REIT
Pavilion KL Mall	2011	1,335,119	3,190.3	2,390	Pavilion REIT
Citta Mall	2011	424,467	245.0	577	ARA Asia Dragon Fund
Kompleks Sungai Buloh	2012	114,130	68.5	600	The Store (M) Sdn Bhd
Mid Valley MegaMall	2012	1,718,951	3,440.0	2,001	IGB REIT
The Gardens Mall	2012	817,053	1,160.0	1,420	IGB REIT
Quill City Mall @ Vision City	2013	770,000	1,200.0	1,558	Employees Provident Fund (EPF)
KL Festival City	2014	450,000	349.0	775	Festival Mall Sdn Bhd & AsiaMalls Sdn Bhd
Mydin Hypermall	2015	536,507	250.0	466	AmFirst REIT
Tropicana City Mall and Office Tower ⁶	2015	549,494	540.0	983	CMMT
Mydin Seremban 2	2015	430,595	240.0	557	Amanah Harta Tanah PNB
da:men ⁷	2015	420,290	488.0	1,159	Pavilion REIT
The Intermark Mall ⁸	2015	225,014	160.0	711	Pavilion REIT

Source: Savills Research, REIT prospectuses and annual reports, and published news source.

¹ The total NLA and acquisition price for 1 Mont'Kiara includes the shopping centre and a 20-storey office tower with roughly 185,000 sq ft of NLA.

² CMMT acquired 205 strata parcels within the mall which, based on the total share units allocated to the 205 strata parcels, represents 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang Plaza).

³ CapitaLand Mall Asia acquired about 90.7% of the mall's retail strata area (approximately 916,181 sq ft) and all its car park spaces.

⁴ Putra Place consists of The Mall (retail), 100 Putra Place (office), The Legend Hotel (hotel) and 1,323 car parking bays. The consideration paid for the auction of The Putra Place was RM513.95 million. According to the announcement by Sunway REIT, the 507,193 sq ft shopping centre was valued at RM223 million.

⁵ The purchase was based on 110 strata parcels within the shopping mall (measuring 464,520 sq ft and representing 85% of the voting rights in Perbadanan Pengurusan Komplek Central Square) together with all the accessory parcels thereto, which consists of retail space with an aggregate NLA of approximately 300,782 sq ft and 488 car parking bays.

⁶ The purchase includes a four (4) storey shopping mall (448,248 sq ft NLA) and the car park (comprising 1,759 car park bays) and a twelve (12) storey Tropicana City Office Tower (101,246 sq ft NLA).

⁷ The purchase includes a five (5) storey shopping mall of approximately 420,920 sq ft of NLA and two (2) levels of basement car park with 1,672 bays.

⁸ The purchase includes a six (6) storey shopping mall of approximately 225,014 sq ft of NLA and five (5) levels of basement car park with 367 bays.

Marketing and Promotions

Portfolio-wide activities

For FY 2015, CMMT's portfolio-wide marketing activities focused on enhancing greater shopping experience through shopper-centric initiatives to strengthen shoppers' affinity with our malls.

In August, the Manager, in collaboration with CapitaLand, engaged retailers through the 'Biz+ Series'- a tenant engagement programme comprising seminars, workshops and networking session with the aim of adding value to our retailers' business. The theme for the 2015 Biz+ Series seminar was 'Letting Social Media Listening, Analytics and Content Drive Footfall' with the key note speaker from Hootsuite. The session provided participants with useful tips on how to make use of social media monitoring tools to enhance branding and increase footfall.

The Manager, in collaboration with CapitaLand, organised the CapitaLand Malls Grand Draw 2015 to improve shoppers' shopping experience by rewarding them with prizes worth a total of RM80,000 between August and October. With more than 8,000 entries received during the contest period, the Grand Draw garnered media publicity from both print and digital media.

CAPITASTAR, a multi-store, multi-mall loyalty initiative that offered shoppers with more rewards was launched at Gurney Plaza in October 2015 in collaboration with CapitaLand. CAPITASTAR members can earn STAR\$ when shopping at CapitaLand malls in Penang and these STAR\$ are then used to redeem vouchers as well as promotional gifts. The STAR\$ rewards come on top of the other rewards that shoppers are already earning, thus giving CAPITASTAR members additional benefits when shopping at CapitaLand malls.

A portfolio-wide partnership with DiGi Telecommunication was also initiated from September to November 2015 at Gurney Plaza, Sungei Wang Plaza, The Mines and East Coast Mall, where more than 130 participating tenants offered exclusive discounts to shoppers and rewarded them with premium items.

Mall-centric Activities

Besides implementing our portfolio-wide marketing activities, each mall also contributed individually to enhance its unique positioning and brand identity through various promotional activities.

Gurney Plaza, Penang

Gurney Plaza is positioned as the premier lifestyle shopping mall in the north of Peninsular Malaysia and the team further enhanced the positioning by organising various mall-centered cultural and international events that are appealing to both local visitors and tourists. It is also a popular destination for meet-and-greet sessions with local and international artistes.

Some of the notable events held at Gurney Plaza in FY 2015 were Fashion Elevated, French Film and Arts Festival, Georgetown Festival, The Amazing Japan as well as the Martell x Bell & Ross private events.

In April 2015, Fashion Elevated, a Spring/Summer Fashion Showcase was organised featuring eighteen international models with a special appearance by celebrity emcee Megan Tan. Exclusive jewellery and apparel from international fashion labels including Coach, TSL, Miss Selfridge, Warehouse and Swarovski were showcased at the runway.

Various festive and family oriented events were also organised at Gurney Plaza, including Cycle for Charity and Trick or Treat. Another highlight of the year was street performer Isaac Hou's Cyr wheel performance in conjunction with the Georgetown Festival.

The year ended joyfully with the much loved beagle in conjunction with the release of Snoopy and Charlie Brown, The Peanuts Movie where Snoopy made live appearances at the main atrium against the backdrop of colourful festive decorations. The mall was also decked out with 80 Snoopy figurines.

Marketing and Promotions

Sungei Wang Plaza, Kuala Lumpur

With more than 38 years of history and strategically located in the heart of Bukit Bintang, Sungei Wang Plaza is one of Malaysia's most well known shopping malls. Positioned as a one-stop retail destination 'for all kinds of everything', Sungei Wang Plaza is renowned for its reasonably priced fashion and accessories, mobile phones, gadgets and beauty-related retail offerings. The exciting events and promotions which took place at Sungei Wang Plaza during FY 2015 were organised by Sungei Wang Plaza management Corporation's team.

One of the main highlights was Sungei Wang Plaza Thousand Lanterns Parade event as thousands of shoppers and visitors came to witness the colourful lanterns that were on display at the mall.

To promote and introduce new tenants, several bloggers and members of the media were invited to experience Halloween treats at the mall for a day. Some of the activities that were held include 9D Halloween Movies at the newly opened 9D Cinema on Level 3, mini Supermarket Sweep challenge at MR.DIY on Level 2 and face art demonstration at Snips College of Creative Arts on Level 6.

An exciting Sci-Fi Festival was held in November 2015 which provided an avenue to promote such specialty retailers at the mall. Some of the activities that organised were the popular Intergalactic Showdown; Clash of the Superheroes; light saber and superheroes skit performance; and costume dress-up contest. During the four-day festival that was held over two consecutive weekends, Sungei Wang Plaza came alive with fans dressed up in their favourite Cosplay and sci-fi characters.

The year 2015 ended with Christmas in the Air celebration where the mall was transformed into a magical wonder of flying horses and majestic Christmas tree. Various themed characters entertained the crowd with their hilarious gimmicks and energetic dance performance.

The Mines, Selangor

To reinforce the positioning of The Mines as a contemporary suburban family-focused shopping mall, fun family-oriented events and promotional activities remained the focus in FY 2015.

Making its comeback during the year under review is the memorable My Lovely Mum Contest. Held at The Mines for the sixth time, this well received competition also garnered media coverage.

The inaugural Short Film Competition was held in collaboration with the National Film Development Corporation to foster greater interest of film-making among youths and to create social media buzz and new likes with online voting. The competition, which spanned over two months, received a total of 147 entries and The Mines was shortlisted in the prestigious International Council of Shopping Centers Asia-Pacific Shopping Center Awards for Integrated Digital Campaign.

In conjunction with the movie release of Jurassic World and Goosebumps, redemption campaigns of movie tickets were organised during the school holidays in June and October 2015 respectively. Various activities were held for children such as dinosaur clay modeling contest and Halloween best costume contest.

Under The Mines Kids Club Program, a mall safety talk was organised in collaboration with the local authorities from the Fire Rescue Department to educate and provide tips to club members and shoppers on mall safety.

The year ended with a fun and rewarding Christmas celebration with the Year End Sale Augmented Reality Contest for the entire family and the appearance of Santa Claus and friends parading around the mall on a sleigh.

East Coast Mall, Kuantan

The revamped East Coast Mall now offers an even more attractive array of fashion, lifestyle and F&B options under one roof. To further strengthen the mall's positioning as a modern family lifestyle shopping mall, various promotional activities were organised in FY 2015 to attract local shoppers and those from neighbouring states of Terengganu and Kelantan.

To celebrate the mall's rebranding, East Coast Mall and its tenants organised a series of exciting events and promotions between May and June 2015. More than 150 guests, including retailers and media representatives, attended the rebranding launch that was held in May and the unveiling of its refreshed logo. The event showcased artiste's performance by Forteen, The Elevation fashion showcase featuring 12 international models and international fashion labels such as Guess, Uniqlo, Levi's and Esprit.

Several thematic workshops and activities were also organised at the main concourse during the school holidays including Family Eco-Lantern Contest and photo contests to provide edutainment to its shoppers. In conjunction with the movie releases of Cinderella and Inside Out, several promotions were held where shoppers could redeem movie tickets and join in the respective movie's related activities and win movie premiums.

As part of the efforts to encourage tenants' sales and shoppers' loyalty, several programs were implemented such as Top Spender Contest and Ultimate Lucky Draw.

In conjunction with the festive holidays, various activities were also arranged during Chinese New Year including acrobatic lion and dragon dance, mask changing and red packet redemption. Cupid and little angels walked around the al-fresco area and gave out roses to couples that dined there during Valentine's Day. During Hari Raya, there were dance performances, Raya Bazaar, tudung making workshop as well as redemptions. In October, a Halloween Bash Party was held and shoppers dressed up to join the party at the mall. A special peacock Kolam was set up at main entrance during Diwali in November. Special Diwali performances and a Kolam competition brought happiness and joy to shoppers. The mall ushered in the festive season with Joyful Christmas musical live show at the main concourse and top spender contest.

Tropicana City Mall

Subsequent to CMMT's acquisition of Tropicana City Mall in July 2015, events were organised to drive shopper traffic to Tropicana City Mall.

In conjunction with Mid-Autumn Festival in September 2015, shoppers who spent a minimum amount were entitled to free gifts. Besides rewarding shoppers with gifts, they were also given free lanterns to take part in a special lantern parade with friends and family.

During Halloween in October 2015, shoppers were entertained by an Evil Clowns performance while children had the opportunity to take part in the arts and craft workshop.

Diwali activities took centre stage at the mall in the following month and one of the main highlights was an intricate and beautifully designed Kolam depicting an elephant. Shoppers were also entitled to free henna art as well as showcasing their creativity in the Kolam competition. A total of 20 Kolams were created by shoppers and the shoppers of the three most beautiful designs walked away with cash prizes.

In conjunction with Hong Kong superstar Alex To's 'My Virtual Planet Tour 2' that was held in December 2015, the mall hosted a meet-and-greet fans session. The talented singer also sang several of his hit songs.

The mall ushered in the festive season with various promotional booths, gifts collection drive, charity and weekend bazaars during The Great Christmas event. With cheerful songs and dances, children participated and enjoyed the specially organised games and workshops.

Portfolio Details

Gurney Plaza

Gurney Plaza is strategically located in the famous Gurney Drive promenade in Penang and approximately three kilometres to the north-west of the city centre of Georgetown, Penang's capital. It is Penang's premier lifestyle shopping mall and a one-stop shopping and entertainment destination catering to both family and tourists arriving in Penang.

Gurney Plaza is a nine-storey shopping complex with two levels of basement comprising nine floors of retail space from Basement 1 to the 7th floor and car park spaces at the two basement levels, the 4th to 8th floors and on the rooftop. As Penang's premier shopping mall, it houses various well-known brands for shopping, dining and entertainment.

Gurney Plaza is anchored by Parkson and is the only mall in the north of Peninsular Malaysia to carry

well-established international brands such as Omega, Rado, Montblanc, Tissot, Thomas Sabo, Pandora, Swarovski, AIX Armani Exchange, CK Jeans, Warehouse, Miss Selfridge, Superdry, Mango Man, PEPE Jeans, Fossil, Chanel, Dior Parfum, Aveda, Make Up For Ever, Benefit Cosmetics, Bobbi Brown, Shu Uemura, Marks & Spencer and Jatomi Fitness. With many food and beverage outlets located within the mall, Gurney Plaza is also a popular destination for food lovers.

Centre Management

Lawrence Teh	Centre Management
Peter Chan	Centre Management
Wong Shu Ying	Marketing Communications
Vanessa Lee	Leasing
Yeoh Kim Bock	Operations

Gurney Plaza - Property Information

Title	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang
Net Lettable Area (sq ft) (as at 31 December 2015)	892,470
Number of Committed Leases (as at 31 December 2015)	406
Committed Occupancy (%) (as at 31 December 2015)	98.3
Car Park Lots	1,836
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2015)	1,372
Gross Revenue (RM mil) (for FY 2015)	128.1
Net Property Income (RM mil) (for FY 2015)	88.1
Shopper Traffic in 2015 (mil)	16.7
Key Tenants	Parkson, Golden Screen Cinemas, Marks & Spencer, Omega, Rolex, AIX Armani Exchange, Montblanc, Bell & Ross, Swarovski, Topshop Topman, British India, Cold Storage, Uniqlo, MPH, Padini Concept Store, Jatomi Fitness and Din Tai Fung.

Gurney Plaza - Lease Expiry Profile

(as at 31 December 2015)

Year	By Gross Rental Income %	By Net Lettable Area %
2016	34.4	49.0
2017	42.3	34.7
2018 and beyond	23.3	16.3

Gurney Plaza - Trade Sector Analysis

(as at 31 December 2015)

Trade Sector	By Gross Rental Income %	By Net Lettable Area %
Fashion/Accessories	37.2	22.4
Food & Beverages	15.2	11.1
Beauty/Health	13.7	9.4
Services	6.2	3.7
Departmental Store	7.3	20.8
Leisure & Entertainment/Sports & Fitness	7.3	12.7
Electronics/I.T.	2.9	3.8
Supermarket/Hypermarket	1.2	2.7
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.3	6.2
Houseware/Furnishings	3.6	5.2
Others	1.1	2.0

Portfolio Details

Gurney Plaza – Title Particulars

Title	HS(D) 17259 Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang and Geran 130393 Lot 5628 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang ¹
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land comprised in the title: • shall not be affected by any provision of the National Land Code (Code) limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and • subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years shall revert to the State only if the proprietor for the time being dies without heirs; and • the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land)
Encumbrances²	There is a lease of part of the land in favour of Parkson Corporation Sdn. Bhd. registered on 13 October 2004 via presentation no. 0799SC2004029845 for a period of fifteen (15) years commencing from 3 August 2001 to 2 August 2016. There is a charge on the land in favour of Public Bank Berhad vide presentation no. 0799SC2011034916 registered on 5 October 2011.
Endorsements	An easement in favour of Gurney Plaza over the vehicle ramp of G Hotel to enable, among other things, the visitors of Gurney Plaza to use the vehicle ramp for the purpose of accessing Basements 1 and 2 of Gurney Plaza. An easement in favour of Gurney Plaza over part of Basement 2 of G Hotel to enable the owner of Gurney Plaza access to the exhaust fan room located on Basement 2 of G Hotel. An easement in favour of G Hotel over part of Basement 2 of Gurney Plaza to enable G Hotel access to its car parks on Basement 2 of Gurney Plaza. An easement in favour of G Hotel over part of the al-fresco area located between Gurney Plaza and G Hotel. An easement in favour of Gurney Plaza in respect of the roadway along the main entrance of G Hotel fronting Gurney Drive. An easement in favour of G Hotel in respect of the roadway along the main entrance of Gurney Plaza fronting Gurney Drive. An easement in favour of G Hotel over part of the landscape park to allow the use of buggies, carts, trishaws or similar conveyances through over and along part of the landscape park for the purpose of ferrying guests, employees, luggage, baggage and the like to and from G Hotel. An easement in favour of the landscape park over the driveway of Pine and Maple Towers for the purpose of access to and from the landscape park.

¹ The title HS(D) 17259 Lot 5626 is one of the sub-divided titles resulting from a sub-division application for the master title Geran 97112, Lot 2903 and the financing documentation for Gurney Plaza makes reference to this master title. The adjacent landscape park is on another subdivided title which was HS(D) 17261 Lot 5628 which is now under a final title Geran 130393 Lot 5628.

² The encumbrances pertain to the title HS(D) 17259 Lot 5626. The title Geran 130393 Lot 5628 is unencumbered.

Sungei Wang Plaza

Sungei Wang Plaza, which translates as ‘the river of gold’, opened in 1977. It is one of the most popular shopping centres in Kuala Lumpur’s prime shopping and commercial precinct - the ‘Golden Triangle’ – an area that comprises three bordering streets, namely Jalan Bukit Bintang, Jalan Sultan Ismail and Jalan Imbi.

A one-stop shopping centre ‘for all kinds of everything’, Sungei Wang Plaza is also well-known for its unique blend of specialty stores and entertainment outlets that appeal to the mass market. Being strategically located in the Bukit Bintang shopping precinct, it also commands strong patronage from local and international tourists.

Sungei Wang Plaza is an 11-storey retail shopping centre with two basement levels and two elevated levels of car park. The mall is anchored by Parkson and other key tenants within CMMT’s strata parcels include Giant, StorHub, MR.DIY, F.O.S., SUB, Daiso, Food Emporium, KFC and McDonald’s.

Centre Management

Elise Lim	Centre Management
Louise Loo	Marketing Communications
Tan Dee Wah	Leasing
Suresh S Santhalingam	Operations

Sungei Wang Plaza - Property Information¹

Title	205 parcels, each with individual strata title, in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ²
Net Lettable Area (sq ft) (as at 31 December 2015)	456,336
Number of Committed Leases (as at 31 December 2015)	235
Committed Occupancy (%)	90.4
Car Park Lots	1,298
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2015)	780
Gross Revenue (RM mil) (for FY 2015)	55.0
Net Property Income (RM mil) (for FY 2015)	37.2
Shopper Traffic in 2015 (mil)	15.4
Key Tenants	Parkson, Giant, StorHub, MR.DIY, F.O.S., SUB, Daiso, Food Emporium, KFC and McDonald’s.

¹ All information in this table and pertaining to the lease expiry profile, top 10 tenants and trade sector analysis pertain to CMMT’s interest in Sungei Wang Plaza. The strata titles to Sungei Wang Plaza have been issued and the management corporation, Sungei Wang Plaza Management Corporation, is responsible for the maintenance and management of common areas within Sungei Wang Plaza, as well as mall- specific marketing and events.

² The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in Sungei Wang Plaza Management Corporation. These 205 strata parcels consist of retail space with an aggregate floor area of approximately 511,103 sq ft (representing approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza) and approximately 1,298 car park bays with an aggregate floor area of approximately 435,411 sq ft, (which comprises 100.0% of the car park bays in Sungei Wang Plaza).

Portfolio Details

Sungei Wang Plaza - Lease Expiry Profile

(as at 31 December 2015)

Year	By Gross Rental Income %	By Net Lettable Area %
2016	37.7	22.2
2017	47.6	50.7
2018 and beyond	14.7	27.1

Sungei Wang Plaza - Trade Sector Analysis

(as at 31 December 2015)

Trade Sector	By Gross Rental Income %	By Net Lettable Area %
Fashion/Accessories	29.6	18.8
Food & Beverages	19.1	15.3
Beauty/Health	12.1	7.8
Services	6.6	14.3
Departmental Store	18.6	27.0
Leisure & Entertainment/Sports & Fitness	2.1	1.4
Electronics/I.T.	1.3	1.0
Supermarket/Hypermarket	4.3	5.6
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.0	3.9
Others	2.3	4.9

Sungei Wang Plaza – Title Particulars

Title	205 parcels, each with individual strata title ¹ , in the building erected on land held under master title GRN 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Negeri Wilayah Persekutuan Kuala Lumpur ² .
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	The land must be used for commercial building only. Development on the land must comply with the development order issued by the Datuk Bandar, Kuala Lumpur.
Encumbrances	There is a lease of part of the land to Tenaga Nasional Berhad registered on 31 December 1993 vide presentation no. 21493/1993 for a period of 30 years commencing from 15 March 1993 to 14 March 2023 ³ .
Endorsements⁴	Easements between Sungei Wang Plaza and Bukit Bintang Plaza vide presentation nos. 15174/2001 and 15175/2001 pursuant to two easement agreements made between the owner of Bukit Bintang Plaza, UDA Holdings Berhad (UDA) and the developer of Sungei Wang Plaza, Sungei Wang Plaza Sdn. Bhd. (SWPSB). These easements relate to two easement agreements between UDA and SWPSB whereby UDA agreed to grant to SWPSB a right of way from the entrance of Basement 1 and over the ramps of Bukit Bintang Plaza to access Levels 4 and 5 of Sungei Wang Plaza (which form part of CMMT's interest in Sungei Wang Plaza) and SWPSB in turn agreed to grant to UDA the right of way over part of Basement 2 of Sungei Wang Plaza⁵. Revision on quit rent registered on 1 September 2005 vide presentation no. 8100/2005. Registration of Sungei Wang Plaza Management Corporation (SWPMC) on 21 November 2008 vide presentation no. 1183/2008.

¹ The strata title held under Geran 11043/M1/3/312 is subject to a lease registered in favour of Premier Honour Sdn. Bhd. on 26 March 2012 vide presentation no. 9564/2012. The said lease is for a period of 30 years starting from 31 August 2008 to 30 August 2038.

² The total share units allocated to the 205 strata titles owned by CMMT represent approximately 62.8% of the voting rights in SWPMC.

³ This lease of part of the land to Tenaga Nasional Berhad is endorsed on the master title to Sungei Wang Plaza.

⁴ The endorsements are stated on the master title to Sungei Wang Plaza, which is registered in the name of SWPMC.

⁵ UDA has vide the Deed of Easement dated 8 June 2010 granted to Vast Winners Sdn. Bhd. (VWSB) easement rights over the ramps of Bukit Bintang Plaza to access Levels 4 and 5 of Sungei Wang Plaza and part of Basement 1 and 2 of Bukit Bintang Plaza pursuant to which the contractual rights were subsequently assigned by VWSB to AmTrustee Berhad as trustee for CMMT on 14 June 2010. Concurrently, VWSB granted to UDA easement rights over part of Basement 1 and 2 of Sungei Wang Plaza pursuant to another Deed of Easement dated 8 June 2010 which was then assigned also to AmTrustee Berhad as trustee for CMMT.

Portfolio Details

Tropicana City Mall and Tropicana City Office Tower

Tropicana City Mall and Tropicana City Office Tower are part of an integrated commercial development which is strategically located at the intersection of two major highways, making it easily accessible from Kuala Lumpur and various parts of Petaling Jaya.

With its positioning as a modern neighbourhood necessity shopping destination, Tropicana City Mall is a four-storey mall that offers a good mix of food and beverage tenants, established retailers and a hypermarket, which appeals to the residents from the surrounding established and affluent residential estates as well as workers from the neighbouring office catchment.

Tropicana City Office Tower is a 12-storey tower block and is seamlessly connected to the retail mall via an overhead covered link bridge.

Tropicana City Mall is anchored by an established mix of Malaysian and international retailers including AEON Big, Golden Screen Cinemas, Jatomi Fitness, Uniqlo and TBM.

Centre Management

Chai Wen Yew	Centre Management
Chris Chia	Marketing Communications
Mandy Yee	Leasing
Balaprakash S/O E Tharrumah	Operations

Property Information	Tropicana City Mall	Tropicana City Office Tower
Title	Master Title Geran 54431, Lot 45821, Section 39, Bandar Petaling Jaya, District of Petaling, State of Selangor Darul Ehsan ¹	
Net Lettable Area (sq ft) (as at 31 December 2015)	448,283	101,246
Number of Committed Leases (as at 31 December 2015)	190	5
Committed Occupancy (%) (as at 31 December 2015)	91.5	100
Car Park Lots		1,759
Market Valuation (RM mil) Conducted by Henry Butcher Sdn. Bhd. (as at 31 December 2015)		565
Gross Revenue (RM mil)² (for FY 2015)	21.7	3.4
Net Property Income (RM mil)² (for FY 2015)	12.1	2.4
Shopper Traffic in 2015 (mil)³	2.1	–
Key Tenants	AEON Big, Golden Screen Cinemas, Jatomi Fitness, Uniqlo, TBM, Toys “R” Us, Grand Kingdom Chinese Restaurant, Borders, Akemi Uchi, S Wine and Vonza.	Tropicana Golf and Country Resort Berhad, Star Media Radio Group Sdn. Bhd. and CIMB Investment Bank Berhad.

Lease Expiry Profile – By Committed Gross Rental Income

(as at 31 December 2015)

Year	Retail %	Office %
2016	19.3	24.5
2017	48.1	36.3
2018 and beyond	32.6	39.2

¹ Application for subdivision for issuance of strata titles has been submitted by the developer, Tropicana City Sdn Bhd, to Pejabat Tanah dan Galian Selangor on 5 August 2015.

² For the period between 10 July 2015 and 31 December 2015.

³ From 1 October 2015 to 31 December 2015.

Lease Expiry Profile – By Net Lettable Area

(as at 31 December 2015)

Year	Retail %	Office %
2016	14.3	23.4
2017	49.3	34.0
2018 and beyond	36.4	42.6

Trade Sector Analysis – Retail Only

(as at 31 December 2015)

Trade Sector	By Gross Rental Income %	By Net Lettable Area %
Fashion/Accessories	16.1	12.4
Food & Beverages	29.8	18.7
Beauty/Health	13.7	10.3
Services	9.9	5.2
Leisure & Entertainment/Sports & Fitness	5.6	10.3
Electronics/I.T.	2.2	3.3
Supermarket/Hypermarket	11.7	25.5
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	3.8	5.8
Houseware/Furnishings	4.5	4.0
Others	2.7	4.5

Tropicana City Mall & Tropicana City Office Tower – Title Particulars

Title	Master title Geran 54431, Lot 45821, Section 39, Bandar Petaling Jaya, District of Petaling, State of Selangor Darul Ehsan ¹
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	Commercial
Encumbrances	Nil
Endorsements²	Revision on quit rent registered on 13 August 2005 vide presentation no. 33058/2005 Registrar's Caveat registered vide presentation number 5542/2007 on 14 February 2007 ³ Registrar's Caveat registered vide presentation number 44744/2007 on 29 October 2007 ³ Registrar's Caveat registered vide presentation number 15783/2008 on 16 April 2008 ³ Registrar's Caveat registered vide presentation number 34848/2008 on 30 July 2008 ³ Registrar's Caveat registered vide presentation number 24209/2009 on 5 June 2009 ³ Application for subdivision of the building registered on 5 August 2015 vide presentation no. 2863/2015

¹ Application for subdivision for issuance of strata titles has been submitted by the developer, Tropicana City Sdn Bhd, to Pejabat Tanah dan Galian Selangor on 5 August 2015.

² Relates to the Master Title.

³ Relates to the service apartment, Tropics, which is erected on part of the land held under the Master Title and which was not part of the purchase by CMMT in the acquisition of Tropicana City Mall and Tropicana City Office Tower.

Portfolio Details

The Mines

The Mines is located at the south of the federal district of Kuala Lumpur in Seri Kembangan town centre. It is a fashionable suburban family mall targeted at residents residing and working in the southern region of Kuala Lumpur and Selangor.

The Mines has five levels of retail and car park area and is well-known for its Venetian-like internal water canal and a wet-and-dry playground known as the Splash Park located at its rooftop.

The Mines underwent a massive asset enhancement exercise in 2008-2009, transforming it into a modern and fashionable suburban mall with extensive retail offerings catering to all market segments.

The Mines is anchored by Giant. Other key tenants include Spotlight, TGV Cinemas, Celebrity Fitness, SenQ, ACE Hardware, Uniqlo, Voir Gallery, F.O.S., Daiso and Mines Cruise.

The Mines is linked to the Mines International Exhibition & Convention Centre, Mines Wellness Hotel and Mines Resort & Golf Club.

Centre Management

Alan Cheong	Centre Management
Paulin Lim	Marketing Communications
Carmen Liew	Leasing
Anandan Perumal	Operations

The Mines - Property Information

Title	No. H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Net Lettable Area (sq ft) (as at 31 December 2015)	723,303
Number of Committed Leases (as at 31 December 2015)	350
Committed Occupancy (%) (as at 31 December 2015)	96.3
Car Park Lots	1,282
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2015)	700
Gross Revenue (RM mil) (For FY 2015)	81.5
Net Property Income (RM mil) (For FY 2015)	51.6
Shopper Traffic in 2015 (mil)	10.8
Key Tenants	Giant, Spotlight, TGV Cinemas, Celebrity Fitness, SenQ, ACE Hardware, Uniqlo, Voir Gallery, F.O.S., Daiso and Mines Cruise.

The Mines - Lease Expiry Profile

(as at 31 December 2015)

Year	By Gross Rental Income %	By Net Lettable Area %
2016	27.4	29.7
2017	33.4	26.1
2018 and beyond	39.2	44.2

The Mines - Trade Sector Analysis

(as at 31 December 2015)

Trade Sector	By Gross Rental Income %	By Net Lettable Area %
Fashion/Accessories	33.8	33.8
Food & Beverages	15.0	11.5
Beauty/Health	9.7	7.8
Services	18.5	8.2
Leisure & Entertainment/Sports & Fitness	6.9	14.1
Electronics/I.T.	4.4	4.1
Supermarket/Hypermarket	4.1	8.5
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	1.6	1.9
Houseware/Furnishings	4.0	6.8
Others	2.0	3.3

The Mines – Title Particulars

Title	No. H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Restrictions-in-Interest	The land cannot be transferred, leased or charged without the prior consent of the State Authority.
Express Conditions	Commercial building
Encumbrances	There is a charge in favour of Malaysian Trustees Berhad, registered vide presentation no. 2284/2013 on 15 January 2013.
Endorsements	An easement between The Mines and Mines International Exhibition and Convention Centre registered vide presentation no. 117530/2009 on 15 December 2009 pursuant to an easement agreement made between Mutual Streams Sdn. Bhd. and the owner of Mines International Exhibition and Convention Centre. Revision on quit rent registered on 5 August 2005 via presentation no. 28686/2005.

Portfolio Details

East Coast Mall

East Coast Mall is strategically located in the heart of Kuantan's city centre in Pahang, which is the third largest state in Malaysia by geographical size. It is a modern family lifestyle mall and is part of the Putra Square development, which also comprises Zenith Hotel, Menara Zenith as well as the Sultan Ahmad Shah International Convention Centre. It is also walking distance from other local attractions and amenities such as Darul Makmur Stadium and Urban Transformation Centre, Kuantan.

The building is a four-storey shopping complex with one level of basement and car parks located on the rooftop, third floor and surface level. With an established mix of domestic and international retailers, East Coast Mall is the market leader in Kuantan. Besides local patronage,

the mall also attracts shoppers from towns within the neighbouring states of Terengganu and Kelantan, and tourists visiting the east coast of Malaysia.

East Coast Mall is anchored by departmental store Parkson and AEON Big, while other key tenants include Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, L'Occitane, Daiso, The Coffee Bean & Tea Leaf and Starbucks Coffee.

Centre Management

Ronnie Francis	Centre Management
Goh Heau Min	Marketing Communications
Samantha Ng	Leasing
Sharin Bin Harom	Operations

East Coast Mall - Property Information

Title	No. H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Net Lettable Area (sq ft) (as at 31 December 2015)	486,531
Number of Committed Leases (as at 31 December 2015)	196
Committed Occupancy (%) (as at 31 December 2015)	99.7
Car Park Lots	1,101
Market Valuation (RM mil) Conducted by PPC International Sdn. Bhd. (as at 31 December 2015)	469
Gross Revenue (RM mil) (for FY 2015)	55.1
Net Property Income (RM mil) (for FY 2015)	35.0
Shopper Traffic in 2015 (mil)	6.9
Key Tenants	Parkson, AEON Big, Golden Screen Cinemas, Uniqlo, Padini Concept Store, Guess, M.A.C, Pandora, Birkenstock, L'Occitane, Daiso, The Coffee Bean & Tea Leaf and Starbucks Coffee.

East Coast Mall - Lease Expiry Profile

(as at 31 December 2015)

Year	By Gross Rental Income %	By Net Lettable Area %
2016	43.9	40.9
2017	47.6	48.5
2018 and beyond	8.5	10.6

East Coast Mall - Trade Sector Analysis

(as at 31 December 2015)

Trade Sector	By Gross Rental Income %	By Net Lettable Area %
Fashion/Accessories	40.1	22.9
Food & Beverages	17.4	11.7
Beauty/Health	8.3	3.9
Services	8.6	3.7
Departmental Store	8.3	21.5
Leisure & Entertainment/Sports & Fitness	7.0	11.3
Electronics/I.T.	1.8	0.9
Supermarket/Hypermarket	4.4	19.8
Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.0	1.9
Houseware/Furnishings	0.4	0.2
Others	1.7	2.2

East Coast Mall – Title Particulars

Title	No. H.S.(D) 28468, No. PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Tenure	Leasehold interest for 99 years expiring on 18 December 2106.
Restrictions-in-Interest	This land shall not be transferred, leased or charged save with the prior written approval of the State Authority.
Express Conditions	This land shall be used as a commercial building only.
Encumbrances	Nil
Endorsements	Nil

Mall Directory

Plaza Gurney

Persiaran Gurney
10250 Penang
Malaysia
Tel: +60 4 222 8111

Centre Management Office
Location: Level 6 (Lot No. 170-06-01)
Tel: +60 4 222 8222
Fax: +60 4 228 6666
www.gurneypiazza.com.my

East Coast Mall

Jalan Putra Square 6, Putra Square
25200 Kuantan
Pahang Darul Makmur
Malaysia
Tel: +60 9 560 8600

Centre Management Office
Location: Level 3
Tel: +60 9 560 8688
Fax: +60 9 560 8699
www.eastcoastmallkuantan.com.my

The Mines

Jalan Dulang
MINES Resort City
Seri Kembangan
43300 Selangor Darul Ehsan
Malaysia
Tel: +60 3 8949 6333

Centre Management Office
Location: Level 4 (Box No. 228)
Tel: +60 3 8949 6288
Fax: +60 3 8949 6388
www.the-mines.com.my

Tropicana City Mall

No. 3, Jalan SS20/27
47400 Petaling Jaya
Selangor Darul Ehsan
Malaysia
Tel: +60 3 7663 2801

Centre Management Office
Location: Lot B1-01, Tropicana City Mall
Tel: +60 3 7663 2888
Fax: +60 3 7663 2899
www.tropicanacitymall.com

Sungei Wang Plaza

Jalan Sultan Ismail
50250 Kuala Lumpur
Malaysia
Tel: +60 3 2148 6109

Centre Management Office¹
Location: Level 6 (SWP Box No. 129, Lot No. 6F-111)
Tel: +60 3 2117 0288
Fax: +60 3 2117 0388
www.sungeiawang.com

¹ Centre Management Office for CMMT's 205 strata parcels only

Financial Statements

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Statements of Financial Position

As at 31 December 2015

		Group		Trust	
	Note	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Assets					
Plant and equipment	3	2,474	1,864	2,474	1,864
Investment properties	4	3,886,000	3,233,000	3,886,000	3,233,000
Investment in subsidiary	5	–	–	*	*
Total non-current assets		3,888,474	3,234,864	3,888,474	3,234,864
Trade and other receivables	6	16,367	13,302	16,309	13,248
Amount due from subsidiary	7	–	–	7,826	7,860
Cash and cash equivalents	8	186,976	156,511	179,550	149,337
Total current assets		203,343	169,813	203,685	170,445
Total assets		4,091,817	3,404,677	4,092,159	3,405,309
Equity					
Unitholders' capital	9	2,153,529	1,832,286	2,153,529	1,832,286
Undistributed profit		521,265	455,172	521,280	455,187
Total unitholders' funds		2,674,794	2,287,458	2,674,809	2,287,473
Liabilities					
Borrowings	10	951,067	817,357	951,614	518,361
Tenants' deposits		58,031	51,271	58,031	51,271
Amount due to subsidiary	7	–	–	–	300,000
Total non-current liabilities		1,009,098	868,628	1,009,645	869,632
Borrowings	10	307,297	145,400	7,500	145,400
Tenants' deposits		38,901	33,242	38,901	33,242
Trade and other payables	11	61,727	69,949	61,304	69,562
Amount due to subsidiary	7	–	–	300,000	–
Total current liabilities		407,925	248,591	407,705	248,204
Total liabilities		1,417,023	1,117,219	1,417,350	1,117,836
Total equity and liabilities		4,091,817	3,404,677	4,092,159	3,405,309
Net assets value (NAV)					
- before income distribution		2,674,794	2,287,458	2,674,809	2,287,473
- after income distribution		2,594,005	2,209,539	2,594,020	2,209,554
Units in circulation ('000)		2,024,799	1,778,976	2,024,799	1,778,976
NAV per unit (RM)					
- before income distribution		1.3210	1.2858	1.3210	1.2858
- after income distribution		1.2811	1.2420	1.2811	1.2420

* Denotes RM2 issued and paid-up share capital in CMMT MTN Berhad.

Statements of Profit or Loss and Other Comprehensive Income

For the Financial Year ended 31 December 2015

	Note	Group		Trust	
		2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Gross rental income		272,810	250,566	272,810	250,566
Car park income		21,547	18,503	21,547	18,503
Other revenue		50,454	46,326	50,454	46,326
Gross revenue		344,811	315,395	344,811	315,395
Maintenance expenses		(26,126)	(22,655)	(26,126)	(22,655)
Utilities		(48,358)	(46,671)	(48,358)	(46,671)
Other operating expenses	12	(43,942)	(37,167)	(43,942)	(37,167)
Property operating expenses		(118,426)	(106,493)	(118,426)	(106,493)
Net property income		226,385	208,902	226,385	208,902
Interest income		4,731	4,624	4,731	4,624
Fair value gain of investment properties		70,889	86,611	70,889	86,611
Net investment income		302,005	300,137	302,005	300,137
Manager's management fee	13	(21,989)	(20,741)	(21,989)	(20,741)
Trustee's fee	14	(400)	(400)	(400)	(400)
Auditor's fee		(180)	(179)	(173)	(171)
Tax agent's fee		(24)	(25)	(21)	(23)
Valuation fee		(187)	(229)	(187)	(229)
Finance costs	15	(51,547)	(41,299)	(51,547)	(41,299)
Other non-operating expenses		(1,655)	(909)	(1,665)	(919)
Total non-operating and trust expenses		(75,982)	(63,782)	(75,982)	(63,782)
Profit before taxation		226,023	236,355	226,023	236,355
Tax expense	16	–	–	–	–
Profit for the financial year		226,023	236,355	226,023	236,355
Other comprehensive income, net of tax		–	–	–	–
Total comprehensive income for the financial year		226,023	236,355	226,023	236,355
Less: Distribution adjustments	A	(63,070)	(77,890)	(63,070)	(77,890)
Income available for distribution		162,953	158,465	162,953	158,465
Distributable income¹	18	162,800	158,375	162,800	158,375

The accompanying notes form an integral part of these financial statements.

Statements of Profit or Loss and Other Comprehensive Income

For the Financial Year ended 31 December 2015 (continued)

	Note	Group		Trust	
		2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Total comprehensive income for the financial year is made up as follows:					
Realised		155,134	149,744	155,134	149,744
Unrealised		70,889	86,611	70,889	86,611
		226,023	236,355	226,023	236,355
Earnings per unit (sen)	17				
- before Manager's management fee		13.08	14.47	13.08	14.47
- after Manager's management fee		11.92	13.31	11.92	13.31
Distribution per unit (DPU) (sen)					
- for the financial year	18	8.60	8.91	8.60	8.91
Income distribution²					
Distribution of 4.53 sen per unit from 1.1.2014 to 30.6.2014				–	80,456
Distribution of 4.38 sen per unit from 1.7.2014 to 31.12.2014				–	77,919
Distribution of 4.61 sen per unit from 1.1.2015 to 8.7.2015				82,011	–
Declared distribution of 3.99 sen per unit from 9.7.2015 to 31.12.2015 ³	27			80,789	–
				162,800	158,375

¹ The difference between income available for distribution and distributable income is due to the rollover adjustment for the rounding effect of DPU.

² Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.

³ The declared final income distribution will be recognised in the immediate subsequent financial year.

Statements of Profit or Loss and Other Comprehensive Income

For the Financial Year ended 31 December 2015 (continued)

		Group		Trust	
	Note	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Note A					
Distribution adjustments comprise:					
Fair value gain of investment properties	4	(70,889)	(86,611)	(70,889)	(86,611)
Manager's management fee payable in units		9,091	8,598	9,091	8,598
Depreciation	3	1,110	1,162	1,110	1,162
Amortisation of transaction costs on borrowings	15	1,106	786	852	532
Tax and other adjustments		(3,488)	(1,825)	(3,234)	(1,571)
		(63,070)	(77,890)	(63,070)	(77,890)

The accompanying notes form an integral part of these financial statements.

Statements of Changes in Net Asset Value

For the Financial Year ended 31 December 2015

	Unitholders' capital RM'000	Undistributed profit Realised RM'000	Undistributed profit Unrealised RM'000	Total unitholders' funds RM'000
Group				
At 1 January 2014	1,823,567	34,210	344,840	2,202,617
Total comprehensive income for the financial year	–	149,744	86,611	236,355
Unitholders' transactions				
- Units issued as part satisfaction of the Manager's management fee	8,719	–	–	8,719
- Distribution paid to unitholders	–	(160,233)	–	(160,233)
Increase/(Decrease) in net assets resulting from unitholders' transactions	8,719	(160,233)	–	(151,514)
At 31 December 2014/1 January 2015	1,832,286	23,721	431,451	2,287,458
Total comprehensive income for the financial year	–	155,134	70,889	226,023
Unitholders' transactions				
- Placement of units	316,319	–	–	316,319
- Units issued as part satisfaction of the Manager's management fee	8,573	–	–	8,573
- Placement expenses	(3,649)	–	–	(3,649)
- Distribution paid to unitholders	–	(159,930)	–	(159,930)
Increase/(Decrease) in net assets resulting from unitholders' transactions	321,243	(159,930)	–	161,313
At 31 December 2015	2,153,529	18,925	502,340	2,674,794

Note 9

Statements of Changes in Net Asset Value

For the Financial Year ended 31 December 2015 (continued)

	Unitholders' capital RM'000	Undistributed profit Realised RM'000	Unrealised RM'000	Total unitholders' funds RM'000
Trust				
At 1 January 2014	1,823,567	34,225	344,840	2,202,632
Total comprehensive income for the financial year	–	149,744	86,611	236,355
Unitholders' transactions				
- Units issued as part satisfaction of the Manager's management fee	8,719	–	–	8,719
- Distribution paid to unitholders	–	(160,233)	–	(160,233)
Increase/(Decrease) in net assets resulting from unitholders' transactions	8,719	(160,233)	–	(151,514)
At 31 December 2014/1 January 2015	1,832,286	23,736	431,451	2,287,473
Total comprehensive income for the financial year	–	155,134	70,889	226,023
Unitholders' transactions				
- Placement of units	316,319	–	–	316,319
- Units issued as part satisfaction of the Manager's management fee	8,573	–	–	8,573
- Placement expenses	(3,649)	–	–	(3,649)
- Distribution paid to unitholders	–	(159,930)	–	(159,930)
Increase/(Decrease) in net assets resulting from unitholders' transactions	321,243	(159,930)	–	161,313
At 31 December 2015	2,153,529	18,940	502,340	2,674,809

Note 9

Statements of Cash Flows

For the Financial Year ended 31 December 2015

		Group		Trust	
	Note	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Cash flows from operating activities					
Profit before taxation		226,023	236,355	226,023	236,355
Adjustments for:					
Manager's management fee paid/payable in units		9,091	8,598	9,091	8,598
Depreciation	3	1,110	1,162	1,110	1,162
Fair value gain of investment properties	4	(70,889)	(86,611)	(70,889)	(86,611)
Finance costs	15	51,547	41,299	51,547	41,299
Interest income		(4,731)	(4,624)	(4,731)	(4,624)
Plant and equipment written off		2	1	2	1
Operating profit before changes in working capital					
Changes in working capital:		212,153	196,180	212,153	196,180
Trade and other receivables		(3,065)	1,345	(3,061)	1,343
Trade and other payables		9,598	762	9,599	769
Tenants' deposits		12,419	1,806	12,419	1,806
Amount due to subsidiary		–	–	(13,600)	(13,723)
Net cash generated from operating activities		231,105	200,093	217,510	186,375
Cash flows from investing activities					
Acquisition of investment properties		(547,311)	–	(547,311)	–
Acquisition of plant and equipment	3	(1,722)	(704)	(1,722)	(704)
Capital expenditure on investment properties		(54,044)	(51,452)	(54,044)	(51,452)
Interest received		4,731	4,624	4,731	4,624
Net cash used in investing activities		(598,346)	(47,532)	(598,346)	(47,532)

Statements of Cash Flows

For the Financial Year ended 31 December 2015 (continued)

	Note	Group		Trust	
		2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Cash flows from financing activities					
Interest paid		(49,680)	(40,440)	(36,337)	(26,987)
Distribution paid to unitholders		(159,930)	(160,233)	(159,930)	(160,233)
Payment of financing expenses		(4,632)	(207)	(4,632)	(181)
Payment of listing and placement expenses		(3,351)	–	(3,351)	–
Proceeds from interest-bearing borrowings		550,880	88,500	550,880	88,500
Proceeds from placement of new units		316,319	–	316,319	–
Repayment of interest-bearing borrowings		(251,900)	(34,100)	(251,900)	(34,100)
Net cash from/(used in) financing activities		397,706	(146,480)	411,049	(133,001)
Net increase in cash and cash equivalents		30,465	6,081	30,213	5,842
Cash and cash equivalents at 1 January		149,771	143,690	149,337	143,495
Cash and cash equivalents at 31 December		180,236	149,771	179,550	149,337
Cash and cash equivalents at end of the financial year comprise:					
Deposits placed with licensed banks		153,821	127,820	146,402	120,652
Cash and bank balances		33,155	28,691	33,148	28,685
	8	186,976	156,511	179,550	149,337
Less: Pledged deposits		(6,740)	(6,740)	–	–
		180,236	149,771	179,550	149,337

The accompanying notes form an integral part of these financial statements.

Notes to the Financial Statements

CapitaLand Malaysia Mall Trust (CMMT or the Trust) is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 15 September 2015) (the Deed) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.) (the Manager) and AmTrustee Berhad (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 9 June 2010 and is regulated by the SC, the SC's Guidelines on Real Estate Investment Trusts (REITs Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and requirements.

CMMT is listed on the Main Market of Bursa Securities.

The consolidated financial statements reported for the financial year ended 31 December 2015 relates to the Trust and its subsidiary (the Group).

The principal activity of CMMT is to invest, on a long term basis, in a portfolio of income-producing real estate primarily used for retail purposes and located primarily in Malaysia or such other non-real estate investments as may be permitted under the Deed, the REITs Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth. The principal activity of the subsidiary is as disclosed in Note 5 to the financial statements. There have been no significant changes in the nature of these activities during the financial year.

The immediate and ultimate holding corporations during the financial year are CapitaLand Mall Asia Limited and CapitaLand Limited (CL) respectively. Both corporations are incorporated in the Republic of Singapore.

The principal activity of the Manager is to manage and administer CMMT. The Manager, incorporated in Malaysia, is a subsidiary of CapitaLand Retail RECM Pte. Ltd. which is incorporated in the Republic of Singapore and is a wholly-owned subsidiary of CL.

The Manager's registered office and principal place of business are as follows:

Level 2, Ascott Kuala Lumpur
No. 9, Jalan Pinang
50450 Kuala Lumpur

The financial statements were approved by the Manager's Board of Directors on 5 February 2016.

Notes to the Financial Statements

1. Basis of preparation

(a) Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the provisions of the Deed, the REITs Guidelines, Malaysian Financial Reporting Standards (MFRSs) and International Financial Reporting Standards.

The following are accounting standards, amendments and interpretations of the MFRSs that have been issued by the Malaysian Accounting Standards Board (MASB) but have not been adopted by the Group and the Trust:

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2016

- MFRS 14, *Regulatory Deferral Accounts*
- Amendments to MFRS 5, *Non-current Assets Held for Sale and Discontinued Operations (Annual Improvements 2012-2014 Cycle)*
- Amendments to MFRS 7, *Financial Instruments: Disclosures (Annual Improvements 2012-2014 Cycle)*
- Amendments to MFRS 10, *Consolidated Financial Statements*, MFRS 12, *Disclosure of Interests in Other Entities* and MFRS 128, *Investments in Associates and Joint Ventures – Investment Entities: Applying the Consolidation Exception*
- Amendments to MFRS 11, *Joint Arrangements – Accounting for Acquisitions of Interests in Joint Operations*
- Amendments to MFRS 101, *Presentation of Financial Statements – Disclosure Initiative*
- Amendments to MFRS 116, *Property, Plant and Equipment* and MFRS 138, *Intangible Assets – Clarification of Acceptable Methods of Depreciation and Amortisation*
- Amendments to MFRS 116, *Property, Plant and Equipment* and MFRS 141, *Agriculture – Agriculture: Bearer Plants*
- Amendments to MFRS 119, *Employee Benefits (Annual Improvements 2012-2014 Cycle)*
- Amendments to MFRS 127, *Separate Financial Statements – Equity Method in Separate Financial Statements*
- Amendments to MFRS 134, *Interim Financial Reporting (Annual Improvements 2012-2014 Cycle)*

MFRSs, Interpretations and amendments effective for annual periods beginning on or after 1 January 2018

- MFRS 9, *Financial Instruments (2014)*
- MFRS 15, *Revenue from Contracts with Customers*

MFRSs, Interpretations and amendments effective for a date yet to be confirmed

- Amendments to MFRS 10, *Consolidated Financial Statements* and MFRS 128, *Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

Notes to the Financial Statements

1. Basis of preparation (continued)

(a) Statement of compliance (continued)

The Group and the Trust plan to apply the abovementioned accounting standards, amendments and interpretations:

- from the annual period beginning on 1 January 2016 for those accounting standards, amendments or interpretations that are effective for annual periods beginning on or after 1 January 2016, except for amendments to MFRS 5, MFRS 11, MFRS 14, MFRS 119, MFRS 128, MFRS 138 and MFRS 141 which are not applicable to the Group and the Trust.
- from the annual period beginning on 1 January 2018 for those accounting standards, amendments or interpretations that are effective for annual periods beginning on or after 1 January 2018.

The initial application of the accounting standards, amendments or interpretations are not expected to have any material financial impacts to the current and prior period financial statements of the Group and of the Trust except as mentioned below:

MFRS 15, *Revenue from Contracts with Customers*

MFRS 15 replaces the guidance in MFRS 111, *Construction Contracts*, MFRS 118, *Revenue*, IC Interpretation 13, *Customer Loyalty Programmes*, IC Interpretation 15, *Agreements for Construction of Real Estate*, IC Interpretation 18, *Transfer of Assets from Customers* and IC Interpretation 131, *Revenue - Barter Transactions Involving Advertising Services*.

The Group is currently assessing the financial impact that may arise from the adoption of MFRS 15.

MFRS 9, *Financial Instruments*

MFRS 9 replaces the guidance in MFRS 139, *Financial Instruments: Recognition and Measurement* on the classification and measurement of financial assets and financial liabilities, and on hedge accounting.

The Group is currently assessing the financial impact that may arise from the adoption of MFRS 9.

Notes to the Financial Statements

1. Basis of preparation (continued)

(b) Basis of measurement

The financial statements have been prepared on the historical cost basis except for investment properties as disclosed in Note 2(d) and financial instruments as disclosed in Note 2(f).

(c) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is the Group's and the Trust's functional currency. All financial information presented in RM has been rounded to the nearest thousand, unless otherwise stated.

(d) Use of estimates and judgements

The preparation of the financial statements in conformity with MFRSs requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

There are no significant areas of estimation uncertainty and critical judgement in applying accounting policies that have significant effect on the amounts recognised in the financial statements other than valuation of investment properties as disclosed in Note 4.

2. Significant accounting policies

The accounting policies set out below have been applied consistently to the periods presented in these financial statements, and have been applied consistently by Group entities, unless otherwise stated.

(a) Basis of consolidation

Subsidiary

Subsidiary is an entity controlled by the Trust. The financial statements of the subsidiary are included in the consolidated financial statements from the date that control commences until the date that control ceases.

The Group controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

Investment in subsidiary is measured in the Trust's statement of financial position at cost less any impairment losses.

Business combinations

Business combinations are accounted for using the acquisition method from the acquisition date, which is the date on which control is transferred to the Group.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(b) Foreign currencies

Transactions in foreign currencies are translated to the functional currency of the Group and of the Trust at exchange rates at the dates of transaction. Monetary assets and liabilities denominated in foreign currencies at the end of the reporting period are retranslated to the functional currency at the exchange rates at that date. Non-monetary assets and liabilities denominated in foreign currencies are not retranslated at the end of the reporting date, except for those that are measured at fair value are retranslated to the functional currency at the exchange rate at the date that the fair value was determined. Foreign currency differences arising on retranslation are recognised in profit or loss.

(c) Plant and equipment

(i) Recognition and measurement

Items of plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset and any other costs directly attributable to bringing the asset to working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located.

Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When significant parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

The gain and loss on disposal of an item of plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and is recognised net within "other operating income" and "other operating expenses" respectively in profit or loss.

(ii) Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group or to the Trust and its cost can be measured reliably. The carrying amount of the replaced part is derecognised and is charged to profit or loss. The costs of the day-to-day servicing of equipment are recognised in profit or loss as incurred.

(iii) Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant parts of individual assets are assessed, and if a part has a useful life that is different from the remainder of that asset, then that part is depreciated separately.

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment from the date that they are available for use.

The estimated useful lives for the current and comparative periods are as follows:

Computer	2 - 3 years
Office equipment	3 - 5 years

Depreciation methods, useful lives and residual values are reassessed at the end of the reporting period, and adjusted as appropriate.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(d) Investment properties

Investment properties are properties which are owned or held under leasehold interest to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, use in the production or supply of goods or services or for administrative purposes. Investment properties are measured initially at cost and subsequently at fair value with any changes therein recognised in profit or loss for the year in which they arise. Cost includes expenditure that is directly attributable to the acquisition of the investment properties.

Fair value is determined in accordance with the Deed and the REITs Guidelines which requires the investment properties to be valued by independent professional valuers. In determining the fair value, the valuers used valuation techniques which involve certain estimates. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates reflect the current market conditions. The fair value is determined once every six months based on internal valuation or independent professional valuation.

When an investment property is disposed of, the resulting gain or loss is recognised in profit or loss in the year in which the item is derecognised.

Investment properties are not depreciated. The properties are subject to continued maintenance and are regularly revalued on the basis mentioned above. For taxation purposes, the Group or CMMT may claim capital allowances on assets that qualify as plant and machinery under the Income Tax Act, 1967.

(e) Leases

Lessees of an operating lease

Leases, where the Group and the Trust does not assume substantially all the risks and rewards of ownership are classified as operating leases. Payments made under the operating leases are recognised in profit or loss on a straight-line basis over the term of the lease. Lease incentives received are recognised in profit or loss as an integral part of the total lease expense over the term of the lease. Contingent rents are charged to profit or loss in the reporting period in which they are incurred.

Lessors of an operating lease

Assets of the Group and of the Trust subject to operating leases are included in investment properties and are stated at fair value and not depreciated.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(f) Financial instruments

Non-derivative financial instruments

Non-derivative financial instruments comprise trade and other receivables, cash and cash equivalents, borrowings and trade and other payables.

(i) Trade and other receivables

Trade and other receivables are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method, less impairment losses, if any.

(ii) Cash and cash equivalents

Cash and cash equivalents consist of cash on hand, bank balances and deposits placed with licensed banks. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged deposits.

(iii) Interest-bearing borrowings

Interest-bearing borrowings are recognised initially at fair value less attributable transaction costs. Subsequent to initial recognition, interest-bearing borrowings are stated at amortised cost using the effective interest method.

(iv) Trade and other payables

Trade and other payables, including tenants' deposits, are recognised initially at fair value. Subsequent to initial recognition, they are measured at amortised cost using the effective interest method.

A financial instrument is recognised in the statement of financial position when, and only when, the Group or the Trust becomes a party to the contractual provisions of the instrument. Financial assets are derecognised when, and only when, the Group's and the Trust's contractual rights to the cash flows from the financial assets expire or control of the asset is not retained or substantially all of the risks and rewards of ownership of the financial asset are transferred to another party. On derecognition of a financial asset, the difference between the carrying amount and the sum of the consideration received (including any new asset obtained less any new liability assumed) and any cumulative gain or loss that had been recognised in equity is recognised in the profit or loss. A financial liability is derecognised when, and only when, the Group's and the Trust's obligations specified in the contract expire or are discharged or cancelled. On derecognition of a financial liability, the difference between the carrying amount of the financial liability extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(g) Impairment

(i) Financial assets

All financial assets are assessed at each reporting date whether there is any objective evidence of impairment as a result of one or more events having an impact on the estimated future cash flows of the assets. Losses expected as a result of future events, no matter how likely, are not recognised.

An impairment loss in respect of a financial asset measured at amortised cost is recognised in profit or loss and is measured as the difference between its carrying amount and the present value of estimated future cash flows discounted at the asset's original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account.

Individually significant financial assets are tested for impairment on an individual basis. The remaining financial assets are assessed collectively in groups that share similar credit risk characteristics.

All impairment losses are recognised in profit or loss. An impairment loss is reversed, to the extent that the asset's carrying amount does not exceed what the carrying amount would have been had the impairment not been recognised at the date the impairment is reversed, if the reversal can be objectively related to an event occurring after the impairment loss was recognised. For financial assets measured at amortised cost, the reversal is recognised in profit or loss.

(ii) Other assets

The carrying amounts of other assets, other than investment properties, are reviewed at the end of each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or cash-generating units.

The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or cash-generating unit.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment loss is recognised in profit or loss. Impairment losses recognised in respect of cash-generating units are allocated to reduce the carrying amounts of assets in the cash-generating unit on a pro-rata basis.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(h) Equity instruments

Instruments classified as equity are measured at cost on initial recognition and are not remeasured subsequently. Costs directly attributable to the issue of instruments classified as equity are recognised as a deduction from equity.

(i) Provisions

A provision is recognised if, as a result of a past event, the Group and the Trust have a present legal or constructive obligation that can be estimated reliably, and is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance costs.

(j) Revenue recognition

(i) Rental income

Rental income from leasing out of shopping mall shops and space is recognised in profit or loss on a straight-line basis over the term of the lease and such revenue includes base rent, service charges and advertising and promotion fee. Contingent rents, which include gross turnover rent, are recognised as income in the financial year on an accrual basis. No contingent rents are recognised if there are uncertainties due to the possible return of amounts received.

(ii) Car park income

Car park income is recognised on an accrual basis.

(iii) Other revenue

Other revenue consists of recovery of utilities charges from tenants, kiosk rental, advertising and other miscellaneous income. These are recognised on an accrual basis.

(k) Interest income

Interest income is recognised as it accrues, using the effective interest method in profit or loss.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(l) Expenses

(i) Property operating expenses

Property operating expenses consist of quit rent, assessment, utilities, property management fee, property management reimbursement, advertising and promotion, maintenance and other property outgoings in relation to investment properties where such expenses are the responsibility of CMMT and are recognised on an accrual basis in the year in which they are incurred.

(ii) Manager's management fee

Manager's management fee is recognised on an accrual basis using the applicable formula as set out in Note 13.

(iii) Trustee's fee

Trustee's fee is recognised on an accrual basis using the applicable formula as set out in Note 14.

(iv) Finance costs

Finance costs comprise interest expense on borrowings and amortisation of transaction costs on borrowings which are expensed in profit or loss using the effective interest method over the tenure of borrowings.

(m) Tax expense

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable in respect of previous financial years.

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities in the statements of financial position and their tax bases. Deferred tax is not recognised for the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting period and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Notes to the Financial Statements

2. Significant accounting policies (continued)

(n) Operating segments

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' results are reviewed and used by the Group's Chief Operating Decision Makers for strategic decision making and resources allocation.

(o) Fair value measurements

Fair value of an asset or a liability, except for lease transactions, is determined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market or in the absence of a principal market, in the most advantageous market.

For non-financial asset, the fair value measurement takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair value are categorised into different levels in a fair value hierarchy based on the input used in the valuation technique as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that the Group can access at the measurement date.
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3: unobservable inputs for the asset or liability.

The Group recognises transfers between the levels of the fair value hierarchy as of the date of the event or change in circumstances that caused the transfers.

Notes to the Financial Statements

3. Plant and equipment

	Computer RM'000	Office equipment RM'000	Total RM'000
Group and the Trust			
Cost			
At 1 January 2014	2,336	2,833	5,169
Additions	198	506	704
Write-off	–	(2)	(2)
At 31 December 2014/1 January 2015	2,534	3,337	5,871
Additions	634	1,088	1,722
Write-off	(1)	(13)	(14)
At 31 December 2015	3,167	4,412	7,579
Accumulated depreciation			
At 1 January 2014	1,403	1,443	2,846
Depreciation for the year	477	685	1,162
Write-off	–	(1)	(1)
At 31 December 2014/1 January 2015	1,880	2,127	4,007
Depreciation for the year	616	494	1,110
Write-off	(1)	(11)	(12)
At 31 December 2015	2,495	2,610	5,105
Carrying amounts			
At 1 January 2014	933	1,390	2,323
At 31 December 2014/1 January 2015	654	1,210	1,864
At 31 December 2015	672	1,802	2,474

Notes to the Financial Statements

4. Investment properties

	2015 RM'000	2014 RM'000
Group and the Trust		
At 1 January	3,233,000	3,079,000
Acquisition of investment property	547,311	–
Capital expenditure capitalised	34,800	67,389
Fair value gain	70,889	86,611
At 31 December	3,886,000	3,233,000

During the financial year, CMMT acquired Tropicana City Mall and Tropicana City Office Tower (collectively known as Tropicana City Property) on 10 July 2015, for a total consideration of RM540,000,000.

Investment properties refer to shopping malls and office block which primarily generate rental income from leasing out retail shops and space to third parties via lease or licence agreements. CMMT's lease agreements generally contain an initial non-cancellable period of three years and subsequent renewals are negotiated with the lessee. The rental rates are negotiated based on prevailing market rates and are pre-agreed over the lease tenure. Gross turnover rent of RM9,596,000 (2014 : RM11,062,000), which represents CMMT's contingent rent, was recognised as income in the financial year.

Gurney Plaza, The Mines and Tropicana City Property, collectively valued at RM2,637,000,000 (2014 : RM1,975,000,000), are pledged as securities for borrowings as disclosed in Note 10. East Coast Mall and CMMT's 205 strata titles in Sungei Wang Plaza are unencumbered as at the reporting date.

Details of the investment properties are as follows:

	Date of acquisition	Date of valuation	Location	Tenure	Cost of investment ¹ RM'000	Fair value at 31 December 2015 RM'000	% of fair value to NAV at 31 December 2015 ³ %
Gurney Plaza	14 Jul 2010 & 28 Mar 2011	31 Dec 2015	Penang	Freehold	1,113,439	1,372,000	51.3
Sungei Wang Plaza	14 Jul 2010	31 Dec 2015	Kuala Lumpur	Freehold	754,070	780,000	29.2
The Mines	14 Jul 2010	31 Dec 2015	Selangor	Leasehold ²	576,880	700,000	26.2
Tropicana City Property	10 July 2015	31 Dec 2015	Selangor	Freehold	550,106	565,000	21.1
East Coast Mall	14 Nov 2011	31 Dec 2015	Pahang	Leasehold ²	389,165	469,000	17.5
					3,383,660	3,886,000	

¹ Cost of investment comprised purchase consideration and capital expenditure incurred from inception up to the end of the financial year.

² The lease has an unexpired lease period of more than 50 years.

³ This is calculated in accordance with the REITs Guidelines.

Notes to the Financial Statements

4. Investment properties (continued)

All land/strata titles have been transferred and registered in the name of the Trustee except for Tropicana City Property which is pending the issuance of strata titles.

The following are recognised in profit or loss in respect of investment properties:

	2015 RM'000	2014 RM'000
Group and the Trust		
Gross revenue	344,811	315,395
Less: Property operating expenses	(118,426)	(106,493)
Net property income	226,385	208,902

(a) Fair value information

The fair value of investment properties of the Group and of the Trust are categorised as Level 3. The properties are valued by independent external valuers using the income capitalisation approach, also known as investment approach. This valuation approach takes into account of the gross revenue and outgoings to estimate the net income for the properties. Capitalisation rates are then applied to the net income of the investment properties to determine the market value of the investment properties.

The significant unobservable input is the reversionary capitalisation rate used in the approach adopted above. The estimated fair value would increase (decrease) if the capitalisation rate was lower (higher). Reversionary capitalisation rates for the investment properties range from 6.5% to 7.3%.

(b) Valuation processes applied to the Group and the Trust for Level 3 fair value

The fair value of investment properties is determined by independent external valuers having appropriate recognised professional qualifications and recent experience in the location and category of the investment properties being valued. The external valuers provide the fair value of the Group's and of the Trust's investment property portfolio every six months. The resultant fair value gain or loss arising from the change in valuation is assessed by the Manager after obtaining the valuation reports from the external valuers.

(c) Highest and best use

The Group's and the Trust's investment properties are currently valued at their highest and best use. The investment properties are situated within sizeable catchment populations with strong demand for shopping mall and office space.

Notes to the Financial Statements**5. Investment in subsidiary**

	2015 RM'000	2014 RM'000
Trust		
At cost		
Unquoted shares	*	*

* Denotes RM2.

CMMT holds 100.0% equity interest in CMMT MTN Berhad, a special purpose vehicle incorporated in Malaysia. Its principal activity is to raise financing on behalf of and on-lending to CMMT through the issuance of rated/unrated secured Medium Term Notes (MTN) under the Medium Term Note Programme as set out in Note 10(b).

6. Trade and other receivables

	Group		Trust	
	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Trade				
Trade receivables	9,435	6,426	9,435	6,426
Less: Allowance for impairment losses	(914)	(559)	(914)	(559)
	8,521	5,867	8,521	5,867
Non-trade				
Deposit	803	583	803	583
Interest receivable	486	460	475	453
Prepayments	135	367	88	320
Other receivables	6,422	6,025	6,422	6,025
	7,846	7,435	7,788	7,381
	16,367	13,302	16,309	13,248

Notes to the Financial Statements

6. Trade and other receivables (continued)

The ageing of the trade receivables at the end of the financial year is as follows:

	Gross amount RM'000	Allowance for impairment losses RM'000	Carrying amount RM'000
Group and the Trust			
2015			
Not past due	74	–	74
Past due 1 - 30 days	5,343	(33)	5,310
Past due 31 - 90 days	1,895	(57)	1,838
Past due more than 90 days	2,123	(824)	1,299
	9,435	(914)	8,521
2014			
Not past due	159	-	159
Past due 1 - 30 days	3,277	(16)	3,261
Past due 31 - 90 days	1,470	(24)	1,446
Past due more than 90 days	1,520	(519)	1,001
	6,426	(559)	5,867

The movement in allowance for impairment losses of trade receivables during the financial year is as follows:

	2015 RM'000	2014 RM'000
Group and the Trust		
At 1 January	559	548
Impairment losses recognised	423	215
Write-off against allowance for impairment losses	(68)	(204)
At 31 December	914	559

The Manager of CMMT believes that no additional allowance for impairment losses is necessary in respect of past due receivables as these receivables are mainly arising from tenants that have good payment records and sufficient security deposits are held as collateral.

Notes to the Financial Statements

7. Amount due from/(to) subsidiary

The amount due from subsidiary of RM7,826,000 (2014 : RM7,860,000) is non-trade in nature, unsecured, and is repayable on demand. Included in the amount due from subsidiary is an interest-bearing loan from CMMT of RM6,740,000 (2014 : RM6,740,000) where the average interest rate of 3.5% (2014 : 3.3%) per annum is based on the prevailing deposit rates of a licensed bank.

The amount due to subsidiary of RM300,000,000 (2014 : RM300,000,000) is pursuant to a REIT Trustee Financing Agreement (RTFA) entered into by the Trustee on behalf of CMMT and the subsidiary on 7 December 2012 where the funds raised from the unrated and secured MTN, as detailed in Note 10(b), were advanced to CMMT. The amount due to subsidiary is secured, subject to interest at approximately 4.5% (2014 : 4.5%) per annum which is payable semi-annually and the principal is repayable in 2016.

8. Cash and cash equivalents

	Group		Trust	
	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Deposits placed with licensed banks	153,821	127,820	146,402	120,652
Cash and bank balances	33,155	28,691	33,148	28,685
	186,976	156,511	179,550	149,337

Gurney Plaza maintains separate designated revenue account while The Mines and Tropicana City Property maintain separate designated revenue and operating accounts with a licensed bank as mentioned in Note 10. This forms part of the financing covenants and the usage of funds in these designated revenue and operating accounts are not restricted as long as no event of default has occurred on the borrowings. The balance of the designated revenue and operating accounts at the end of the financial year that is included in the cash and cash equivalents is RM104,158,000 (2014 : RM78,511,000).

Included in the Group's cash and cash equivalents are pledged deposits of RM6,740,000 (2014 : RM6,740,000). This is in relation to a separate debt service reserves account and trustee reimbursement account assigned by the subsidiary to the security trustee pursuant to the unrated and secured MTN, as set out in Note 10(b). The deposits are maintained with a licensed bank and the funds are restricted in use.

Notes to the Financial Statements

9. Unitholders' capital

	Number of units 2015 '000	Number of units 2014 '000
Trust		
Approved fund size:		
At 1 January	2,290,371	2,290,371
New units pursuant to acquisition of Tropicana City Property	239,635	–
At 31 December	2,530,006	2,290,371

	Amount 2015 RM'000	Number of units 2015 '000	Amount 2014 RM'000	Number of units 2014 '000
Trust				
Issued and fully paid:				
At 1 January	1,832,286	1,778,976	1,823,567	1,772,820
Placement of new units	316,319	239,635	–	–
Units issued as part satisfaction of the Manager's management fee	8,573	6,188	8,719	6,156
Placement expenses	(3,649)	–	–	–
At 31 December	2,153,529	2,024,799	1,832,286	1,778,976

Notes to the Financial Statements

9. Unitholders' capital (continued)

Unitholdings of the Manager and parties related to the Manager

As at 31 December 2015, the Manager has no direct unitholdings in CMMT. However, the Directors of the Manager and parties related to the Manager held units in CMMT and the details are as follows:

	Number of units '000	Percentage of unitholdings %	Market value ² RM'000
2015			
<i>Direct unitholdings of parties related to the Manager</i>			
CMMT Investment Limited	710,973	35.11	981,143
Menang Investment Limited	28,401	1.40	39,193
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2015</i>			
Mr Ng Kok Siong ¹	100	0.01	138
Ms Low Peck Chen	12	0.00	17
Ms Tan Siew Bee	100	0.01	138
Mr Peter Tay Buan Huat ¹	100	0.01	138
	739,686	36.54	1,020,767

	Number of units '000	Percentage of unitholdings %	Market value ² RM'000
2014			
<i>Direct unitholdings of parties related to the Manager</i>			
CMMT Investment Limited	623,938	35.07	892,231
Menang Investment Limited	22,213	1.25	31,764
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2014</i>			
Mr Ng Kok Siong ¹	100	0.01	143
Ms Low Peck Chen	12	0.00	17
Ms Tan Siew Bee	100	0.01	143
Mr Peter Tay Buan Huat	100	0.01	143
	646,463	36.35	924,441

¹ Units held through nominees.

² The market value of the units for respective year is computed based on the closing market price of RM1.38 per unit as at 31 December 2015 and RM1.43 per unit as at 31 December 2014.

CMMT Investment Limited and Menang Investment Limited are indirect wholly-owned subsidiaries of CL who in turn is the ultimate holding corporation of the Manager.

Notes to the Financial Statements

10. Borrowings

	Group		Trust	
	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Non-current				
Secured term loans				
- Fixed rate	650,000	363,825	650,000	363,825
- Floating rate	268,430	155,925	268,430	155,925
Secured revolving credit	38,200	–	38,200	–
Unrated and secured MTN	–	300,000	–	–
Less: Unamortised transaction costs	(5,563)	(2,393)	(5,016)	(1,389)
	951,067	817,357	951,614	518,361
Current				
Unrated and secured MTN	300,000	–	–	–
Less: Unamortised transaction costs	(203)	–	–	–
Revolving credit				
- Secured	–	70,000	–	70,000
- Unsecured	7,500	75,400	7,500	75,400
	307,297	145,400	7,500	145,400
	1,258,364	962,757	959,114	663,761

(a) Secured term loans and revolving credit

CMMT had entered into three separate secured facility agreements with two licensed banks on 10 June 2010 (First Facility Agreement), 17 March 2011 (Second Facility Agreement) and 26 June 2015 (Third Facility Agreement) in respect of banking credit facilities of up to RM811.0 million (Secured Facility 1), up to RM89.7 million (Secured Facility 2) and up to RM458.7 million (Secured Facility 3) respectively.

Secured Facility 1 comprises fixed and floating rate term loan facility of RM500.0 million, subsequent to the repayment of RM300.0 million secured term loan in December 2012 and reinstatement of RM50.0 million in March 2015, and revolving credit facility of RM61.0 million. Secured Facility 2 comprises fixed and floating rate term loan facility of RM69.7 million and revolving credit facility of RM20.0 million. Maturity of both Secured Facilities 1 and 2 has been extended in the current financial year and will mature between 2022 and 2028.

Secured Facility 3, comprises fixed and floating rate term loan of RM348.7 million, revolving credit facility of RM100.0 million and bank guarantee facility of RM10.0 million. The term loan under the Secured Facility 3 will mature in 2022.

As at 31 December 2015, the principal amounts utilised under the Secured Facilities 1, 2 and 3 are RM538.2 million (2014 : RM500.1 million), RM69.7 million (2014 : RM89.7 million) and RM348.7 million (2014 : nil) respectively, of which total secured revolving credit utilised under these facilities is RM38.2 million (2014 : RM70.0 million).

The average effective interest rate for the Secured Facilities 1, 2 and 3 are approximately 4.5% (2014 : 4.2%) per annum.

Notes to the Financial Statements

10. Borrowings (continued)

(b) Secured Medium Term Note Programme

The Group has a 20-year secured Medium Term Note Programme of up to RM3.0 billion in nominal value (MTN Programme) under CMMT MTN Berhad (the Issuer), pursuant to which rated/unrated notes in series or tranches may be issued from time to time in Ringgit Malaysia. The net proceeds from the issue of the MTNs (after deducting issue expenses) will be on-lent to CMMT, which in turn will utilise such proceeds to refinance its existing and/or future borrowings and/or to finance investments, capital expenditure, asset enhancement initiatives and/or working capital of CMMT. The Issuer will also be allowed to use the proceeds to refinance maturing MTNs on their respective maturity dates subsequent to the first issuance. The security trustee of the MTN Programme is Malaysian Trustees Berhad.

On 20 December 2012, the Issuer issued a RM300.0 million four-year unrated and secured MTN (the TM Issue) which will be maturing in 2016. The net proceeds were on-lent to CMMT, via a back-to-back RTFA entered into by the REIT Trustee and the Issuer, for the purpose of refinancing part of the Secured Facility 1. The TM Issue bears a coupon rate of approximately 4.5% per annum which is payable semi-annually.

(c) Unsecured revolving credit

The unsecured revolving credit facilities of up to RM100.0 million (2014 : RM150.0 million) is granted by a licensed bank to CMMT and is subject to annual review. As at 31 December 2015, the outstanding unsecured revolving credit is RM7.5 million (2014 : RM75.4 million) at an average effective interest rate of approximately 4.5% (2014 : 4.5%) per annum.

The secured borrowings are secured by legal charges on investment properties as disclosed in Note 4 with an amount of RM2,637,000,000 (2014 : RM1,975,000,000).

Notes to the Financial Statements

11. Trade and other payables

	Group		Trust	
	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Current Trade				
Trade payables	15,217	31,581	15,217	31,581
Amount due to related parties	8,636	7,532	8,636	7,532
	23,853	39,113	23,853	39,113
Non-trade				
Interest payable	4,399	3,921	3,996	3,554
Accrued operating expenses	27,320	22,651	27,300	22,631
Other payables and advances	6,155	4,264	6,155	4,264
	37,874	30,836	37,451	30,449
	61,727	69,949	61,304	69,562

Included in the amount due to related parties are an amount due to the Manager of RM8,602,000 (2014 : RM7,465,000) of which RM4,820,000 (2014 : RM4,303,000) is payable in units of CMMT as payment for the performance component of management fee for the period from 1 July 2015 to 31 December 2015, and Trustee's fee of RM34,000 (2014 : RM67,000). The relationship and transactions of the above are further disclosed in Note 25.

12. Other operating expenses

	2015 RM'000	2014 RM'000
Group and the Trust		
Property management fee and reimbursement	22,891	18,549
Marketing expenses	7,369	5,834
Quit rent and assessment	8,596	8,109
General and administrative expenses	5,086	4,675
	43,942	37,167

The property management fee is payable to the property manager, Knight Frank Malaysia Sdn. Bhd. for all CMMT's properties for the full year under review except for Sungei Wang Plaza. Zaharin Nexcap Property Management Sdn. Bhd. was appointed as the property manager of Sungei Wang Plaza with effect from 1 April 2015. Property management reimbursement includes reimbursable staff costs and other reimbursement for managing the investment properties.

The 2015 property management fee for Gurney Plaza, Sungei Wang Plaza, The Mines and East Coast Mall is based on a monthly fee of RM68,000 (2014 : RM68,000) from 1 January 2015 till 31 March 2015 and RM67,000 (2014 : RM68,000) from 1 April 2015 onwards as stipulated in the property management agreement dated 10 July 2014 and 18 March 2015 respectively. The property management fee for Tropicana City Property is based on a monthly fee of RM19,000 (2014 : nil) in accordance with the property management agreement dated 16 July 2015.

Notes to the Financial Statements

13. Manager's management fee

	2015 RM'000	2014 RM'000
Group and the Trust		
Base management fee*	11,083	10,223
Performance fee	10,906	10,518
	21,989	20,741

* Inclusive of 6.0% service tax for the period 1 January 2015 to 31 March 2015.

Pursuant to the Deed, the Manager is entitled to a base fee of up to 1.0% per annum of the total asset value and a performance fee of up to 5.0% per annum of net property income. For the financial year ended 31 December 2015, the Manager has accounted for a base fee of 0.29% (2014 : 0.29%) per annum of the total asset value, payable quarterly in arrears, and a performance fee of 4.75% (2014 : 4.75%) per annum of net property income, payable semi-annually in units after distribution to unitholders, except for the performance fee related to East Coast Mall which was payable in cash.

In addition to the above, the Manager is also entitled to an acquisition fee of up to 1.0% of the purchase price and a divestment fee of up to 0.5% of the sale price of any authorised investment/divestment.

During the financial year ended 31 December 2015, the Manager was paid a total of RM5,400,000 (exclusive of goods and services tax of 6%) as the acquisition fee for the completion of the acquisition of Tropicana City Property. The acquisition fee was capitalised as part of the acquisition costs of Tropicana City Property.

During the financial year ended 31 December 2015, the Manager was paid 6,188,000 units (2014 : 6,155,700 units) in CMMT or equivalent to RM8,573,000 (2014 : RM8,719,000), as part settlement of its management fee for the period from 1 July 2014 to 30 June 2015. The said units were disposed at cost to a related party, Menang Investment Limited, on 12 November 2015.

There were no other fees or soft commission paid to the Manager during the financial year other than as disclosed above.

14. Trustee's fee

Pursuant to the Deed, the Trustee is entitled to a fee of 0.02% per annum of the total asset value for the first RM2.0 billion and a 0.01% per annum of the total asset value thereafter, payable monthly in arrears.

Trustee's fee was fixed at RM400,000 (2014 : RM400,000) per annum for the financial year ended 31 December 2015.

Notes to the Financial Statements

15. Finance costs

	Group		Trust	
	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Interest expense on secured term loans	32,482	21,880	32,482	21,880
Interest expense on unrated and secured MTN	13,380	13,380	–	–
Interest expense on RTFA with subsidiary	–	–	13,380	13,380
Interest expense on secured and unsecured revolving credits	4,297	5,107	4,297	5,107
Amortisation of transaction costs on borrowings	1,106	786	852	532
Others	282	146	536	400
	51,547	41,299	51,547	41,299

16. Tax expense

Pursuant to the amendment of Section 61A of the Income Tax Act, 1967, effective from the Year of Assessment 2007, the total income of a REIT will be exempted from income tax provided that the REIT distributes 90.0% or more of its total income for that year of assessment. If the REIT is unable to meet the 90.0% distribution criteria, the entire taxable income of the REIT for the year would be subject to income tax.

As CMMT will distribute approximately 100.0% of its distributable income for the financial year ended 31 December 2015 to its unitholders, no provision for tax expense has been made for the current year.

Reconciliation of tax expense is as follows:

	2015 RM'000	2014 RM'000
Group and the Trust		
Profit before taxation	226,023	236,355
Income tax at Malaysian statutory tax rate of 25.0%	56,506	59,089
Effect of fair value gain of investment properties not subject to tax	(17,722)	(21,653)
Effect of income not subject to tax	(39,863)	(38,453)
Expenses not deductible for tax purposes	1,079	1,017
Tax expense for the financial year	–	–

Notes to the Financial Statements

17. Earnings per unit

The calculation of earnings per unit is based on the weighted average number of units during the year and profit for the year.

	2015 RM'000	2014 RM'000
Group and the Trust		
Profit for the financial year	226,023	236,355
Add: Manager's management fee	21,989	20,741
Profit for the financial year before Manager's management fee	248,012	257,096

	2015 '000	2014 '000
Issued units at the beginning of the year	1,778,976	1,772,820
Weighted average number of units issued as part of the acquisition cost of Tropicana City Property	114,894	–
Weighted average number of units issued as part satisfaction of the Manager's management fee	2,068	3,517
Weighted average number of units at the end of the year	1,895,938	1,776,337

18. Distributions to unitholders

	2015 RM'000	2014 RM'000
Group and the Trust		
Distributions to unitholders are from the following sources:		
Gross rental income	272,810	250,566
Interest income	4,731	4,624
Other income	72,001	64,829
Less: Expenses	(186,589)	(161,554)
Less: Rollover adjustment for rounding difference	(153)	(90)
Distributable income	162,800	158,375
Distribution per unit (sen) of which:		
- taxable distribution of income (sen)	8.41	8.65
- tax exempt distribution of income (sen)	0.19	0.26
	8.60	8.91

Notes to the Financial Statements

18. Distributions to unitholders (continued)

Pursuant to the Section 109D(2) of the Income Tax Act, 1967, the applicable final withholding tax on distributions of income which is tax exempt at CMMT level is as follows:

Resident unitholders

- | | |
|--------------------------|--------------------------------------|
| (a) Corporate | Tax flow through, no withholding tax |
| (b) Other than corporate | Withholding tax at 10.0% |

Non-resident unitholders

- | | |
|-----------------------------|--------------------------|
| (c) Corporate | Withholding tax at 25.0% |
| (d) Institutional investors | Withholding tax at 10.0% |
| (e) Individuals | Withholding tax at 10.0% |

19. Portfolio turnover ratio

	2015	2014
Group		
Portfolio turnover ratio (PTR) (times)	0.2	–

The calculation of the PTR is based on the average of total acquisitions and total disposals of investments in CMMT for the year to the average net asset value during the financial year.

Since the basis of calculating the PTR can vary among the REITs, there is no sound basis for providing an accurate comparison of CMMT against other REITs.

20. Management expense ratio

	2015	2014
Group		
Management expense ratio (MER) (%)	1.0	1.0

MER is calculated based on the total fees of CMMT, including Manager's management fee, Trustee's fee and other trust expenses, to the average net asset value during the financial year.

Comparison of the MER of CMMT with other REITs which may use different basis of calculation may not be an accurate comparison.

Notes to the Financial Statements

21. Capital commitments

Capital commitments in relation to capital expenditure of the existing portfolio of CMMT are as follows:

	2015 RM'000	2014 RM'000
Group and the Trust		
Contracted but not provided for	5,626	5,428

22. Operating lease

The Group and the Trust have the following commitments at the end of the financial year:

(a) Operating lease rental payable

Future minimum lease payments of the Group and of the Trust on non-cancellable operating leases are as follows:

	2015 RM'000	2014 RM'000
Group and the Trust		
Less than one year	66	65
Between one and five years	97	46
	163	111

The Group and the Trust lease photocopiers under operating leases. The leases run for a period of between three and five years with an option to renew the leases upon expiry.

(b) Operating lease rental receivable

Future minimum lease rental receivable of the Group and of the Trust on non-cancellable operating leases from investment properties are as follows:

	2015 RM'000	2014 RM'000
Group and the Trust		
Less than one year	245,697	197,340
Between one and five years	188,220	189,304
More than five years	8,129	8,844
	442,046	395,488

Notes to the Financial Statements

23. Financial instruments

23.1 Categories of financial instruments

The financial instruments of the Group and of the Trust are categorised as follows:

	Group Carrying amount		Trust Carrying amount	
	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Financial assets categorised as loans and receivables:				
Trade and other receivables	16,232	12,935	16,221	12,928
Amount due from subsidiary	–	–	7,826	7,860
Cash and cash equivalents	186,976	156,511	179,550	149,337
	203,208	169,446	203,597	170,125
Financial liabilities measured at amortised cost:				
Borrowings	1,258,364	962,757	959,114	663,761
Tenants' deposits	96,932	84,513	96,932	84,513
Amount due to subsidiary	–	–	300,000	300,000
Trade and other payables	61,727	69,949	61,304	69,562
	1,417,023	1,117,219	1,417,350	1,117,836

23.2 Net gains and losses arising from financial instruments

	2015 RM'000	2014 RM'000
Group and the Trust		
Net gains/(losses) on:		
Loans and receivables		
- Allowance for impairment losses on trade receivables	(423)	(215)
- Interest income	4,731	4,624
	4,308	4,409
Financial liabilities		
- Finance costs	(51,547)	(41,299)
- Realised foreign exchange loss	(9)	(10)
- Unrealised foreign exchange loss	*	*
	(51,556)	(41,309)

* less than RM1,000

Notes to the Financial Statements

23. Financial instruments (continued)

23.3 Financial risk management

Financial risk management is integral to the whole business of the Group and Trust. The Group and Trust adopt an integrated approach to manage the financial risks arising in the normal course of business.

The Group and the Trust have identified the following financial risk exposure from its use of financial instruments:

- Liquidity risk
- Credit risk
- Market risk

The Group and the Trust have implemented risk management policies and guidelines which sets its tolerance of risk and its general risk management philosophy.

23.4 Liquidity risk

Liquidity risk is defined as the risk that the Group and the Trust will not be able to meet its financial obligations as they fall due.

The Group's and the Trust's exposures to liquidity risk arises primarily from various payables and borrowings. The Group and the Trust maintain sufficient liquid reserves in terms of cash and credit facilities to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due. In addition, the Manager diligently monitors and observes financing covenants to ensure compliance.

The health and sentiments of the debt markets in Malaysia directly affects the liquidity position of the Group and Trust as external sources of funding are needed to fund new acquisitions or asset enhancement initiatives besides the need to refinance the existing borrowings when they mature.

The next refinancing need will arise in December 2016 with the maturity of RM300.0 million medium term notes. Other than that, there is no immediate refinancing need as the tranches of the Group's and Trust's term loans have remaining tenures ranging from 7 to about 13 years. The Group and Trust will continue to manage their capital structure proactively by spreading out its debt maturity to a manageable size and maintaining an optimal gearing level.

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

Notes to the Financial Statements

23. Financial instruments (continued)

23.4 Liquidity risk (continued)

Maturity analysis

The table below summarises the maturity profile of the Group's and of the Trust's financial liabilities as at the end of the financial year based on undiscounted contractual payments:

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 - 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
2015							
Group							
<i>Non-derivative financial liabilities</i>							
Bank borrowings (excluding unamortised transaction costs)	964,130	4.4 – 4.6	1,366,424	50,895	43,247	129,226	1,143,056
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.5	313,380	313,380	–	–	–
Tenants' deposits	96,932	–	96,932	38,901	38,058	19,851	122
Trade and other payables	61,727	–	52,508	52,147	17	50	294
	1,422,789		1,829,244	455,323	81,322	149,127	1,143,472
Trust							
<i>Non-derivative financial liabilities</i>							
Bank borrowings (excluding unamortised transaction costs)	964,130	4.4 – 4.6	1,366,424	50,895	43,247	129,226	1,143,056
Tenants' deposits	96,932	–	96,932	38,901	38,058	19,851	122
Amount due to subsidiary	300,000	4.5	313,380	313,380	–	–	–
Trade and other payables	61,304	–	52,488	52,127	17	50	294
	1,422,366		1,829,224	455,303	81,322	149,127	1,143,472

Notes to the Financial Statements**23. Financial instruments** (continued)**23.4 Liquidity risk** (continued)**Maturity analysis** (continued)

	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	0 - 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
2014							
Group							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	665,150	4.1 – 4.8	729,941	167,170	24,284	538,487	–
Unrated and secured MTN (excluding unamortised transaction costs)	300,000	4.5	326,723	13,343	313,380	–	–
Tenants' deposits	84,513	–	84,513	33,242	27,586	23,563	122
Trade and other payables	69,949	–	61,725	61,348	17	50	310
	1,119,612		1,202,902	275,103	365,267	562,100	432
Trust							
Non-derivative financial liabilities							
Bank borrowings (excluding unamortised transaction costs)	665,150	4.1 – 4.8	729,941	167,170	24,284	538,487	–
Tenants' deposits	84,513	–	84,513	33,242	27,586	23,563	122
Amount due to subsidiary	300,000	4.5	326,723	13,343	313,380	–	–
Trade and other payables	69,562	–	61,705	61,328	17	50	310
	1,119,225		1,202,882	275,083	365,267	562,100	432

Notes to the Financial Statements

23. Financial instruments (continued)

23.4 Liquidity risk (continued)

Maturity analysis (continued)

Included in the carrying amount of trade and other payables are as follows:

For the Group:

- (a) an amount of RM4,399,000 (2014 : RM3,921,000), for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings and unrated and secured MTN; and
- (b) an amount of RM4,820,000 (2014 : RM4,303,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

For the Trust:

- (a) an amount of RM3,996,000 (2014 : RM3,554,000), for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings and amount due to subsidiary; and
- (b) an amount of RM4,820,000 (2014 : RM4,303,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

23.5 Credit risk

Credit risk is defined as the risk of a financial loss to the Group and to the Trust if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group's and the Trust's exposures to credit risk arises primarily from its trade and other receivables.

Credit risk is controlled by credit verification procedures before lease agreements are entered into with tenants and ongoing balance monitoring to ensure minimum credit risk exposure. In addition, there is a stringent collection policy in place to ensure that credit risk is minimised. Other than the collection of security deposits, which typically amounts to an average of three months' rent in the form of cash or bankers' guarantee, the Group and Trust also have vigilant monitoring and debt collection procedures. Debt turnover of CMMT Group as at 31 December 2015 was approximately 11 days (2014 : 11 days).

For other financial assets, the Group and the Trust minimise credit risk by dealing with restricted counterparties that meet the appropriate credit criteria and of high credit standing.

The Manager establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main component of this allowance is a specific loss component that relates to the individually significant exposure. The allowance account in respect of trade and other receivables is used to record impairment losses unless the Manager is satisfied that no recovery of the amount owing is possible. At that point, the financial asset is considered irrecoverable and the amount charged to the allowance account is written off against the carrying amount of the impaired financial asset.

At the end of financial year, there was no significant concentration of credit risk.

Cash and bank balances are placed with financial institutions which are regulated.

Notes to the Financial Statements

23. Financial instruments (continued)

23.6 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and other prices that will affect the Group's and the Trust's financial positions or cash flows.

23.6 (1) Interest rate risk

The Group's and the Trust's investments in financial products and its fixed rate borrowings are exposed to a risk of change in the fair values of the instruments due to changes in interest rates. The Group's and the Trust's floating rate borrowings are exposed to a risk of change in cash flows due to changes in interest rate. Short term receivables and payables are not significantly exposed to interest rate risk. Of these instruments, the primary interest rate risk exposure of the Group and the Trust relates to interest-bearing borrowings.

In line with the Group's overall enterprise risk management framework, the Manager adopts a proactive interest rate management policy to manage the risk associated with changes in interest rates on the Group's and the Trust's loan facilities and also seeking to ensure a competitive level of ongoing cost of debt. Interest rate risk is managed on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rates.

To reduce the Group's exposure to increases in interest rates, the Manager has locked in a proportion of the Group's and the Trust's borrowings at fixed interest rates. As at 31 December 2015, 75.2% of the Group's and the Trust's borrowings are based on fixed rates while the balance 24.8% are on floating rate basis.

The investments in financial products are mainly short term in nature and not held for trading or speculative purposes but are mainly placed in fixed or short term deposits with licensed banks which yield better returns than cash at bank.

Notes to the Financial Statements

23. Financial instruments (continued)

23.6 Market risk (continued)

23.6 (1) Interest rate risk (continued)

Exposure to interest rate risk

The interest rate profile of the Group's and of the Trust's significant interest-bearing financial instruments, based on carrying amounts as at end of the financial year, is as follows:

	Group		Trust	
	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Financial assets				
<i>Fixed rate instruments</i>				
Deposits placed with licensed banks	153,821	127,820	146,402	120,652
Amount due from subsidiary	–	–	6,740	6,740
	153,821	127,820	153,142	127,392
Financial liabilities				
<i>Fixed rate instruments</i>				
Secured term loans	650,000	363,825	650,000	363,825
Unrated and secured MTN	300,000	300,000	–	–
Amount due to subsidiary	–	–	300,000	300,000
	950,000	663,825	950,000	663,825
<i>Floating rate instruments</i>				
Secured term loans	268,430	155,925	268,430	155,925
Secured and unsecured revolving credit	45,700	145,400	45,700	145,400
	1,264,130	965,150	1,264,130	965,150

Interest rate risk sensitivity analysis

Fair value sensitivity analysis for fixed rate instruments

The Group and the Trust do not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the financial year would not affect profit or loss.

Cash flow sensitivity analysis for variable rate instruments

An increase of 100 basis points (bp) in interest rate at the reporting date would have increased the finance costs by RM3,141,000 (2014 : RM3,013,000) per annum. A decrease in 100 bp in interest rate would have an equal but opposite effect. This analysis assumes that all other variables remain constant.

23.6 (2) Currency risk

As the assets of the Group are currently based in Malaysia, there is little or no foreign exchange exposure from operations. The Group borrows in Malaysian Ringgit from domestic banks and debt capital market hence creating a perfect currency match for the Group's and the Trust's assets and liabilities. At the end of the financial year, the Group and the Trust are not exposed to any significant foreign currency risk.

Notes to the Financial Statements

23. Financial instruments (continued)

23.7 Fair value information

The carrying amounts of cash and cash equivalents, trade and other receivables and trade and other payables approximate their fair values due to the relatively short term nature of these financial instruments.

The fair value of the floating rate borrowings approximates its carrying amount as it reprices to market interest rates for liabilities with similar risk profiles.

The fair value of the fixed rate borrowings at initial recognition approximates its carrying amount as its effective interest rate is considered to be the market rate.

The fair values of the non-derivative financial liabilities, together with the carrying amounts shown in the statements of financial position, are as follows:

	Carrying amount 2015 RM'000	Fair value 2015 RM'000	Carrying amount 2014 RM'000	Fair value 2014 RM'000
Group				
Tenants' deposits	96,932	93,505	84,513	81,099
Fixed rate secured term loans	650,000	642,251	363,825	363,299
Unrated and secured MTN	300,000	298,582	300,000	297,985
Trust				
Tenants' deposits	96,932	93,505	84,513	81,099
Fixed rate secured term loans	650,000	642,251	363,825	363,299
Amount due to subsidiary	300,000	298,582	300,000	297,985

The fair values of the non-derivative financial liabilities are categorised as Level 2.

The above fair values, which are determined for disclosure purposes, are calculated based on the present value of future cash flows discounted at the market rate of interest at the end of the financial year. Interest rates used to determine fair values are as follows:

	2015	2014
Tenants' deposits	3.3%	3.3%
Fixed rate secured term loans	5.0%	4.8%
Unrated and secured MTN	5.0%	4.8%
Amount due to subsidiary	5.0%	4.8%

Notes to the Financial Statements

24. Capital management

The Group's objectives when managing capital are to maintain a strong capital base so as to maintain investor, creditor and market confidence and to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure and acquisitions. The Manager continues to rigorously monitor the cash position and borrowings of the Group with the view of strengthening their capital structure and competitive position.

The Manager is determined to maintain an optimal gearing ratio, which is defined as total borrowings divided by total asset value, that complies with regulatory requirements and financing covenants. Under the SC's REITs Guidelines, gearing ratio of the Group should not exceed 50.0% at the time the borrowings are incurred. However, the Group's gearing ratio may exceed this limit with the sanction of its unitholders by way of an ordinary resolution. The Group has complied with the SC's requirement during the financial year. The gearing level of the Group stood at 31.5% (2014 : 29.0%).

	Note	2015 RM'000	2014 RM'000
Group			
Total asset value (after income distribution)		4,011,028	3,326,758
Total borrowings (excluding unamortised transaction costs)	10	1,264,130	965,150
Gearing ratio (%)		31.5	29.0

There was no change in the Group's approach to capital management during the year.

25. Related parties

Identity of and transactions with related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

During the financial year, other than those disclosed elsewhere in the financial statements, the following related party transactions were carried out in the normal course of business under normal commercial terms:

Notes to the Financial Statements

25. Related parties (continued)

Identity of and transactions with related parties (continued)

	Group		Trust	
	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
The Manager				
CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.)				
- Management fee (Note 13)	21,989	20,741	21,989	20,741
- Acquisition fee (Note 13)	5,400	–	5,400	–
The Trustee				
AmTrustee Berhad				
- Trustee's fee (Note 14)	400	400	400	400
Related company of a substantial unitholder and of the Manager				
Malayan Banking Berhad				
- Interest income earned from bank accounts	1,040	858	1,040	858
- Rental income from leasing of retail space	64	58	64	58
- Bank charges	2	2	2	2
Maybank Investment Bank Berhad				
- Annual facility agent fee for the MTN Programme	50	50	–	–
- Placement fee for acquisition of Tropicana City Property	755	–	755	–
Singapore Telecommunication Limited				
- Leased line expenses for Local Area Network Connectivity	187	355	187	355
CapitaLand Retail Malaysia Sdn. Bhd.				
- Project management fee for asset enhancement works at CMMT's malls	552	814	552	814

Notes to the Financial Statements

25. Related parties (continued)

Identity of and transactions with related parties (continued)

	Group		Trust	
	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Related company of a substantial unitholder and of the Manager (continued)				
Alliance Bank Malaysia Berhad				
- Drawdown of revolving credit	65,200	3,800	65,200	3,800
- Repayment of revolving credit	83,200	34,100	83,200	34,100
- Interest paid/payable on revolving credit	1,812	1,584	1,812	1,584
- Commitment fees	24	6	24	6
- Rental income from leasing of retail space	22	8	22	8
Storhub Self Storage (SWP) Sdn. Bhd.				
- Rental income from leasing of retail space	169	–	169	–
Related company of a substantial unitholder				
RHB Bank Berhad				
- Interest income earned from bank accounts	776	454	526	454
- Rental income from leasing of retail space	259	27	259	27
- Bank charges	2	*	1	*

Notes to the Financial Statements

25. Related parties (continued)

Identity of and transactions with related parties (continued)

	Group		Trust	
	2015 RM'000	2014 RM'000	2015 RM'000	2014 RM'000
Related company of a substantial unitholder (continued)				
CIMB Bank Berhad				
- Drawdown of term loan and revolving credit	366,380	—	366,380	—
- Repayment of revolving credit	67,600	—	67,600	—
- Facility and arrangement fee of term loan and revolving credit	1,999	—	1,999	—
- Interest paid/payable on term loan and revolving credit	8,184	—	8,184	—
- Commitment fees	115	—	115	—
- Interest income earned from bank accounts	163	—	163	—
- Bank charges	1	—	1	—
- Rental income from leasing of retail space	284	—	284	—
CIMB Investment Bank Berhad				
- Rental income from leasing of office space and parking lots	549	—	549	—
- Corporate advisory and placement fee for acquisition of Tropicana City Property	1,257	—	1,257	—
Tenaga Nasional Berhad				
- Electricity charges	43,905	—	43,905	—
Related company of a substantial shareholder of the Trustee				
AmBank (M) Berhad				
- Rental income from leasing of retail space	36	34	36	34

* less than RM1,000

Notes to the Financial Statements

26. Operating segments

The Group has two reportable segments, Retail and Office. For each of the segment, the Group's Chief Operating Decision Makers (CODM) review internal/management reports for the assessment of segment performance.

Segment revenue comprises mainly income generated from its tenants. Segment net property income represents the income earned by each segment after allocating property operating expenses. Segment performance is measured based on the segment net property income.

Segment results, include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated expenses comprise mainly non-operating and trust expenses.

	Retail RM'000	Office RM'000	Total RM'000
Group			
Segment profit for the year ended 31 December 2015			
Gross revenue	341,417	3,394	344,811
Net property income	224,026	2,359	226,385
Interest income			4,731
Fair value gain of investment properties			70,889
Unallocated expenses			(24,435)
Finance costs			(51,547)
Profit before taxation			226,023
Taxation			–
Profit for the year			226,023

No segment assets and liabilities information is prepared as the Group's CODM assess the segment performance based on the segment's net property income.

Geographical information

No geographical segment information is prepared as the Group's properties are all located in Malaysia.

27. Subsequent events

The Manager declared a final income distribution of approximately RM80,789,000 or 3.99 sen per unit on 20 January 2016, for the period from 9 July 2015 to 31 December 2015. This final income distribution will be paid on 29 February 2016. In total, CMMT will be paying approximately RM162,800,000, which is approximately 100.0% of its distributable income, to its unitholders for the financial year ended 31 December 2015. The book closure date for the final income distribution will be on 5 February 2016.

The declared final income distribution will be recognised in the immediate subsequent financial year.

Statement by the Manager

The Manager acknowledges its responsibility for the preparation of the annual financial statements of CMMT and its subsidiary (the Group). In the opinion of the Directors of the Manager, CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.), the financial statements set out on pages 86 to 133 are drawn up in accordance with the provisions of the Deed dated 7 June 2010 (which was amended and restated on 15 September 2015) (the Deed), Securities Commission Act, 1993 and the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2015 and of their financial performance and cash flows for the financial year then ended.

The information on the breakdown of realised and unrealised income included in the financial statements has been compiled in accordance with the Guidance of Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosure Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, issued by the Malaysian Institute of Accountants and the directive of Bursa Malaysia Securities Berhad.

In addition, the Directors confirm the following:

Sanctions and/or penalties

During the financial year there were no sanctions and/or penalties imposed on the Group, its Manager and/or the Directors by any of the relevant regulatory bodies.

Material contracts involving the Group and substantial unitholders

There are no material contracts involving the Group and substantial unitholders other than as disclosed in Note 25 to the financial statements.

Other significant events

There are no other significant events during the financial year and up to the date of this report.

Significant changes in the state of affairs

There have been no significant changes in the state of affairs of the Trust during the financial year and up to the date of this report other than those disclosed in the financial statements.

Circumstances which materially affect the interests of unitholders

There are no circumstances which materially affect the interests of unitholders.

Changes in material litigation

The Manager is not aware of any pending litigation which is material since 31 December 2015 up to the date of this report.

Manager's remuneration and soft commission

The Manager's remuneration is accrued and paid in accordance with the Deed. No fee or commission has been earned by the Manager in managing CMMT other than that disclosed in Note 13 to the financial statements.

During the financial year, the Manager did not receive any soft commission (i.e. goods and services) from its broker, by virtue of any transaction conducted by CMMT.

Statement by the Manager

Information on Directors

There are no family relationships among the Directors and/or major unitholders. None of the Directors has any conflict of interest with CMMT save for the Directors' interest in CMMT as disclosed in Note 9 to the financial statements. None of the Directors has been convicted of any offences, other than traffic offences, in the past ten years.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 5 February 2016.

David Wong Chin Huat
Chairman

Low Peck Chen
Chief Executive Officer

Date: 5 February 2016

Statutory Declaration

I, Yue Pei San, the officer of CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.), primarily responsible for the financial management of CapitaLand Malaysia Mall Trust, do solemnly and sincerely declare that the financial statements set out on pages 86 to 133, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the abovenamed at Kuala Lumpur on 5 February 2016.

Yue Pei San

Before me:

Commissioner of Oaths

Trustee's Report

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

We have acted as Trustee of CapitaLand Malaysia Mall Trust (CMMT) for the financial year ended 31 December 2015. In our opinion and to the best of our knowledge, CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.), the Manager of CMMT, has managed CMMT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 7 June 2010 (which was amended and restated on 15 September 2015) (the Deed), the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have also ensured the following:

- (a) the valuation/pricing is carried out in accordance with the Deed and other regulatory requirements; and
- (b) the creation of units is carried out in accordance with the Deed and other regulatory requirements.

We confirm that the income distributions declared and paid during the financial year ended 31 December 2015 are in line with and are reflective of the objectives of CMMT.

For and on behalf of the Trustee,
AmTrustee Berhad

Tan Kok Cheeng

Chief Executive Officer

Date: 5 February 2016

Independent Auditors' Report

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

Report on the Financial Statements

We have audited the financial statements of CapitaLand Malaysia Mall Trust (CMMT), which comprise the statements of financial position as at 31 December 2015 of the Group and of CMMT, and the statements of profit or loss and other comprehensive income, changes in net asset value and cash flows of the Group and of CMMT for the year then ended, and a summary of significant accounting policies and other explanatory information, as set out on pages 86 to 133.

Directors of the Manager's responsibility for the Financial Statements

The Directors of the Manager of CMMT are responsible for the preparation of financial statements so as to give a fair view in accordance with the Deed dated 7 June 2010 (which was amended and restated on 15 September 2015), Securities Commission Act, 1993, the Capital Markets and Services Act, 2007, Securities Commission Malaysia's Guidelines on Real Estate Investment Trusts, Malaysian Financial Reporting Standards and International Financial Reporting Standards. The Directors of the Manager of CMMT are also responsible for such internal control as the Directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with approved standards on auditing in Malaysia. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the Manager's preparation of financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Manager's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the Directors of the Manager, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the Group and of CMMT as of 31 December 2015 and of their financial performance and cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards and International Financial Reporting Standards.

Independent Auditors' Report

To the Unitholders of CapitaLand Malaysia Mall Trust
(Established in Malaysia)

Other Reporting Responsibilities

Our audit was made for the purpose of forming an opinion on the financial statements taken as a whole. The information on the breakdown of realised and unrealised profits or losses included in the statements of profit or loss and other comprehensive income of the financial statements have been compiled by the Directors of the Manager as required by the Bursa Malaysia Securities Berhad Listing Requirements and is not required by the Malaysian Financial Reporting Standards or International Financial Reporting Standards. We have extended our audit procedures to report on the process of compilation of such information. In our opinion, the information has been properly compiled, in all material respects, in accordance with the Guidance on Special Matter No.1, Determination of Realised and Unrealised Profits or Losses in the Context of Disclosures Pursuant to Bursa Malaysia Securities Berhad Listing Requirements, issued by the Malaysian Institute of Accountants and presented based on the format prescribed by Bursa Malaysia Securities Berhad.

This report is made solely to the unitholders of CMMT and for no other purpose. We do not assume responsibility to any other person for the content of this report.

KPMG

Firm Number: AF 0758
Chartered Accountants

Lam Shuh Siang

Approval Number: 3045/02/17(J)
Chartered Accountant

Petaling Jaya,

Date: 5 February 2016

Statistics of Unitholders

as at 31 December 2015

Issued and Fully Paid Units	2,024,799,200 units (voting rights: 1 vote per unit)
Approved Fund Size	2,530,006,240 units
Public Spread	As at 31 December 2015, the public shareholding spread of CMMT was 63.47 ¹

ANALYSIS BY SIZE OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Units
Less than 100	58	1.01%	665	0.00%
100 - 1,000	908	15.76%	695,117	0.03%
1,001 - 10,000	3,179	55.18%	16,506,190	0.82%
10,001 - 100,000	1,273	22.10%	41,932,050	2.07%
100,001 - less than 5% of approved fund size	340	5.90%	848,569,478	41.91%
5% and above the approved fund size	3	0.05%	1,117,095,700	55.17%
Total	5,761	100%	2,024,799,200	100%

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS

No	Name of Unitholder	Holdings	%
1	CMMT Investment Limited	710,973,600	35.11
2	Amanahraya Trustees Berhad Amanah Saham Bumiputera	206,105,300	10.18
3	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board	200,016,800	9.88
4	Cartaban Nominees (Tempatan) Sdn Bhd Exempt AN for Eastspring Investments Berhad	65,381,400	3.23
5	Cartaban Nominees (Asing) Sdn Bhd GIC Private Limited for Government of Singapore (C)	52,204,500	2.58
6	CIMB Group Nominees (Tempatan) Sdn Bhd Yayasan Hasanah (AUR-VCAM)	51,247,500	2.53
7	Amanahraya Trustees Berhad Amanah Saham Wawasan 2020	43,423,000	2.14
8	AmanahRaya Trustees Berhad Amanah Saham Malaysia	40,786,300	2.01
9	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (Par 1)	38,308,800	1.89
10	AmanahRaya Trustees Berhad AS 1Malaysia	30,447,400	1.50
11	Citigroup Nominees (Tempatan) Sdn Bhd Exempt AN for AIA Bhd	30,101,600	1.49
12	Menang Investment Limited	28,400,600	1.40

¹ The figures were derived at after excluding unitholdings held by CMMT Investment Limited, Menang Investment Limited and Directors of the Manager, pursuant to the definition of "public" under the Main Market Listing Requirements of Bursa Malaysia Securities Berhad.

Statistics of Unitholders

as at 31 December 2015

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS (continued)

No	Name of Unitholder	Holdings	%
13	CitiGroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board (Affin-HWG)	26,567,200	1.31
14	Kumpulan Wang Pesaraan (Diperbadankan)	25,714,200	1.27
15	CitiGroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (VCAM Equity FD)	19,897,400	0.98
16	Maybank Nominees (Tempatan) Sdn Bhd Maybank Trustees Berhad for Public Regular Savings Fund (N14011940100)	17,548,800	0.87
17	Cartaban Nominees (Asing) Sdn Bhd GIC Private Limited for Monetary Authority of Singapore (H)	16,810,900	0.83
18	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (Par 3)	16,418,000	0.81
19	Permodalan Nasional Berhad	14,628,000	0.72
20	AmanahRaya Trustees Berhad Public SmallCap Fund	14,350,000	0.71
21	AmanahRaya Trustees Berhad Amanah Saham Bumiputera 2	12,250,600	0.61
22	HSBC Nominees (Asing) Sdn Bhd Exempt AN for JPMorgan Chase Bank, National Association (U.S.A.)	10,821,825	0.54
23	Citigroup Nominees (Asing) Sdn Bhd CBNY for DFA International Real Estate Securities Portfolio of DFA Investment Dimensions Group Inc	10,232,400	0.51
24	Tokio Marine Life Insurance Malaysia Bhd As Beneficial Owner (PF)	9,500,000	0.47
25	Citigroup Nominees (Tempatan) Sdn Bhd Employees Provident Fund Board (Aberdeen)	8,328,600	0.41
26	Citigroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (Aberdeen)	7,557,100	0.37
27	Cartaban Nominees (Asing) Sdn Bhd Exempt AN for State Street Bank & Trust Company (West CLT OD67)	7,081,300	0.35
28	HSBC Nominees (Tempatan) Sdn Bhd HSBC (M) Trustee Bhd for Pertubuhan Keselamatan Sosial (AFF HWG6939-403)	7,027,000	0.35
29	Citigroup Nominees (Tempatan) Sdn Bhd Kumpulan Wang Persaraan (Diperbadankan) (Kenanga)	6,845,900	0.34
30	Malaysia Nominees (Tempatan) Sendirian Berhad Great Eastern Life Assurance (Malaysia) Berhad (LSF)	6,500,700	0.32
Total		1,735,476,725	85.71

Statistics of Unitholders

as at 31 December 2015

LIST OF DIRECTORS' INTEREST

Name	Designation	Nationality	No. of Units held through own name	No. of Units held through Nominees	Total Unitholdings
David Wong Chin Huat	Chairman/Non-Executive Independent Director	Singaporean	–	–	–
Tuan Haji Rosli bin Abdullah	Non-Executive Independent Director	Malaysian	–	–	–
Foo Wei Hoong	Non-Executive Non-Independent Director	Malaysian	–	–	–
Jason Leow Juan Thong	Non-Executive Non-Independent Director	Singaporean	–	–	–
Ng Chih Kaye	Non-Executive Independent Director	Malaysian	–	–	–
Ng Kok Siong	Non-Executive Non-Independent Director	Singaporean	–	100,000	100,000
Tan Siew Bee	Non-Executive Independent Director	Malaysian	100,000	–	100,000
Peter Tay Buan Huat	Non-Executive Independent Director	Singaporean	–	100,000	100,000
Low Peck Chen	Executive Non-Independent Director	Malaysian	12,000	–	12,000
Total			112,000	200,000	312,000

SUBSTANTIAL UNITHOLDERS

No.	Name	No. of Units held through own name	No. of Units held through Nominees	Total Unitholdings	%
1	CMMT Investment Limited	710,973,600	–	710,973,600	35.11
2	Employees Provident Fund Board Employees Provident Fund Board (Affin-HWG) Employees Provident FD BD (Aberdeen) <i>Registered with:</i> <i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>	–	200,016,800 26,567,200 8,328,600	234,912,600	11.60
3	Amanah Saham Bumiputera <i>Registered with:</i> <i>AmanahRaya Trustees Berhad</i>	–	206,105,300	206,105,300	10.18
	Total	710,973,600	441,017,900	1,151,991,500	56.89

Notice of Annual General Meeting

CAPITALAND MALAYSIA MALL TRUST

(Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.) (819351-H) and AmTrustee Berhad (163032-V))

NOTICE IS HEREBY GIVEN that the Annual General Meeting (**AGM**) of the holders of units (**Units**) (**Unitholders**) of CapitaLand Malaysia Mall Trust (**CMMT**) will be held on Thursday, 31 March 2016 at 10.00 a.m. at Impiana Banquet Hall, Level 2, Impiana KLCC Hotel, 13 Jalan Pinang, 50450 Kuala Lumpur, Malaysia to transact the following businesses:

ORDINARY BUSINESS

1. To receive the report of AmTrustee Berhad, as trustee of CMMT (the **Trustee**), the statement by CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.), as manager of CMMT (the **Manager**), and the Audited Financial Statements of CMMT for the financial year ended 31 December 2015 and the Auditors' Report attached thereon.

SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following resolution:

2. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO CLAUSE 14.03 OF SECURITIES COMMISSION MALAYSIA'S GUIDELINES ON REAL ESTATE INVESTMENT TRUSTS (REITS GUIDELINES) (PROPOSED AUTHORITY)**

**Ordinary
Resolution 1**

"THAT pursuant to the REITs Guidelines, Main Market Listing Requirements of Bursa Malaysia Securities Berhad (**Bursa Securities**) and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Manager, to allot and issue new units in CMMT (**New Units**) from time to time to such persons and for such purposes as the Manager may in its absolute discretion deem fit and in the best interest of CMMT, provided that the number of New Units to be allotted and issued pursuant to this resolution must not exceed 404,959,840 Units, representing 20% of the existing fund size of CMMT;

AND THAT the Proposed Authority shall be effective and continue to be in force from the date of receipt of all relevant authorities' approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- (a) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
- (b) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (c) the Proposed Authority is revoked or varied by the Unitholders in a Unitholders' meeting,

whichever occurs first (**Validity Period**);

Notice of Annual General Meeting

AND THAT the New Units to be issued pursuant to the Proposed Authority shall, upon allotment and issuance, rank *pari passu* in all respects with the existing Units except that the New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment and issuance of such New Units;

AND THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CMMT, to give effect to the aforesaid Proposed Authority with full powers to assent to any condition, variation, modification and/or amendment in any manner as the Manager and the Trustee may deem fit and in the best interest of CMMT and/or as may be imposed by the relevant authorities, and to deal with all matters relating thereto;

AND FURTHER THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CMMT, to take all such steps and do all acts, deeds and things in any manner (including execute such documents as may be required) as they may deem necessary or expedient to implement, finalise, complete and give full effect to the Proposed Authority.”

(Please see Explanatory Note 1)

BY ORDER OF THE BOARD

CAPITALAND MALAYSIA MALL REIT MANAGEMENT SDN. BHD.

(FORMERLY KNOWN AS CAPITAMALLS MALAYSIA REIT MANAGEMENT SDN. BHD.)

(Company No. 819351-H)

as manager of CapitaLand Malaysia Mall Trust

Khoo Ming Siang (MAICSA No. 7034037)

Lim Lee Kuan (MAICSA No. 7017753)

Company Secretaries

Kuala Lumpur

25 February 2016

Enclosures :

- 1. Explanatory Notes**
- 2. Proxy Form**

cc : AmTrustee Berhad
Securities Commission Malaysia

Notice of Annual General Meeting

Notes:

1. Only Unitholders whose names appear in the Record of Depositors on 24 March 2016 are entitled to attend, speak and vote at the AGM.
2. A Unitholder may attend the AGM in person or appoint up to two proxies to attend the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two proxies (whether a Unitholder or not).
3. On a show of hands, every Unitholder who is present in person or by proxy/proxies has one vote.
4. On a poll, every Unitholder who is present in person or by proxy/proxies has one vote for every Unit held by him.
5. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two proxies for each securities account that holds more than 10,000 Units standing to the credit for the said securities account.
6. Where the Unitholder or the authorised nominee appoints more than one proxy, the appointment will be invalid unless the instrument appointing the proxies specifies the proportions of holdings to be represented by each proxy.
7. Any appointment of a proxy shall be in writing in the **Proxy Form** attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.
8. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited with the Manager at CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.), Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang, 50450 Kuala Lumpur, Malaysia, not less than 48 hours before the time appointed for holding the meeting or any adjournment thereof, by hand or post; in default of this provision, the Proxy Form shall not be treated as valid.

Personal Data Privacy:

By submitting an instrument appointing a proxy(ies) and/or representative(s) to attend, speak and vote at the AGM and/or any adjournment thereof, a Unitholder (i) consents to the collection, use and disclosure of the Unitholder's personal data by the Manager and the Trustee (or their agents) for the purpose of processing and administering the proxies and representatives appointed for the AGM (including any adjournment thereof) and the preparation and compilation of the attendance lists, minutes and other documents relating to the AGM (including any adjournment thereof), and in order for the Manager and the Trustee (or their agents) to comply with any applicable laws, listing rules, regulations and/or guidelines (collectively, the **Purposes**), (ii) warrants that where the Unitholder discloses the personal data of the Unitholder's proxy(ies) and/or representative(s) to the Manager and the Trustee (or their agents), the Unitholder has obtained the prior consent of such proxy(ies) and/or representative(s) for the collection, use and disclosure by the Manager and the Trustee (or their agents) of the personal data of such proxy(ies) and/or representative(s) for the Purposes, and (iii) agrees that the Unitholder will indemnify the Manager and the Trustee in respect of any penalties, liabilities, claims, demands, losses and damages as a result of the Unitholder's breach of warranty.

Notice of Annual General Meeting

Explanatory Notes:

1. Ordinary Resolution 1 – Proposed Authority

At the conclusion of the forthcoming AGM to be held on 31 March 2016, the authority for the Manager to allot and issue up to 20% of CMMT's then existing fund size approved by Unitholders at CMMT's third AGM on 2 April 2015 will lapse (**Existing Authority**). CMMT has not issued any new Units pursuant to Clause 14.03 of the REIT Guidelines under the Existing Authority.

Ordinary Resolution 1 is a new authority for the Manager to allot and issue up to 404,959,840 Units, representing 20% of the current existing fund size of CMMT during the Validity Period.

The Proposed Authority will allow the Manager the flexibility to allot and issue New Units to raise funds to finance future investments, acquisitions and capital expenditure to enhance the value of CMMT and/or to refinance existing debt as well as for working capital purposes, subject to the relevant laws and regulations. With the Proposed Authority, delays and further costs involved in convening separate general meetings to approve such issue of New Units to raise funds can be avoided.

The Manager may, subject to relevant laws and regulations, use the net proceeds from the issuance of New Units under the Proposed Authority at its absolute discretion for other purposes.

Any allotment and issuance of New Units pursuant to the Proposed Authority will be subject to the relevant approvals of the Securities Commission Malaysia and Bursa Securities.

CAPITALAND MALAYSIA MALL TRUST

(Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 15 September 2015) entered into between CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.) (819351-H) and AmTrustee Berhad (163032-V))

PROXY FORM ANNUAL GENERAL MEETING

IMPORTANT: Personal Data Privacy

By submitting an instrument appointing proxy(ies) and/or representative(s), the Unitholder accepts and agrees to the personal data privacy terms set out in the Notice of Annual General Meeting dated 25 February 2016.

I/We, _____ (Name(s) and NRIC no./Passport no./

Company Registration no.) of _____ (Address)

being a unitholder/unitholders of CapitaLand Malaysia Mall Trust (CMMT), hereby appoint:

Name:	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address:			

and/or failing whom (delete as appropriate)

Name:	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address:			

or, both of whom failing, the Chairman of the Annual General Meeting, as my/our proxy/proxies to attend and to vote for me/us on my/our behalf and if necessary, to demand a poll, at the Annual General Meeting of CMMT to be held on Thursday, 31 March 2016 at Impiana Banquet Hall, Level 2, Impiana KLCC Hotel, 13 Jalan Pinang, 50450 Kuala Lumpur, Malaysia at 10.00 a.m., and at any adjournment thereof. I/We direct my/our proxy/proxies to vote for or against the resolution to be proposed at the Annual General Meeting as indicated hereunder. If no specific direction as to voting is given, the proxy/proxies will vote or abstain from voting at his/her/their discretion, as he/she/they may on any other matter arising at the Annual General Meeting.

No.	Ordinary Resolution:	For*	Against*
	SPECIAL BUSINESS		
1	Proposed Authority		

* If you wish to exercise all your votes "For" or "Against", please tick [✓] within the box provided. Alternatively, please indicate the number of votes as appropriate.

Dated this _____ day of _____ 2016

Total number of Units held

Signature(s) of unitholder(s) / Common Seal^

^ Where the Proxy Form is executed by a corporation, it shall be either under its Common Seal or under the hand of an attorney or an officer on behalf of the corporation duly authorised, and a certified true copy (by the Company Secretary) of the power of attorney or of the board resolution of that corporation appointing such officer, shall be deposited with the Manager together with the Proxy Form.

IMPORTANT: PLEASE READ NOTES TO PROXY FORM ON REVERSE PAGE

Affix
postage
stamp

CapitaLand Malaysia Mall REIT Management Sdn. Bhd.
(formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.)
(Company No. 819351-H)
(as manager of CapitaLand Malaysia Mall Trust)
Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang
50450 Kuala Lumpur

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IMPORTANT: PLEASE READ THE NOTES TO PROXY FORM BELOW

Notes to Proxy Form:

1. Only unitholders of CMMT (Unitholders) whose names appear in the Record of Depositors on 24 March 2016 are entitled to attend, speak and vote at the AGM.
2. A Unitholder may attend the AGM in person or appoint up to two proxies to attend the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two proxies (whether a Unitholder or not).
3. On a show of hands, every Unitholder who is present in person or by proxy/proxies has one vote.
4. On a poll, every Unitholder who is present in person or by proxy/proxies has one vote for every Unit held by him.
5. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two proxies for each securities account that holds more than 10,000 Units standing to the credit for the said securities account.
6. Where the Unitholder or the authorised nominee appoints more than one proxy, the appointment will be invalid unless the instrument appointing the proxies specifies the proportions of holdings to be represented by each proxy.
7. Any appointment of a proxy shall be in writing in the Proxy Form attached herewith under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an officer or attorney duly authorised.
8. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited with the Manager at CapitaLand Malaysia Mall REIT Management Sdn. Bhd. (formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.), Level 2, Ascott Kuala Lumpur, No. 9, Jalan Pinang, 50450 Kuala Lumpur, Malaysia, not less than 48 hours before the time appointed for holding the meeting or any adjournment thereof by hand or post; in default of this provision, the Proxy Form shall not be treated as valid.

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General

The Manager shall be entitled to reject any Proxy Form which is incomplete, improperly completed, illegible or where the true intentions of the appointor are not ascertainable from the Proxy Form submitted. The Manager may reject any Proxy Form if the Unitholder, being the appointor, is not shown to have Units entered against his/her name in the Record of Depositors on 24 March 2016.

Corporate Information

CAPITALAND MALAYSIA MALL TRUST

REGISTERED ADDRESS

AmTrustee Berhad

(Company Number: 163032-V)
Level 22, Bangunan AmBank Group
55, Jalan Raja Chulan
50200 Kuala Lumpur
Tel: +60 3 2036 2633
Fax: +60 3 2032 1914

Stock Exchange Listing

Main Market of Bursa Malaysia
Securities Berhad
Stock Name: CMMT
Stock Code: 5180

TRUSTEE

AmTrustee Berhad

(Company Number: 163032-V)

Business Address

Level 15, Menara AmFirst
No.1, Jalan 19/3
46300 Petaling Jaya
Selangor Darul Ehsan
Tel: +60 3 7954 6862
Fax: +60 3 7954 3712

AUDITORS

KPMG

(Firm No: AF 0758)
Chartered Accountants
Level 10, KPMG Tower
8, First Avenue, Bandar Utama
47800 Petaling Jaya
Selangor Darul Ehsan
Tel: +60 3 7721 3388
Fax: +60 3 7721 3399
Partner-In-Charge: Mr. Lam Shuh Siang

UNIT REGISTRAR

Tricor Investor & Issuing House Services Sdn. Bhd.

(Company Number: 11324-H)
Unit 32-01, Level 32, Tower A
Vertical Business Suite, Avenue 3
Bangsar South, No. 8 Jalan Kerinchi
59200 Kuala Lumpur, Malaysia
Tel.: +60 3 2783 9299
Fax: +60 3 2783 9222

THE MANAGER

REGISTERED ADDRESS

CapitaLand Malaysia Mall REIT Management Sdn. Bhd.

(Formerly known as CapitaMalls
Malaysia REIT Management Sdn. Bhd.)
(Company Number: 819351-H)

Manager's Registered Office / Principal Place of Business

Level 2, Ascott Kuala Lumpur
No. 9, Jalan Pinang
50450 Kuala Lumpur
Tel: +60 3 2279 9888
Fax: +60 3 2279 9889

Website

www.cmmmt.com.my

BOARD OF DIRECTORS

David Wong Chin Huat

Chairman and Non-Executive
Independent Director

Tuan Haji Rosli bin Abdullah

Non-Executive Independent Director

Foo Wei Hoong

Non-Executive Non-Independent
Director

Jason Leow Juan Thong

Non-Executive Non-Independent
Director

Ng Chih Kaye

Non-Executive Independent Director

Ng Kok Siong

Non-Executive Non-Independent
Director

Tan Siew Bee

Non-Executive Independent Director

Peter Tay Buan Huat

Non-Executive Independent Director

Low Peck Chen

Chief Executive Officer
and Executive Non-Independent
Director

AUDIT COMMITTEE

Tuan Haji Rosli bin Abdullah

(Chairman)

Ng Chih Kaye

Ng Kok Siong

Tan Siew Bee

CORPORATE DISCLOSURE COMMITTEE

David Wong Chin Huat

(Chairman)

Jason Leow Juan Thong

Ng Kok Siong

EXECUTIVE COMMITTEE

Jason Leow Juan Thong

(Chairman)

Ng Kok Siong

Low Peck Chen

COMPANY SECRETARIES OF THE MANAGER

Khoo Ming Siang

(MAICSA 7034037)

Level 2, Ascott Kuala Lumpur

No. 9, Jalan Pinang

50450 Kuala Lumpur

Lim Lee Kuan

(MAICSA 7017753)

10th Floor, Menara Hap Seng

No. 1 & 3 Jalan P. Ramlee

50250 Kuala Lumpur

THE PROPERTY MANAGERS

Knight Frank Malaysia Sdn. Bhd.

(Company Number: 585479-A)

Suite 10.01, 10th Floor

Centrepont South,

Mid Valley City

Lingkar Syed Putra

59200 Kuala Lumpur

Tel: +60 3 2289 9688

Fax: +60 3 2289 9788

Zaharin Nexcap Property Management Sdn. Bhd.

(Company Number: 1144744-X)

Suite 23-5, Oval Tower Damansara

Menara Permata Damansara

No. 685, Jalan Damansara

60000 Kuala Lumpur

Tel: +60 3 7733 2122

Fax: +60 3 7733 2103

PRINCIPAL BANKERS

Alliance Bank Malaysia Berhad

CIMB Bank Berhad

Malayan Banking Berhad

Public Bank Berhad

RHB Bank Berhad

United Overseas Bank (Malaysia) Bhd



CapitalLand Malaysia Mall REIT Management Sdn. Bhd.

(Formerly known as CapitaMalls Malaysia REIT Management Sdn. Bhd.)

As Manager of CapitalLand Malaysia Mall Trust

Company Reg. No.: 819251-H

Level 2, Ascott Kuala Lumpur

No. 9, Jalan Pinang

50450 Kuala Lumpur

Tel: +60 3 2279 9888

Fax: +60 3 2279 9889

Email: ask-us@cmmmt.com.my

www.cmmmt.com.my